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Have you watched a tree take shape? Right from the time it is a little sapling taking its first peek into the world, to when it turns into a full-fledged tree, its flowers and leaves providing relief and respite to the weary traveller?

That, in a nutshell, is growth.

Growth is progress. Growth is development. Growth is transformation.

So whether it is the human mind, the power of innovation and creative energy, or the sheer size and scale of a gigantic corporation, growth is that central energy on which the world moves forward.

It is one of the very few things which are limitless, because human intelligence, spirit and wonder know no limits. Growth is powered by imagination and the spirit to dream.

The spirit of enterprise and the will to tread a path different from the road less travelled are fuelled by that desire to grow, just like the sapling which reaches out for the warmth of the first rays of the sun.

Growth is also central to the story of the evolution of the world. The invention of the wheel, the first ring of the telephone, the first tentative steps taken by man on the moon - these have all been the result of that desire to grow, to develop, to move forward.

To us at CEAT, growth means all these things and more. Growth is a way of life, the wheel which will take us forward into a new and more exciting future. It is innovation, it is technology, it is reach. It is a deep commitment to society, to touch the lives of the people who are our stakeholders.

They say that if people are growing, they will always be out of their comfort zone. At CEAT, there are no comfort zones. We are always challenging ourselves, pushing the envelope, raising the bar. Whether it is the latest in tyre technology, or the commitment to reducing our carbon footprint, or reaching new markets across the globe, growth is central to CEAT's very existence.

For over five decades, we have pursued this dream relentlessly, breaking down boundaries and moving ahead. So if we produce over 10 million tyres every year or reach 112 countries, these are just a few examples of CEAT's desire to dream.

And to grow.

COMPANY SNAPSHOT

About the Company

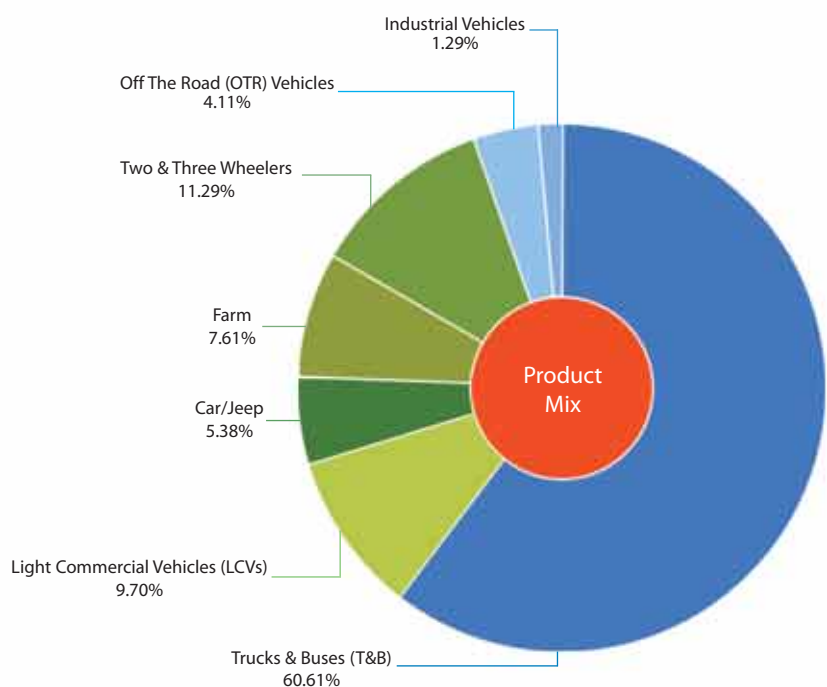
Established in 1958, CEAT Limited, the flagship company of RPG Enterprises, is one of India's leading tyre manufacturing companies. With approximately 11% market share in the industry, the Company manufactures close to 10 million tyres every year.



Product Portfolio

The Company manufactures a wide range of tyres for:

- Trucks & Buses (T&B)
- Light Commercial Vehicles (LCVs)
- Passenger Cars (PC)
- Tractors and Trailers
- Two Wheelers and Three Wheelers
- Off The Road (OTR) Vehicles
- Industrial Vehicles



Vision

"CEAT will at all times provide total customer satisfaction through products and services of highest quality and reliability."

Mission

"To nurture an exciting and challenging work environment with fairness and transparency."

Quality Policy

CEAT is the first tyre company in India to get the ISO/TS 16949:2002 certification, which is a combination of ISO 9000 and QS 9000.

Infrastructure, Reach and Network

The Company has 2 manufacturing plants, situated in Mumbai (Bhandup), Maharashtra & Nasik, Maharashtra. It exports to nearly 112 countries across Asia, Africa, Europe and America. Its robust network consists of 34 regional offices and over 3,500 dealers of which approximately 100 are exclusive dealers running the CEAT Shoppe outlets for the PC segment and 96 run the CEAT Hubs for the T&B segments.

Financial Highlights

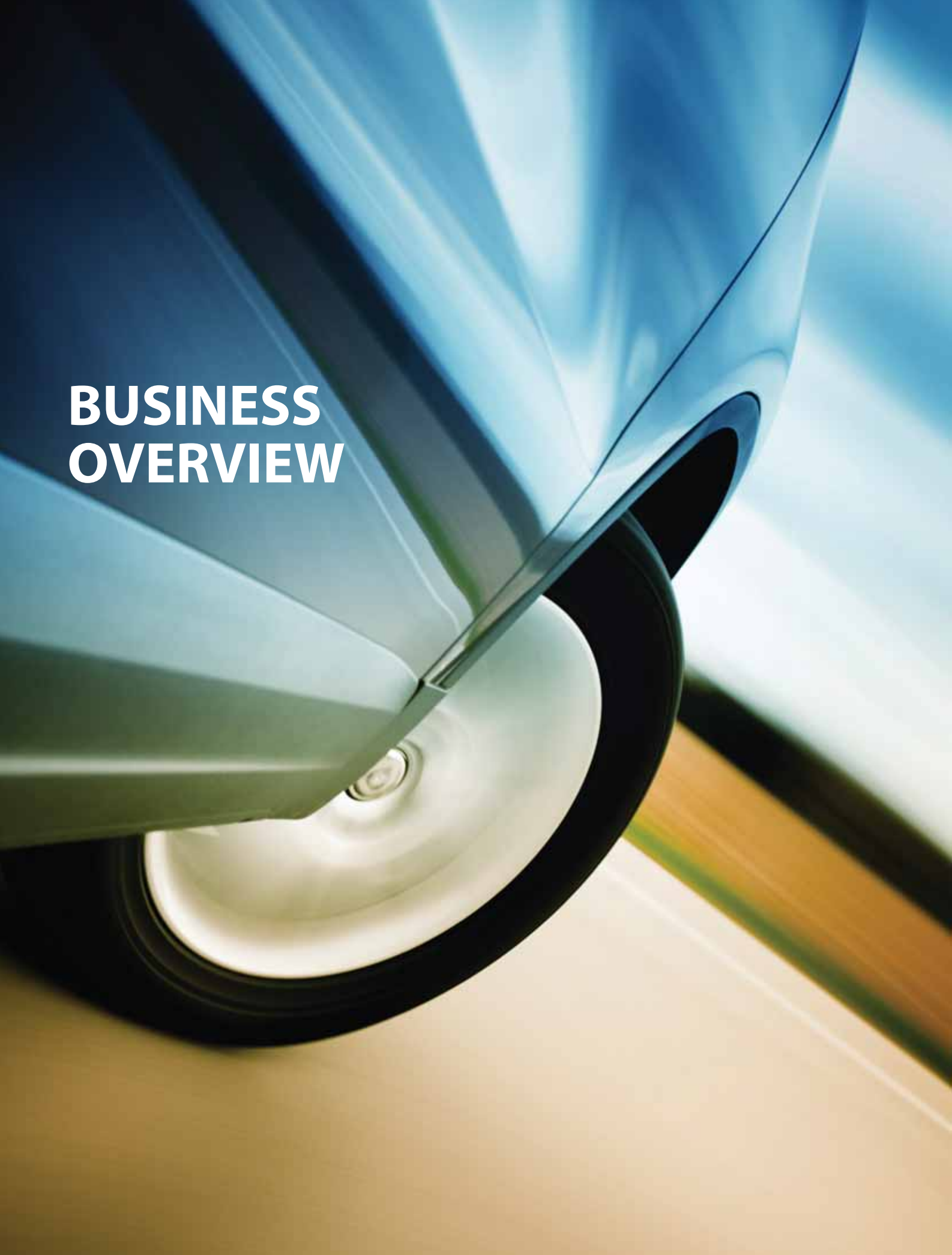
Revenue: The Company recorded a revenue of Rs. 2,849.62 crores, as compared to Rs. 2,415.62 crores for 2008-09, a growth of 17.96%.

EBIDTA: The EBIDTA increased from Rs. 58.14 crores in 2008-09 to Rs. 322.71 crores, an increase of 455.05%.

PAT: The Profit After Tax (PAT) stood at Rs. 161.04 crores against a loss of Rs. 16.11 crores in 2008-09.

Market capitalisation: The Company's market capitalisation stood at Rs. 510.91 crores as on 31st March, 2010.

EPS: The Earnings Per Share (EPS) of the Company increased to Rs. 47.03 from Rs. (4.71) in the previous year.



BUSINESS OVERVIEW

CAPACITY EXPANSION

- A state-of-the-art radial manufacturing facility at Halol in Gujarat with a capacity of 130 Tonnes Per Day (TPD) for truck, bus, light truck & passenger car radials is expected to be operational by the third quarter of 2010-11.
- Additional capacity of 30 TPD at Nasik facility, will increase total manufacturing capacity to 570 TPD by the end of 2011-12.



WHEEL MANAGEMENT CENTRES (WMCs)

- WMC is a unique initiative to expand reach and customer contact across the country, which apart from selling tyres will offer a plethora of services including wheel alignment, greasing, repair of tyres, nitrogen inflation and retreading of tyres.



CONNECTING WITH THE YOUTH

- Apart from sponsoring shows like MTV Roadies and Stunt Mania as well as college festivals at various IITs, the Company has also made its presence felt on online forums like Facebook, Twitter and blogs.



CEAT HUBS

- CEAT Hubs are outlets that primarily sell and service truck and LCV tyres and were launched to expand the presence in rural markets.
- During the year, this initiative was given a significant push by increasing the number of outlets to 265 from 90 in the previous year.



CEAT SHOPPE

- CEAT Shoppes are outlets that sell and service primarily passenger car and two wheeler tyres.
- The plan is to increase the number of shoppes to 200 in the near future by penetrating Tier-II and Tier-III towns, from 80 in 2009-10.



CEAT PRO

- An interactive knowledge platform for fleet owners in the truck transportation business across the country launched to give them access to best practices and ideas from top industry experts.
- To date, CEAT has empowered over 1,800 fleet owners across 22 cities of India.



ENVIRONMENT CONSERVATION INITIATIVES

- Instead of using environment polluting fuels to run our plants, we use environment friendly bio-mass briquettes made from sugarcane, baggasse, mustard seed and shoots etc. thereby creating a source of additional income for the farmers.
- All CEAT tyres are specially engineered to provide low rolling resistance which gets converted to lower fuel consumption for the customer.
- In compliance with EU regulations, CEAT has switched over to the usage of non-labelled (PAH free) oils in many of our product lines.
- Several development projects have been undertaken to replace petroleum based materials with mineral based materials in tyres.



EMPLOYER BRANDING AWARDS 2010

- CEAT won the 6th Best Employer Award at the Employer Branding Awards 2009 by the Employer Branding Institute, Australia.
- CEAT also won in the following individual categories: Best HR Strategy In Line With Business, Talent Management, Innovative Retention Strategy and Continuous Innovation in HR Strategy in HR at Work.



CEAT CRICKET RATING INTERNATIONAL AWARDS 2009

- CEAT Cricket Rating Awards 2009 honoured the best Indian and international cricketers of the year.
- Australia, India and Sri Lanka dazzled at the event by sweeping away all the awards amongst them.
- CEAT International Cricket Team: Australia and CEAT International Cricketer of the year: Gautam Gambhir



**OUR
CORPORATE
SOCIAL
RESPONSIBILITY
INITIATIVES**

"Be the change you want to see in the world."

- Mahatma Gandhi

We believe, that as a responsible organisation, we have a duty towards the positive growth and development of our society at large. It is our integral duty to preserve our surroundings for the future generations. Therefore, we undertake a number of initiatives every year to fulfill our Corporate Social Responsibility (CSR). Some of the key initiatives are as follows:



Bal Chetna Shibir

In June 2009, we organised a 'Bal Chetna Shibir' for children living in the slum areas in the vicinity of CEAT's Bhandup plant. This was conducted under the auspices of the Art of Living Foundation by one of our employees, who is an active volunteer at the Foundation. The aim of this 'Shibir' was to inculcate cultural values and foster self development and spiritual growth in children.

Red Book

'Red Book Complaints System' ensures effective and efficient resolution of all employee complaints. Volunteers have been identified from each shift and each department for the same. This initiative has received a favourable response from our employees/workmen.

Welfare Centre Initiatives

Our CSR cell runs a welfare centre. The primary objective of the centre is to conduct vocational training and promote self-reliance. It organises regular professional classes on tailoring, beauty therapy, mehendi making, etc. for women.



Jai Ho! Training Programme

The Company organises training programmes on personality development for our factory workers, on a regular basis. This provides a platform to workers of various departments to get together during their tea time to share the positive changes and their life-affirming experiences with respect to work and family life, post the training programme. During these sessions, we also conduct intellectual games and initiate discussions on vital topics to sustain the interest of the workmen. This has substantially improved the quality of their lives at work and at home.

Initiatives for Cancer Patients

The Company plays an active role in providing support to cancer patients. Apart from offering moral support, our CSR team also liaisons between the patient and the authorities at the Cancer Patients Aid Association.

TEN - YEAR OPERATING AND FINANCIAL RECORD

(Rs. in crores)

	2009-10	2008-09	2007-08	2006-07	2005-06	2004-05	2003-04	2002-03	2001-02	2000-01
OPERATING RECORD										
Sales - Gross	2990 \$	2611	2603	2391	1952	1780	1648	1479	1361	1190
Less: Excise Duty	182	245	273	256	205	252	247	273	247	206
Miscellaneous Income	42	49	23	24	23	39	101	75	67	79
	2850	2415	2353	2159	1770	1567	1502	1281	1181	1063
Materials & Traded Goods	1869	1798	1531	1484	1214	1060	938	749	718	605
Personnel Cost	193	161	143	128	119	109	116	116	102	90
Expenses	465	397	391 #	394	346	315	328	277	237	267
Interest & Depreciation	84	96	90	92	86	86	98	110	120	115
Total Cost	2611	2452	2155	2098	1765	1570	1480	1252	1177	1077
Profit/(Loss) before taxation	239	(37)	198	61	5	(3)	22	29	4	(14)
As percentage of Sales (%)	7.99	(1.42)	7.61	2.55	0.27	(0.17)	1.33	1.96	0.26	1.17
Provision for Taxation incl										
Fringe Benefit Tax	78	(21)	49	22	5	(1)	8	11	2	0
Profit/(loss) after Taxation	161	(16)	149	39	0.52	(2)	14	18	2	(14)
Dividend	16	-	16	10	-	-	4	4	4	4
Per Share (Rs.)	4.00	-	4.00	1.80	-	-	1.00	1.00	1.00	1.00
FINANCIAL RECORD										
Share Capital	34	34	34	46	46	35	35	35	35	35
Reserves & Surplus	595	455	479	333	303	595	589	588	551	567
Shareholder's Equity	629	489	513	379	349	630	624	623	586	602
Loan Funds	674	661	505	515	535	464	513	521	557	589
Capital & Loan Funds Employed	1303	1150	1018	894	884	1094	1137	1144	1143	1191
Fixed Assets - Gross	1490	1254	1218	1123	1111	905	840	823	750	769
Depreciation	487	459	428	413	385	360	331	303	262	244
Fixed Assets - Net	1003	795	790	710	726	545	509	520	488	525
Investments	59	43	10	128	128	191	191	193	193	199
Current Assets - Net	241	312	218	56	30	358	437	431*	462	467
Capital & Loan Funds applied	1303	1150	1018	894	884	1094	1137	1144	1143	1191

\$ Net of discount

* Inclusive of Miscellaneous Expenditure to the extent not written off or adjusted

Includes Exceptional Income

Figures regrouped wherever necessary

Corporate Information

BOARD OF DIRECTORS

R. P. Goenka

Chairman

H. V. Goenka

Vice Chairman

Paras K. Chowdhary

Managing Director

Anant Vardhan Goenka

Deputy Managing Director

Vinay Bansal

A. C. Choksey

S. Doreswamy

Mahesh S. Gupta

Haigreve Khaitan

Bansi S. Mehta

Hari L. Mundra

K. R. Podar

AUDIT COMMITTEE

Hari L. Mundra

Chairman

Mahesh S. Gupta

Member

S. Doreswamy

Member

SHAREHOLDERS/INVESTORS

GRIEVANCE COMMITTEE

Mahesh S. Gupta

Chairman

Paras K. Chowdhary

Member

S. Doreswamy

Member

COMPANY SECRETARY

H. N. Singh Rajpoot

REGISTERED OFFICE

CEAT Mahal,

463, Dr. Annie Besant Road,

Worli, Mumbai 400 030.

PLANTS

Village Road, Bhandup, Mumbai 400 078.

82, MIDC, Industrial Estate, Satpur, Nasik 422 007.

LEGAL ADVISORS

Mulla & Mulla and Craige, Blunt & Caroe

AUDITORS

N. M. Raiji & Co.

REGISTRAR & SHARE TRANSFER AGENTS

TSR Darashaw Limited

6-10, Haji Moosa Patrawala Industrial Estate,

20, Dr. E. Moses Road, Worli, Mumbai 400 011.

BANKERS

Bank of Baroda

Bank of India

Corporation Bank

Exim Bank

ICICI Bank Limited

Indian Bank

Industrial Development Bank of India

State Bank of India

The Karnataka Bank Limited

UCO Bank

Yes Bank Limited

Notice

NOTICE is hereby given that the fifty first Annual General Meeting of the Company will be held at Ravindra Natya Mandir, P. L. Deshpande Maharashtra Kala Academy, Sayani Road, Prabhadevi, Mumbai 400 025 on Tuesday, July 27, 2010 at 11.00 a. m. to transact the following business:

ORDINARY BUSINESS

1. To receive, consider and adopt the audited Balance Sheet as at March 31, 2010 and Profit and Loss Account for the financial year ended on that date, the Report of the Auditors thereon and the Report of the Directors.
2. To declare dividend on equity shares.
3. To appoint a Director in place of Dr. R. P. Goenka who retires by rotation and, being eligible, has offered himself for re-appointment.
4. To appoint a Director in place of Mr. A. C. Choksey who retires by rotation and, being eligible, has offered himself for re-appointment.
5. To appoint a Director in place of Mr. Hari L. Mundra who retires by rotation and, being eligible, has offered himself for re-appointment.
6. To appoint Messrs N. M. Raiji & Co., as Auditors of the Company to hold office from the conclusion of this Annual General Meeting to the conclusion of the next Annual General Meeting and to fix their remuneration.

SPECIAL BUSINESS

7. To consider and if thought fit, to pass with or without modification, the following resolution as an Ordinary Resolution:

"RESOLVED THAT Mr. Anant Vardhan Goenka, who was appointed as an Additional Director of the Company with effect from December 21, 2009 and holds office under the provisions of Section 260 of the Companies Act, 1956 upto the date of this Annual General Meeting and in respect of whom the Company has received a notice in writing from a member proposing his candidature for the office of Director and who is eligible for appointment, be and is hereby appointed as a Director of the Company."
8. To consider and if thought fit, to pass with or without modification the following resolution as a Special Resolution:

"RESOLVED THAT pursuant to the provisions of Section 198,

269, 309, 310, 311 and other applicable provisions, if any, of the Companies Act, 1956 including any modification or re-enactment thereof, ("the Act") and subject to the approval of the Central Government and subject to all approvals, permissions and sanctions as may be necessary; and subject to such conditions and modifications as may be prescribed or imposed by any of the authorities in granting such approvals, permissions and sanctions, the Company hereby approves the appointment of Mr. Anant Vardhan Goenka as the Whole-Time Director designated as the Deputy Managing Director of the Company for a period of 5 (five) years commencing from January 4, 2010 and ending on January 3, 2015 upon the terms and conditions set out in the Agreement dated January 4, 2010, (which is also hereby ratified and approved) and submitted to this meeting; and payment of remuneration not exceeding Rs. 2.00 crores (Rupees Two Crores only) per annum by way of salary, allowances and perquisites as may be recommended by the Remuneration Committee from time to time.

RESOLVED FURTHER THAT pursuant to Section II of Part II of Schedule XIII and other applicable provisions of the said Act, if any, and subject to such approvals as may be necessary, the Company may pay Mr. Anant Vardhan Goenka, Deputy Managing Director of the Company, the remuneration specified supra, as minimum remuneration in case the Company has no profits or its profits are inadequate during any of the financial years during the tenure mentioned hereinabove.

RESOLVED FURTHER THAT the Board of Directors ("the Board" which expression shall also include a Committee thereof for the time being exercising the powers conferred on the Board by this resolution) be and is hereby authorised to pay the remuneration to Mr. Anant Vardhan Goenka, Deputy Managing Director of the Company, within the maximum limits prescribed in Section I of Part II of Schedule XIII of the said Act in case the Company has adequate profits during any of the financial years during the tenure of the appointment mentioned above.

RESOLVED FURTHER THAT the Board be and is hereby authorised to increase, vary, amend the remuneration and other terms of appointment as deemed expedient or necessary during the tenure mentioned hereinabove or as may be prescribed by the authorities giving their sanction or approval.

RESOLVED FURTHER THAT for the purpose of giving effect to this resolution, the Board be and is hereby authorized to do all such acts, deeds, matters and things as it may in its absolute discretion deem necessary, proper or desirable and to settle any questions or doubts that may arise in this regard."

NOTES:

a) **A MEMBER ENTITLED TO ATTEND AND VOTE IS ENTITLED TO APPOINT A PROXY TO ATTEND AND VOTE INSTEAD OF HIMSELF AND THE PROXY NEED NOT BE A MEMBER.**

b) **THE INSTRUMENT APPOINTING THE PROXY SHOULD, HOWEVER, BE DEPOSITED AT THE REGISTERED OFFICE OF THE COMPANY NOT LESS THAN FORTY EIGHT HOURS BEFORE THE COMMENCEMENT OF THE MEETING.**

c) Members are requested to kindly refer the Chapter on Corporate Governance Report in the Annual Report for the information in respect of re-appointment/appointment of Directors, under Clause 49 of the Listing Agreement. Out of the Directors seeking re-appointment, only Dr. R. P. Goenka holds 3,799 equity shares in the Company. However, Mr. Anant Vardhan Goenka holds 14,185 equity shares in the Company.

None of the Directors seeking re-appointment is related to any member of the Board of Directors or to any Management Personnel. However, Mr. Anant Vardhan Goenka is the son of Mr. H. V. Goenka, Vice Chairman of the Company and the grandson of Dr. R. P. Goenka, the Chairman of the Company.

d) The Register of Members and the Share Transfer Books of the Company shall be closed from Tuesday, July 13, 2010 to Tuesday, July 27, 2010 (both days inclusive).

e) Pursuant to the provisions of Section 205A of the Companies Act, 1956, dividend for the financial year ended March 31, 2003, which remained unclaimed or unpaid for the period of seven years will be transferred to the Investor Education and Protection Fund (IEPF) established under Section 205C of the Companies Act, 1956. Members who have not encashed their dividend warrant(s) so far for the financial year ended March 31, 2003 or any subsequent financial years are requested to make their claims to the office of our Registrar and Transfer Agents, TSR Darashaw Limited (Formerly Tata Share Registry Limited), 6-10, Haji

Moosa Patrawala Industrial Estate, 20, Dr. E. Moses Road, Mahalaxmi, Mumbai - 400 011. It may also be noted that once the unclaimed dividend is transferred to IEPF, as above, no claim shall lie in respect thereof. The dividend for the Financial Year ended March 31, 2003, if not claimed, will be transferred to the aforesaid account on or after January 21, 2011.

f) For the convenience of the Members and for proper conduct of the Meeting, entry to the place of the Meeting will be regulated by the Attendance Slip, which is annexed to the Proxy Form. Members are requested to affix their signature at the place provided on the Attendance Slip and hand it over at the entrance.

g) Members can avail of the nomination facility, under Section 109A of the Companies Act, 1956 by filing Form No. 2B with the Company. Blank forms will be supplied on request.

h) If any of the members are holding shares in the same name or in the same order of names, under different Folios, then members are requested to notify the same to TSR Darashaw Limited at 6-10, Haji Moosa Patrawala Industrial Estate, 20, Dr. E. Moses Road, Mahalaxmi, Mumbai 400 011 for consolidation of their shareholding into a single folio.

i) Members are requested to notify immediately any change of address:

- To their Depository Participants (DPs) in respect of their shares held in demat form, and
- To TSR Darashaw Limited at 6-10, Haji Moosa Patrawala Industrial Estate, 20, Dr. E. Moses Road, Mahalaxmi, Mumbai 400 011, in case of the shares being held in physical form.

j) In case the Mailing Address mentioned on this Annual Report is without a **PINCODE**, Members are requested to kindly inform their **PINCODE** please.

Mumbai,
Date: April 29, 2010

Under the Authority of the
Board of Directors

Registered office:

CEAT Mahal,
463, Dr. Annie Besant Road, Worli,
Mumbai 400 030.

H. N. Singh Rajpoot
Company Secretary

Annexure to the Notice

EXPLANATORY STATEMENT pursuant to Section 173(2) of the Companies Act, 1956.

1. In terms of Section 173 of the Companies Act, 1956, the following explanatory statement sets out all the material facts relating to Item No. 7 and 8 of the accompanying Notice dated April 29, 2010.

2. Item No. 7 and 8

Mr. Anant Vardhan Goenka was appointed as an Additional Director of the Company with effect from December 21, 2009 in terms of Section 260 of the Companies Act, 1956 and was later appointed as the Deputy Managing Director of the Company for a further period of 5 (five) years commencing from January 4, 2010 to January 3, 2015 on the terms and conditions set out in the Agreement dated January 4, 2010, submitted to this meeting for ratification. The appointment of Mr. Goenka is in accordance with the conditions specified in Part I and Part II of Schedule XIII as provided under Section 269 of the Companies Act, 1956.

In accordance with the provisions of Section 302 of the Companies Act, 1956, the members were sent the abstract of the Agreement with Mr. Goenka as referred to above.

The Company has received a notice along with a deposit of Rs. 500/- as required by Section 257 of the Companies Act, 1956, from a member proposing Mr. Goenka for his appointment as a Director of the Company. The Directors recommend appointment of Mr. Goenka as a Director of the Company.

Pursuant to the provisions of Section 198, 269, 309, 310 and 311 and all other applicable provisions of the Companies Act, 1956, including Schedule XIII, the resolution for appointment of Mr. Goenka as Deputy Managing Director and payment of remuneration to him as set out in the resolution at Item No. 8 of the Notice is placed before the members for approval by way of a special resolution.

None of the Directors except Dr. R. P. Goenka, Mr. H. V. Goenka and Mr. Anant Vardhan Goenka are deemed concerned with or interested in the above resolution.

The following documents are open for inspection by members at the Registered Office of the Company between 11.00 a. m. to 5.00 p. m. on all working days except Saturdays, Sundays and holidays upto the date of this Annual General Meeting.

1. Copy of the Agreement dated January 4, 2010 with Mr. Anant Vardhan Goenka.
2. Abstract under Section 302 referred to above.

Mumbai,
Date: April 29, 2010

Under the Authority of the
Board of Directors

Registered office:

CEAT Mahal,
463, Dr. Annie Besant Road, Worli,
Mumbai 400 030.

H. N. Singh Rajpoot
Company Secretary

Directors' Report

The Directors present their fifty-first report, together with the audited accounts for the year ended March 31, 2010.

FINANCIAL HIGHLIGHTS

	(Rs. in crores)	
	For the year ended March 31, 2010	For the year ended March 31, 2009
Operating Profit (Profit before Interest, Depreciation and Taxation)	322.70	58.13
Less: Interest	56.83	69.69
Depreciation	26.88	25.62
Profit before Taxation	238.99	(37.18)
Provision for:		
Current Tax	74.09	-
Short/ (Excess) provisions	-	(11.79)
Deferred Tax	3.86	(11.00)
Fringe Benefit Tax	-	1.72
Net Profit	161.04	(16.11)
Surplus brought forward from previous year	108.44	124.55
Sum available for Appropriation	269.48	108.44
Appropriations:		
Proposed Dividend on Equity Shares	13.69	-
Corporate Tax on Proposed Dividend	2.33	-
Transfer to General Reserve	16.15	-
Balance carried forward	237.31	108.44

DIVIDEND

The Directors are pleased to recommend a dividend of Rs. 4.00 per equity share of Rs. 10/- each (i.e 40%) for the financial year ended March 31, 2010.

INDUSTRY SCENARIO

The automobile industry, which faced a setback following the global financial crisis, has since posted signs of recovery in certain global markets, particularly in the Far East, Africa and the Middle East. However, it is yet to recover fully in the US and Europe. In India, the demand situation started improving gradually, right from the start of the year, due to a positive swing in the overall economic activity, substantially aided by the stimulus package announced by the Government of India. By the end of the first

half of the year under review, the tyre industry saw a surge in overall demand, particularly in the replacement segment. The Original Equipment segment and the export segment also joined the growth rally in the second half of the year under review. The demand from the two wheeler and passenger car segment was particularly impressive.

The Indian tyre industry is banking on strong overall economic development of the country to see a further improvement in demand and better pricing power in the future. Projected GDP growth forecast of over 8% in coming years augurs well for the industry.

Tyre Business is extremely raw material sensitive. Towards latter part of the year there was a significant shortage of natural rubber, one of the most critical inputs in tyre making, due to fall in production of the commodity. This supply demand mismatch has led to a steep rise in the prices of natural rubber. The position is not likely to improve in the near future as rubber demand is expected to remain strong and supply is not expected to keep pace with it.

Despite a tough market scenario and an adverse economic situation, the Indian tyre industry was able to register a reasonable top-line growth, with corresponding increase in its profitability in the first half of the year. However, profitability was adversely affected in the second half due to hardening of raw material cost, which could not be fully passed on to the customers due to competitive pressures.

CEAT'S PERFORMANCE

CEAT ended the year 2009-10 with net sales of Rs. 2808 crores as against Rs. 2367 crores in the previous year, registering a growth of 18.6%. The Company's profit after tax stood at Rs. 161.04 crores as compared to a loss of Rs.16.11 crores during the same period last year. This was achieved due to smart and strategic raw material procurement, substantial reduction in interest burden on account of efficient working capital management and numerous cost reduction initiatives with higher productivity.

The Company has been able to marginally increase its market share of 2-3 wheeler and heavy / light commercial vehicle segments. A greater skew towards the more profitable replacement market was possible because of the better reach

to end consumers through the CEAT Shoppes and CEAT Hubs. Revenues from the replacement segment grew from 66% in 2008-09 to 75 % this year. Sales in farm segment was impressive despite poor rains with a growth of 16%.

CEAT continues to be one of the largest exporters of tyres in the country. Despite the global slowdown, the company maintained exports at Rs. 477 crores at the same level as last year. CEAT has continued its concerted effort to move closer to the end customers by setting up offices in Dubai and Brussels. Through its strong network and reach in 112 countries the Company has stayed in tune with emerging trends in most of the export markets, particularly in the Far East, Africa and the Middle East. This initiative also helped the Company to have a healthy order book and fetch better prices.

FUTURE OUTLOOK

With the prediction of a normal monsoon, demand from Farm and Manufacturing sectors is expected to remain strong. Increase in commodity prices can help revive demand for Off-the-road tyres. Two-three wheeler manufacturers have registered a strong growth in the recent past. The growth rally is expected to continue further. CEAT would align its strategies to encash the potential opportunities.

Currently, radialisation of the commercial vehicle segment in the country is approximately 10-12%. This is expected to go up to the extent of 30% in the next 3 years. The radial tyre project at Halol, Gujarat, is expected to be commissioned on schedule, by the third quarter of the current fiscal. This will help the Company to cater to the increasing Truck Bus Radials (TBR) and Passenger Car Radials (PCR) demand in the country and in the export market as well.

On an overall basis we expect a robust growth in topline but the margins are expected to be under pressure due to substantial increase in cost of raw materials and higher interest and depreciation on account of new capacity creation.

RESEARCH AND DEVELOPMENT

The Company understands the need for emphasis on innovation in product and process technology and operational efficiencies and has invested in a new state of the art Research and Development Centre in Halol. The centre will have the most contemporary

equipments for testing and development. The year 2009-10 saw significant R&D efforts to develop new raw materials, products and enhance the quality of tyres. Two new truck tyres that give higher mileage at high load and at higher speed respectively have also been launched. The new products developed have performed well in the domestic as well as international markets. In light of increasing raw material prices successful efforts were made in development of cheaper substitutes for costly raw materials without compromising on quality parameters. This has helped the company to not only reduce cost but also in optimizing material consumption.

ASSOCIATED CEAT KELANI VENTURE (Joint Venture in Sri Lanka)

Post the civil war, the situation in Sri Lanka has improved. Inflation is receding and interest rates have softened. The overall business sentiment has stabilized leading to increased economic activities in the island. Consequently, demand of tyres has also been on the rise.

The Joint Venture (JV) has registered a revenue of LKR 5.4 billion during 2009-10 as compared to LKR 4.3 billion in the previous year, registering a growth of 26%. Profit after tax stood at LKR 524 million as compared to profit after tax of LKR 101 million. The JV commands market share of about 60% in commercial vehicle and 18% in passenger radial segment.

During the year under review, CEAT has increased its stake in its Sri Lankan investment arm from 18% to 54.84% by purchasing the entire stake of its Sri Lankan partner. As a result of this, CEAT's investment arm-Associated CEAT Holdings Company (Private) Limited (ACHL) has become its subsidiary. ACHL controls 50% stake in the operating company.

CONSERVATION OF ENERGY, TECHNOLOGY ABSORPTION, FOREIGN EXCHANGE EARNINGS AND OUTGO

A statement giving details of conservation of energy, technology absorption, foreign exchange earnings and outgo, in accordance with the Companies (Disclosure of Particulars in the Report of the Board of Directors) Rules, 1988, is annexed hereto and forms part of this report.

HUMAN RESOURCES

The Company continues to focus on performance management

through leveraging the Balanced Business Score Card and triggering Culture Transformation. Initiatives have also been taken towards driving productivity through TQM and in developing and retaining critical talent through coaching and mentoring.

An initiative "Empower" launched by the Company in the past has delivered the desired results of better employee engagement and higher productivity.

The Company was awarded the Employer Brand of the year for Innovative Retention, Leadership in HR and Talent Management by the Employer Branding Institute, Australia.

EMPLOYEE STATEMENT

In terms of Section 217(2A) of the Companies Act, 1956 read with the Companies (Particulars of Employees) Rules, 1975, as amended, the names and other particulars of employees of the Company, are required to be set out in this report. However, as per provisions of Section 219 (1) (b) (iv) of the said Act, the Annual Report excluding the aforesaid information is being sent to all the members of the Company and others entitled thereto. Members who are desirous of obtaining such particulars are requested to write to the Company.

SUBSIDIARY COMPANY

The Company has obtained necessary exemption from attaching the annual report and accounts of its Subsidiary Company i.e. Associated CEAT Holdings Company (Private) Limited. The annual report and accounts of the said Subsidiary Company are kept at the Registered Office and any member desirous of obtaining the same may request the Company in writing.

DIRECTORS

During the year under review, Mr. Vinay Bansal has been appointed as Director of the Company in the casual vacancy caused due to the sad demise of Mr. M. A. Bakre and will hold office up to the date of the Annual General Meeting next year.

Mr. Anant Vardhan Goenka has been appointed as the Deputy Managing Director of the Company for 5 years with effect from January 4, 2010.

In accordance with the Companies Act, 1956 and Articles of Association, Dr. R. P. Goenka, Mr. A. C. Choksey and Mr. Hari L. Mundra retire by rotation and being eligible, have offered themselves for re-appointment.

DIRECTORS' RESPONSIBILITY STATEMENT

Pursuant to Section 217 (2AA) of the Companies Act, 1956, your Directors, to the best of their knowledge and belief, confirm that:

- i) the applicable Accounting Standards have been followed in the preparation of the annual accounts.
- ii) such accounting policies have been selected and applied consistently and such judgements and estimates have been made that are reasonable and prudent so as to give a true and fair view of the state of affairs of the Company in the Balance Sheet as at March 31, 2010 and in the Profit and Loss Account for the said financial year viz. April 1, 2009 to March 31, 2010.
- iii) proper and sufficient care has been taken for the maintenance of adequate accounting records in accordance with the provisions of the Companies Act, 1956 for safeguarding the assets of the Company and for preventing and detecting fraud and other irregularities.
- iv) the annual accounts have been prepared on a going concern basis.

CORPORATE GOVERNANCE

A report on corporate governance, along with a certificate from the auditors of the Company, regarding the compliance of conditions of corporate governance, as also the Management Discussion and Analysis Report, as stipulated under Clause 49 of the Listing Agreement, are annexed to this report.

AUDITORS

Messrs N. M. Raiji & Co., auditors of the Company, retire at the ensuing Annual General Meeting and being eligible, offer themselves for re-appointment.

ACKNOWLEDGEMENT

Your Directors place on record their appreciation for the continued support and cooperation received from the customers, suppliers, dealers, financial institutions, banks, members and Central / State Governments towards conducting the business of the Company during the year under review. The Directors wish to record their special appreciation for the dedication and passion of employees which has enabled the Company to register record performance during the last fiscal.

On behalf of the Board of Directors

Mumbai,
Date: April 29, 2010

H. V. Goenka **Paras K. Chowdhary**
Vice Chairman Managing Director

Annexure to Directors' Report

CONSERVATION OF ENERGY, TECHNOLOGY ABSORPTION AND FOREIGN EXCHANGE EARNINGS AND OUTGO.

(Pursuant to the Companies (Disclosure of Particulars in the Report of Board of Directors) Rules, 1988)

CONSERVATION OF ENERGY

(a) The Company continued to give major emphasis for conservation of energy, and the measures taken during the previous years were continued. The Efficiency of Energy Utilization in each manufacturing unit is monitored at the Corporate level every quarter, in order to achieve effective conservation of energy. The significant Energy Conservation measures during the year were:

- Identification and monitoring of operation of High energy consuming load centres and also specific loads like Compressors, & Power Transformers etc., in each of the manufacturing units based on ABC analysis and daily monitoring of consumption of A class loads.
- Use of Energy Efficient Lighting systems like mercury vapor lamps, high power sodium vapors lamps and fluorescent tube lights with electronic ballasts.
- Use of transparent roof sheets wherever possible to make use of natural lighting.
- Switching off machines / equipment when not in use and switching off lights in areas not having adequate activity by regrouping/repositioning the activity so that there will not be any wastage of energy due to lighting.
- Monitoring of utilization of energy in lighting and other auxiliary equipments.
- Main curing booster pump VFD.
- Use of VFD for Bom water pump, Kobelco pump & Industrial cooling Pump.
- 1.6 kw Energy efficient blower for dual 1 in place of 15 kw centrifugal Blower.
- 1.6 kw Energy efficient blower for dual 2 in place of 15 kw centrifugal Blower.
- 4 Pneumatic hoist replaced with electrical hoist.
- Capacitor Balancing done on various substation as per requirement.
- Use of FRP blades for Man coolers.
- Ban No. 6 mixer chamber replacement with energy efficient mixer chamber & rotor.
- Briquette Boiler 25 Tons commissioned on October 17, 2009.
- Hot Insulation of steam, condensate, hot-water and press dome done to reduce radiation loss.
- Improvement in water consumption by doing various water conservation activities.
- Replacement of cooper choke by electronic choke.
- Banbury 1 converted to 40 RPM in place of 30 RPM.

- Tempered water incorporated in Banbury 2 and 3.
- Overhauling of 1219 CFM compressor – 1no. for improving efficiency.
- BC feeding for cushion mill on 8 x 6 cold feed extruder in place of mill.

(b) Additional investments / Proposals for reduction of Consumption of energy.

- 65 watts CFL lamp for street and dusting area lighting.
- Temper water system for Banbury mixer no. 1-3-4-5.
- Real Time Power Factor Correction Panels.
- 37 kw Cold feed extruder in place of 90 kw BC mill.
- Pneumatic hoist replacement with electrical hoist-12 no.
- Centralized factory lighting circuit and fixing of energy saving lighting controller unit.
- Replacement of old inefficient compressors of instrumentation air with energy efficient screw compressor.
- Heat recovery unit to be installed in flue gas path of Briquette Boiler.
- Improvement in condensate recovery.
- Replacement of inverted bucket and thermodynamic steam traps with steam float.
- Complete replacement of Curing Press internal hose pipe with swivel joint to avoid loss due to hose leakages.
- Complete replacement of Curing Press valve module diaphragm valve with piston valve to minimize valve passing incidents.
- Improvement in hot water recovery from Curing Presses.
- Installation of energy efficient Cooling Towers.
- Installation of energy efficient Vacuum pumps.
- Smart controller for process air compressor.
- Pneumatic hoists to be replaced with electric.
- VFD for hot water booster pump.
- Pneumatic poking machines to be replaced with electric.
- Automatic power factor improvement system.
- Replacement of diaphragm valve to piston valve.

(c) Impact of the measures at (a) and (b) above for reduction of energy consumption and consequent impact on the cost of production of goods.

The above efforts have helped in reduction of power and fuel consumption per kg. of production. However, the actual power and fuel consumption has gone up due to change in product-mix.

(d) Total energy consumption and energy consumption per unit of production, as per Form A.

FORM "A"

A. Power and Fuel Consumption

1. ELECTRICITY

(a) Purchased

Units (KWH)	9,53,72,595	8,61,28,083
Total amount (Rs. in crores)	49.73	41.15
Rate per unit (Rs.)	5.21	4.78

(b) Own generation

(i) Through Diesel Generator:

Units (KWH)	2,56,855	2,96,897
Units per /Litre of Diesel Oil (KWH)	2.50	2.75
Cost per unit (Rs.)	13.63	13.28

(ii) Through Steam / Turbine Generator

Units (KWH)	-	-
Units per Litre of Fuel Oil / Gas (KWH)	-	-
Cost per Unit (Rs.)	-	-

2. COAL (Specify quantity & where used)

Quantity (Tonnes)	-	-
Total Cost (Rs. in crores)	-	-
Average rate (Rs.)	-	-

3. FURNACE OIL

Quantity (K. Ltrs)	11,644	3,902
Total amount (Rs. in crores)	27.59	6.34
Average Rate (Rs. per Litre)	23.69	16.25

4. L.S.H.S

Quantity (K. Ltrs)	9,212	13,184
Total amount (Rs. in crores)	19.68	33.99
Average rate (Rs. per Litre)	21.37	25.78

5. OTHER (Briquettes) /INTERNAL GENERATION (LPG & Other Gases)

Quantity (Tonnes)	23,407	18,050
Total Cost (Rs. in Crores)	11.55	8.19
Rate per Unit (Rs. per Kg.)	4.94	4.54

B. Consumption Per Unit Of Production

(i) Electricity (KWH /MT)	690.27	710.88
(ii) Furnace Oil (Ltrs./MT)	84.05	32.09
(iii) Coal/Briquettes (Kg/MT)	168.96	148.47
(iv) L.S.H.S. (Ltrs./MT)	66.49	108.44
(v) Others	-	-

TECHNOLOGY ABSORPTION

FORM "B"

Research and Development (R & D)

1. Specific areas in which R & D activities were carried out by the Company –

- Development of new raw materials for improvement in quality, cost and compliance to regulations.
- Development of alternate recipes for flexibility in using natural and synthetic rubbers.
- Development of Compounds for high performance radial tyres.
- Develop tyres with features that provide enhanced performance.
- Development of new sizes for OEM's and Replacement market.
- Develop TBR and PCR tyres with advanced features.
- Value engineering projects.
- Process design for productivity and energy saving.
- Cycle time reductions.
- Development of Agricultural tyres for specific applications.
- Prototyping and virtual validations.
- Test methods for testing tyres in field and test tracks.
- Providing technical know-how to –
 - Associated CEAT (Private) Ltd., Sri Lanka.
 - Associated CEAT Kelani Radials (Private) Ltd., Sri Lanka.
 - CEAT Kelani International Tyres (Private) Ltd., Sri Lanka.
 - ACE Tyres Limited, Hyderabad.
 - Innovative Tyres & Tubes Project, Baroda.
 - Zahi Rubbers, Kozhikode, Kerala.

2. Benefits derived as a result of above R & D-

- Technology development and commercialisation.
- Developed advanced products in passenger and commercial segment.
- Reduced development cycles.
- Product performance enhancement.
- Improvement in productivity and cost.
- Product range expansion.
- Benefits to customer in mileage, ride, comfort and fuel consumption.
- Usage of alternate materials.
- Environment friendly products.

3. Future plans of action –

- Setting up advanced research center.
- Develop super premium tyres in the bias truck segments.
- Développements in passenger radial segment :
 - High performance passenger radial tyres.
 - Winter tyres.
 - Energy saver tyres.
 - Eco friendly green tyres.
- Develop Super Single radial truck tyres.
- Partnering with OEM's for new developments.
- Application of nano materials.
- Develop alternate recipes.

4. Expenditure on R & D –

(Rs. in Crores)

	2009-10	2008-09
a) Capital	0.41	1.24
b) Recurring	2.82	2.90
c) Total	3.23	4.14
d) Total R & D expenditure as % of total turn over	0.11	0.16

Technology Absorption, Adaptation and Innovation

1. Efforts, in brief, made towards technology absorption, adaptation and innovation:
 - The technology developments mentioned above were validated and implemented.
 - Projects are undertaken on innovative ideas and they have come out with quantum improvement or innovation.
2. Benefits derived as a result of the above efforts e.g. product improvement, cost reduction, product development, entry to new markets etc. :
 - New products developed to meet the specific requirements of OEM and also provide higher value to the replacement customers.
 - Development of 'Pro' series of high performance in bias truck and 'Milaze' series of passenger radial tyres.
 - 'Grip' series of next generation motor cycle tyres.
 - Flexibility in usage of key raw materials.
 - Achieved higher productivity in tyre curing.
 - Minimise usage of petroleum based indirect materials.
3. In case of imported technology (imported during the last five years reckoned from the beginning of the financial year) following information may be furnished:

a) Technology imported	: Nil
b) Year of import	: Not Applicable
c) Has the technology been fully absorbed?	: Not Applicable
d) If not fully absorbed, areas where this has Not taken place, reasons thereof and future plan of action	: Not Applicable

FOREIGN EXCHANGE EARNINGS AND OUTGO

- (a) Activities relating to exports, initiatives taken to increase exports, development of new export markets for products and services and export plans.
Please refer to the main report.
- (b) Total foreign exchange used and earned :-

(Rs. in Crores)

	2009-10	2008-09
i) Foreign exchange earned	484.93	485.94
ii) Foreign exchange used	689.99	699.55

On behalf of the Board of Directors

Mumbai,
Date: April 29, 2010

H. V. Goenka
Vice Chairman

Paras K. Chowdhary
Managing Director

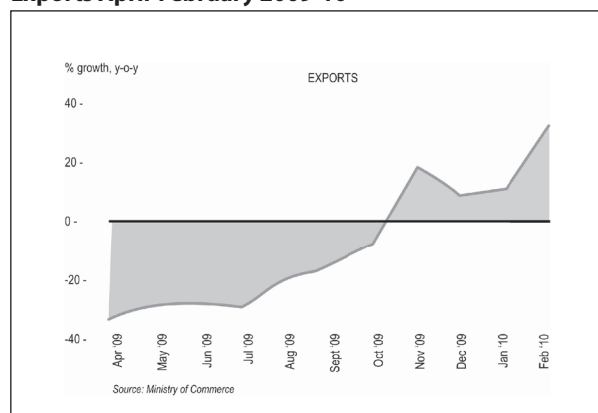
Management Discussion And Analysis

1. ECONOMIC OVERVIEW

There was a distinct turnaround in the economic climate in 2009-10, post a challenging 2008-09. According to the Union Finance Minister, Mr. Pranab Mukherjee, the economy in 2009-10 is expected to grow by 7.2%, an impressive growth by global standards. Fuelled by earnings optimism and mostly firm global equities, the Bombay Stock Exchange climbed above 18,000 points for the first time in more than two years on April 7, 2010. One of the key drivers of the recent rally in Indian stocks, Foreign Institutional Investors (FIIs) have pumped in nearly Rs. 43,000 crore into the Indian markets between January and April 1, 2010, according to the data released by the Securities and Exchange Board of India. Heavy inflows from FIIs also propelled the Rupee to a 19-month high against the US Dollar on April 5, 2010.

While inflation remains a concern, it is clear that recovery is firmly taking root with exports up quite sharply as depicted in the accompanying graph.

Exports April-February 2009-10



The country's forex reserves have risen to a record USD 279.09 billion during the week ended April 2, 2010. Industrial production has also exhibited strong growth during the year. It was up 10.1% in the period April-February for 2009-10. The corresponding figure for 2008-09 was 3%.

The above factors bode well for the economy as well as the tyre industry going forward.

2. INDUSTRY OVERVIEW

Global tyre industry

Valued at approximately USD 120 billion, the global tyre industry, like its Indian counterpart, is highly concentrated with the top four players accounting for a major share of the total revenues. Passenger Cars (PC) and Light Commercial

Vehicles (LCV) segments constitute a majority of the global tyre industry's product mix at around 60%. Heavy Commercial Vehicles (HCV) segment constitutes around 27% of the product mix. The extent of radialisation is much higher in developed nations than others. Radial tyres offer better fuel efficiency and work out to be more cost effective over the life of a tyre. Radialisation in the PC segment in the global tyre industry is more than 95%, while it is around 60% in the LCV and the HCV segments.

Indian tyre industry

The Indian tyre industry accounts for around 5% of the global demand as well as global supply of tyres. The industry has registered significant growth during the year on the back of an economic recovery with sales expected to touch Rs. 263 billion in 2009-10, growing at a CAGR of 12-13% from Rs. 234 billion in 2008-09. This growth is expected to be predominantly driven by an increase in volumes rather than average realisations where growth is expected to be restricted to 2-3%. Average realisation per kg of tyre is in the range of Rs. 120-200.

The Indian tyre industry is enjoying strong growth and will continue to do so in the near future on the back of several demand drivers that include the country's fast paced GDP growth, growth in the automobile industry, faster development of road infrastructure, increasing levels of radialisation as well as growing demand from the Off-The-Road (OTR) segment.

Operating margins of the tyre industry improved by 900-1,000 basis points in the first nine months of 2009-10 due to a fall in raw material costs by around 10% during the first nine months of 2009-10 vis-à-vis the same period the year before. Raw material, (mainly comprising of natural rubber, Nylon Tyre Cord Fabric, carbon black, synthetic rubber, Styrene Butadiene Rubber, Poly Butadiene Rubber etc.) costs account for around 65% of net sales of the tyre industry. Due to the firming up of raw material prices in the September-December 2009 quarter, the operating margins for most players declined sequentially in the Q3FY10, after reaching a 20-year peak in the second quarter of 2009-10. Analysts estimate that operating margins of the industry will be around 13-14% in 2009-10, up sharply from 7-8% in 2008-09 due to softening of raw material prices in the first half of the fiscal and an increase in average price realisations.

Market segments

1. Replacement – The Replacement segment constitutes around 65.5% of the industry and is estimated to be

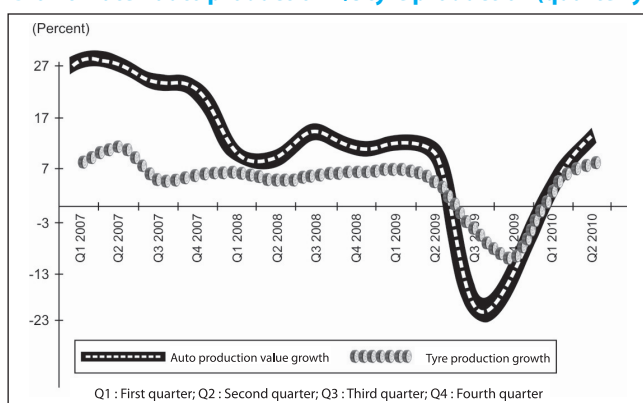
valued at Rs. 160 billion in 2009-10, growing at a steady pace of 10-11% on the back of an economic recovery. This segment is the most sought after amongst tyre manufacturers as the margins are much better in comparison to those in the Original Equipment Manufacturers (OEMs) segment. OEMs are few and enjoy higher bargaining power.

2. Original Equipment Manufacturers (OEMs) – This segment constitutes around 22.4% of the industry and is expected to be valued at Rs. 50 billion in 2009-10, growing by around 20-21%.
3. Exports – Exports constitute approximately 12.1% of the industry and are expected to be valued at Rs. 21 billion by 2009-10. The Middle East, South Africa, Sri Lanka and North America are key export markets for tyres.

Auto segments

Enabled by the Government's stimulus packages, auto demand has witnessed a significant revival following the economic recovery in the domestic market. The auto sector is expected to post y-o-y growth of around 20% in 2009-10. Commercial vehicle (Medium and Heavy Commercial Vehicles (MHCV) + LCV) sales are expected to grow by around 29-30% in 2009-10, in contrast to a 24% drop in volumes observed in 2008-09. Commercial vehicle tyres constitute the major share of production in the Indian tyre industry.

Growth rate – auto production v/s tyre production (quarterly)



Segment	Size in 2009-10 E (in Rs. billion)	Contribution to industry (in % for 2009-10 E)
MHCV	143	62
LCV	17	9
PC	27	12
UV (Utility Vehicle)	2.7	1
Two/three wheelers	25	10
Tractor	10	8

3. BUSINESS OVERVIEW

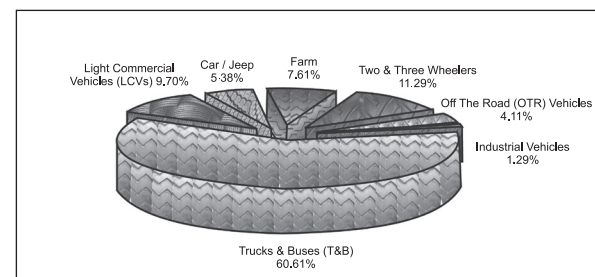
CEAT Limited, the flagship company of RPG enterprises, is one of India's leading tyre manufacturing companies. Established in 1958, the Company with an annual turnover of Rs. 2990 crores, manufactures close to 10 million tyres every year and has a 11% share in the Indian tyre industry. The Company also markets tubes and flaps which are outsourced from its partners.

Renowned for its world class quality and durability, CEAT manufactures the widest range of tyres for all user segments including heavy-duty Trucks & Buses, LCV, Earthmovers and Forklifts (specialty segment), PC, tractors, trailers, scooters (2/3 wheelers), motorcycles, auto-rickshaws and OTR. CEAT enjoys a major share in the light truck and truck tyre segments and has a strong presence in both the domestic as well as international markets. The Company exports tyres to nearly 112 countries across America, Europe, Africa and Asia. CEAT's products have found high acceptance with several OEMs in Europe despite stiff competition from other global players. Over the years, the Company's export basket has improved both in terms of price realisations and profitability.

CEAT has 2 manufacturing plants, situated in Mumbai (Bhandup), Maharashtra; Nasik, Maharashtra. CEAT's robust and extensive network consists of 34 regional offices and over 3500 dealers of which approximately 100 are exclusive dealers running the CEAT SHOPPE outlets for the PC segment and 96 run the CEAT HUBS for the Truck & Bus segments.

Year in review

Product mix:



Sales highlights:

Particulars	2009-10 Rs. in crores	2008-09 Rs. in crores	Growth (in %) y-o-y
Gross Sales			
- Domestic	2,513	2,133	17.8
- Export	477	478	-
- Total	2,990	2,611	14.5
Excise Duty	182	244	-
Net Sales	2,808	2,367	18.6

● **New products launched:**

Truck	10.00-20 Lug XL Pro, 10.00-20 Mile XL Pro, 9.00-20 RT Super, 10.00-20 RT Super, 8.25-20 Mile XL
LCV	7.50-16 Buland Mile XL, 8.25-16 Buland Mile XL, 7.00-16 Buland Mile XL, 7.00-15 Buland Mile XL
Tractor	6.00-16 Mahaan, 12.4-28 Mahaan, 6.50-20 Samraat
Motorcycles	3.00-18 Gripp, 3.00-17 Gripp, 3.00-18 Zoom, 3.00-17 Sec Sport TL, 3.00-18 Sec Sport TL
Scooter	Scooter: 3.50-10 Sec Neo TL
OTR	24.00-35
Animal Drawn Vehicle	6.00-19

- The Company launched 'CEAT Pro' - a pan-India interactive knowledge platform to give fleet owners in the Indian truck transportation business access to best practices and ideas from top industry experts. This will enable the fleet owners to better their businesses and reduce operation costs.
- The Company won the 'Reader's Digest Trusted Brands Gold Award TM' 2009 for the Tyres category in India.
- CEAT launched its first Wheel Management Centre (WMC) in Sankagiri, Tamil Nadu for truck and bus radial tyres. Many more are in the pipeline. A CEAT WMC would be typically of an area of around 3000-5000 sq. ft. The offerings of a WMC include new CEAT tyres, wheel alignment, greasing, repair of Truck & Bus Radial (TBR) tyres, nitrogen inflation, retreading of tyres, etc. This venture will enable CEAT to significantly expand its reach amongst the masses.

4. DISCUSSION ON FINANCIAL PERFORMANCE

Income: The Company recorded a Total Income of Rs. 2,849 crores, as compared to Rs. 2,415 crores for the previous year, a growth of 18 %.

EBIDTA: The Company's EBIDTA stood at Rs. 322.70 crores against Rs. 58.13 crores in 2008-09, an increase of 455.05%.

PAT: The Profit After Tax (PAT) of the Company stood at Rs. 161.04 crores against a loss of Rs. 16.11 crores in 2008-09.

5. OPPORTUNITIES AND THREATS

According to the World Economic Outlook report (2010) by the International Monetary Fund (IMF), the Indian economy is projected to grow at 8.75% in 2010 and 8.5% in 2011, on

the back of strong domestic demand and robust business confidence. This growth reflects a strong growth in exports as well as a continued boost from the inventory cycle along with a rise in business investment in response to high capacity utilisation and strong business confidence.

High GDP growth, the infrastructure boom in the country, rising per capita disposable income, strong growth in the auto industry which ensures healthy OEM demand and increasing vehicle population indicating sustained replacement demand, the emerging Truck and Bus radialisation opportunity (with the ban on overloading of trucks and the Government emphasis on improving road infrastructure, there is immense scope for growth as radialisation levels in CVs is abysmal at 10-12%), expansion in the high margin OTR segment and the under penetrated PC market are factors that indicate strong growth in the Indian tyre industry in the near future.

With continued recovery in OEM offtake and expected improvement in replacement demand, analysts forecast the tyre industry to grow by 13-14% in 2010-11 (in tonnage terms). Sales are expected to grow at 15-16% to reach Rs. 300 billion. The aggregate tyre capacity is expected to increase by 13-15% in the same period. Capacity utilisation is likely to remain around 86-87%. However, due to increasing raw material prices and the limited ability of companies to pass on costs to end users, operating margins are expected to be under pressure. Experts predict a 2-3% rise in tyre prices due to an increase in raw material prices. This could be higher in the event of the withdrawal of duty benefits announced in the stimulus package by the Government. Due to this, growth in realisations is expected to remain in the range of 2-3%.

With the revival in economic activity and the positive impact of improving industrial activity along with a stable credit scenario, demand from OEMs is estimated to grow at a robust 13-14% (in tonnage terms) in 2010-11 while replacement demand is expected to grow at 14-15%. All key vehicle segments including MHCV, LCV, PC and UV are expected to witness strong growth in the range of 14-15% in 2010-11. Analysts expect exports to grow at 4-5% in the same period on the back of an expected revival in global auto markets, coupled with restrictions on Chinese tyre exports to developed countries such as USA.

All this bodes well for CEAT. Given its experience and expertise, the Company is all set to maximise this huge opportunity.

6. OUTLOOK

CEAT exhibits a strong potential and makes continuous efforts to emerge as the preferred tyre maker not just in India but globally as well. With the revival in the world economy and the subsequent increase in demand, the Company expects traction in its exports, given its established presence across countries. CEAT has undertaken a number of initiatives to capitalise on the huge opportunity in the tyre industry.

The Company plans to expand its capacity by setting up a 130 Tonnes Per Day (TPD) radial tyre facility at Halol in Gujarat. The plant will manufacture truck, bus, light truck and passenger car radials. A substantial proportion of the total production is slated for exports. A brown-field expansion of 30 TPD at the Company's Nasik facility is also expected to be commissioned by Q2FY11 along with the Halol facility, taking CEAT's total capacity to 570 TPD. This capacity expansion will provide the Company a robust volume growth in the years to come.

The Company also plans to enter into the OTR tyre maintenance business in the current fiscal. A revenue model based on servicing is being prepared. Simultaneously, the Company is exploring the option of making this into a separate business vertical, offering end-to-end maintenance solutions for a wide variety of tyres. Further, plans to launch 20 WMC's in India in 2010 are also on the anvil. A training centre to educate customers on new developments in trucking and wheel management is coming up shortly as well.

Besides, the Company's proposed shift of its Bhandup, Mumbai plant to Ambernath in Thane, Maharashtra will lead to a significant improvement in margins with the new plant being more energy efficient and the finished goods being produced not coming under the Octroi purview.

Considering the above, the future of the Company looks promising with the coming years expected to witness a trend of high growth for the business.

7. RISKS AND CONCERNS

The Company is operating in an extremely competitive environment. As it gets into the expansion mode, it is poised to exploit several new opportunities. The Company ensures that the risks it undertakes are commensurate with better returns. Through strategic focus, forward thinking and contingency planning, the Company has devised a Risk Management Policy to control risks involved in all corporate activities in order to maximise opportunities and minimise adversities.

Economic risk

The business is substantially affected by the prevailing economic conditions in India.

Factors that may adversely affect the Indian economy and in turn the business include rise in interest rates, inflation, rupee appreciation, changes in tax, trade, fiscal and monetary policies, scarcity of credit etc. However, given the resilience of the economy in the face of the recession, strong fundamentals including favourable demographics, rapid urbanisation, rising per capita disposable income and spending as well as increasing demand for both commercial and passenger vehicles, the Company does not expect to be significantly affected by this risk in the long term.

Price risk (raw materials)

The business is affected by the rise and fall in the prices of requisite raw materials.

Raw material costs account for around 65% of the net sales of the tyre industry. While most of 2009-10 was characterised by a softening of raw material prices, prices began to firm up from Q3FY10. The Company may consider price hikes in the near term to partially negate the cost push. Generally, given CEAT's considerable experience in the industry, the Company is able to plan effectively and keep the associated risks to a minimum.

Demand risk

This risk refers to fluctuations in the demand for tyres in different product categories.

The Company has a presence in all tyre categories, from two wheeler to OTR tyres. It is thus in a strong position to handle seasonal fluctuations in different segments. CEAT's export business also balances out the volatility in the Company's domestic tyre business. Given the above, CEAT believes it has sufficient mitigation in place to counter the demand risk.

Competition risk

This risk arises from more players wanting a share in the same pie.

CEAT faces competition from other major tyre manufacturers in the industry. Tyres from China are also becoming a threat for the Company. However, the credit period offered, the after-sales service as well as the proposed imposition of the anti-dumping duty on Chinese tyres are factors that will lead to customers favouring domestic companies vis-à-vis Chinese companies.

Further, CEAT has established phenomenal brand goodwill in the market and has a strong foothold in the industry. The Company is on a high growth path. Given its expertise and experience, sound financials as well as a highly qualified and experienced management team, the Company does not expect to be significantly affected by this risk.

Concerns like the limited scope for price hikes, cyclical nature of the automobile industry and forex volatility remain. However, these are threats faced by the entire industry. With superior methodologies and improved processes and systems, the Company is well positioned to lead a high growth path.

8. INTERNAL CONTROL SYSTEMS AND THEIR ADEQUACY

In any industry, the processes and internal control systems play a critical role in the health of the Company. CEAT's well defined organisational structure, documented policy guidelines, defined authority matrix and internal controls ensure efficiency of operations, compliance with internal policies and applicable laws and regulations as well as protection of resources. Moreover, the Company continuously upgrades these systems in line with the best available practices. The internal control system is supplemented by extensive internal audits, regular reviews by management and standard policies and guidelines to ensure reliability of financial and all other records to prepare financial statements and other data. The management information system provides timely and accurate information for effective control. Reports on key performance indicators and variance analysis vis-à-vis the budgets are discussed and action plans are drawn for proper follow up at regular Management Committee meetings. At each Board Meeting, operational reports are tabled after being discussed at Audit Committee Meetings.

9. MATERIAL DEVELOPMENTS IN HUMAN RESOURCES

Human Resources (HR) are an integral and important part of any organisation. The Company has put in place sound policies for the growth and progress of its employees. Individual performance management systems have been implemented to encourage merit and enhance innovative

thinking. Roles and responsibilities are clearly defined at all levels. The Company aims to become a preferred employer and employ best-in-class talent. To facilitate the same, it has a well drawn recruitment policy and a performance-based compensation policy to enable the employees to develop a sense of ownership with the organisation. CEAT recognises the importance of providing training and development opportunities to its people to enhance their skills and experience, which in turn enables the Company to achieve its business objectives.

CEAT's innovative and industry-leading HR initiatives have now found global recognition as well. The Company has been named as one of the Best Employer Brands among the Indian tyre companies by the Employer Branding Institute, Australia. CEAT bagged seven awards including those for best HR in line with business, talent management, retention strategies, continuous innovation in HR strategy, innovation in career development, excellence in training and excellence in HR through technology.

10. CAUTIONARY STATEMENT

Statements in the Management Discussion and Analysis describing the Company's objectives, projections, estimates, expectations may be "forward-looking statements" within the meaning of applicable securities laws and regulations. Actual results could differ materially from those expressed or implied. Important factors that could influence the Company's operations include economic developments within the country, demand and supply conditions in the industry, input prices, changes in Government regulations, tax laws and other factors such as litigation and industrial relations.

Identified as having been approved
by the Board of Directors of CEAT Limited

H. N. Singh Rajpoot
Company Secretary

Mumbai,
Date : April 29, 2010

Corporate Governance Report

I COMPANY PHILOSOPHY

The Company's philosophy on Corporate Governance mirrors its belief that principles of transparency, fairness and accountability towards the stakeholders are the pillars of a good governance system. The Company believes that the discipline of Corporate Governance pertains to systems, by which companies are directed and controlled, keeping in mind long-term interests of shareholders, while respecting interests of other stakeholders and society at large. It aims to align interests of the Company with its shareholders and other key stakeholders. Accordingly, this Company philosophy extends beyond what is being reported under this Report and it has been the Company's constant endeavour to attain the highest levels of Corporate Governance.

This Report is for compliance of Clause 49 of the Listing Agreement, which the Company has entered into with the Stock Exchanges.

II BOARD OF DIRECTORS

In terms of the Company's Corporate Governance Policy, all statutory and other significant and material information including information mentioned in Annexure IA of Clause 49 of the Listing Agreement are placed before the Board to enable it to discharge its responsibilities of strategic supervision of the Company with due compliance of laws and as trustees of stakeholders.

1. Composition

At present the Board of Directors of the Company consists of Twelve (12) members, out of whom two (2) are 'Executive' Directors and ten (10) are 'Non-Executive' Directors.

The Chairman, Dr. R. P. Goenka is a Non-Executive Director. Mr. Paras K. Chowdhary, the Managing Director and Mr. Anant Vardhan Goenka, the Deputy Managing Director are the Executive Directors. The Directors are eminent industrialists / professionals with experience in industry / business / finance / law and bring with them the reputation of independent judgement and experience, which they exercise and also satisfy the criteria of independence. However, the Board of Directors, adopting a more exacting view, has decided to treat only the Directors, as indicated in Para II-2 below, as independent directors.

During the year under review, Mr. Vinay Bansal was appointed with effect from July 24, 2009 as a Director in casual vacancy caused by the untimely demise of Mr. M. A. Bakre on May 24, 2009. Mr. Anant Vardhan Goenka was appointed as an Additional Director of the Company on December 21, 2009 and was later appointed as Deputy Managing Director of the Company w.e.f January 4, 2010. Regularization of his appointment is proposed at the ensuing Annual General Meeting through (item 7) of the Notice accompanying this Report.

2. Board Meetings held during the year and attendance thereat:

During the financial year April 1, 2009 to March 31, 2010, six (6) meetings of the Board of Directors were held on April 29, 2009, July 24, 2009, August 25, 2009, October 27, 2009, December 21, 2009 and January 22, 2010. Details of Directors and their attendance in the said Board Meetings and also at the last Annual General Meeting are given below:

Name	Category	No. of Board Meetings attended during the year	Whether attended last AGM held on 25.08.2009	No. of Directorships in other public limited companies	No. of Committee positions held in other public limited companies**	
					Chairman	Member
Dr. R. P. Goenka	Non-Executive Non-Independent	0	No	2	-	-
Mr. H. V. Goenka	Non-Executive Non-independent	6	Yes	9	-	-

Name	Category	No. of Board Meetings attended during the year	Whether attended last AGM held on 25.08.2009	No. of Directorships in other public limited companies	No. of Committee positions held in other public limited companies**	
					Chairman	Member
Mr. Paras K. Chowdhary	Executive Non –Independent	6	Yes	5	-	2
Mr. Anant Vardhan Goenka (Appointed on December 21, 2009)	Executive Non – Independent	2	Not applicable	1	-	-
Mr. Mahesh S. Gupta	Non-Executive Independent	6	Yes	8	3	4
Mr. M. A. Bakre *	Non-Executive Independent	1	Not applicable	-	-	-
Mr. J. N. Guzder (Resigned on May 11, 2009)	Non-Executive Independent	-	Not applicable	-	-	-
Mr. A. C. Choksey	Non-Executive Independent	3	No	8	-	-
Mr. S. Doreswamy	Non-Executive Independent	6	Yes	6	3	2
Mr. Haigreave Khaitan	Non-Executive Independent	3	No	14	-	8
Mr. Bansi S. Mehta	Non-Executive Independent	5	Yes	14	5	5
Mr. Hari L. Mundra	Non-Executive Independent	4	Yes	-	-	-
Mr. K. R. Podar	Non-Executive Independent	5	Yes	5	-	-
Mr. Vinay Bansal (Appointed on July 24, 2009)	Non- Executive Independent	4	Yes	2	-	2

* Mr. M. A. Bakre left for his heavenly abode on May 24, 2009.

** Only Audit Committee and Shareholders/Investors' Grievance Committee are reckoned for this purpose.

3. Details of Directors proposed for Appointment/ Re-Appointment at the forthcoming Annual General Meeting [Pursuant To Clause 49 (IV)(G)]

i) Dr. R. P. Goenka

Dr. Rama Prasad Goenka, Chairman, CEAT Limited, is the Chairman Emeritus of the Rs. 16,000 crore RPG Group. Amongst the Group's core businesses are Power (CESC Limited which supplies power to the city of Kolkata), Transmission (KEC International Limited), Tyre (CEAT Limited), Retail (Spencer's) and other companies involved in IT, Chemicals, Life Sciences and Entertainment.

A former Member of Parliament (Rajya Sabha), Dr. Goenka is Chairman, Board of Governors, International Management Institute, New Delhi, Member of the Board of Trustees of Tirumala Tirupati Devasthanams and the Trustee of the Jawaharlal Nehru Memorial Fund, Indira Gandhi Memorial Trust and Rajiv Gandhi Foundation. He is a past President of the Federation of Indian Chambers of Commerce & Industry (FICCI) and the Confederation of Asia Pacific Chambers of Commerce & Industry. Currently, he is the member of its Advisory Board.

Other prominent positions held by Dr. Goenka include:

- Chairman, Board of Governors, Indian Institute of Technology (IIT), Kharagpur
- Director, Central Board of Reserve Bank of India
- Director, General Insurance Corporation of India
- Director, Steel Authority of India Limited
- Director, Industrial Development Bank of India

Dr. Goenka was born on March 1, 1930. After completing his graduation from the prestigious Presidency College, Calcutta University, he did Advanced Management Academic Programme from Harvard University. He was awarded Doctor of Science (Honoris Causa) by the Indian Institute of Technology, Kharagpur and D.Litt. (Honoris Causa) by Institute of Advanced Studies in Education (IASE), Deemed University of Rajasthan. He has also received from the Emperor of Japan "The Order of Sacred Treasure Gold and Silver Star" and a Lifetime Achievement Award from IIPM for outstanding contribution to the corporate world.

Other Directorships:

- Saregama India Limited
- CESC Limited

Dr. Goenka is the Chairman of the Company.

ii) Mr. A. C. Choksey

Mr. Atul C. Choksey, 58, has done his Bachelor's in Chemical Engineering from Illinios Institute of Technology, Chicago, USA and has also done management courses in Finance, Personnel, Micro and Macro Economics etc. He joined Asian Paints (India) Limited (APL) as a Junior Executive in July, 1973 and was subsequently appointed APL's Wholetime Director with effect from May 1979. Later, he was elevated to the position of Managing Director on April 15, 1984. He served APL as its Managing Director till August 22, 1997.

He is currently the Chairman of Apcotex Industries Limited and other Group Companies. He jointly with ANZ Grindlays Bank Limited (presently known as Standard Chartered Grindlays Bank) promoted ANZ Asset Management Co Pvt Ltd, which was subsequently known as Standard Chartered Asset Management Co Pvt Ltd, of which he was a Director until May 2008. He is the member of the Asian Executive Board of the Wharton Business School of the University of Pennsylvania, Philadelphia, USA since November 2000. From 1980 to 1997, he took active interest and held several positions in the Indian Paint Association (IPA) including the position of the President of the Association, a representative body of paint manufacturers in India. He was the President of Bombay Chamber of Commerce and Industry as well as Deputy President of Associated Chamber of Commerce and Industry of India for 1993-1994.

Mr. Choksey is a Trustee of the Shree Mahalaxmi Temple Charities and BAIF Development Research Foundation. He is also a member of the Governing Council of Shri Vile Parle Kelvani Mandal's College of Engineering, Mumbai.

Other Directorships:

- Apco Enterprises Limited
- Apcotex Industries Limited (Formerly known as Apcotex Lattices Limited)
- Finolex Cables Limited
- Mazda Colours Limited
- Marico Industries Limited
- Shyamal Finvest (India) Limited
- Titan Trading & Agencies Limited
- Trivikram Investments & Trading Company Limited
- Choksey Chemicals Private Limited

Mr. Choksey is not related to any member of the Board of Directors or to any Management Personnel of the Company.

iii) Mr. Hari L. Mundra

Mr. Hari L. Mundra, 59, has an Honours Degree in B. A. (Economics) from Bombay University and has a post-graduate Management Diploma from the Indian Institute of Management, Ahmedabad (1971).

Mr. Mundra worked with Hindustan Lever Ltd., India for about 24 years till 1994, joining them as Management Trainee, Accounts in 1971. In Levers, he worked through two countries (India and Indonesia), three businesses (Personal Products, Detergents and Exports) and several positions both in the Financial and General Management Areas. In 1979, he was seconded to Unilever's subsidiary in Indonesia for three years. In 1985, he became the Company Treasurer in Charge of Corporate Finance and Taxation and later moved to the Rs. 2000 crore Detergents Division as Group Commercial Controller in charge of its Buying / Purchasing, Planning / Logistics and Accounts Departments.

Mr. Mundra was appointed to the Management Committee of Hindustan Lever in April 1990 as the youngest Vice President (Commercial) reporting to the Chairman. In January 1991, he took charge of the Rs.150 crore Exports business as Vice President / Executive Director (Exports). When he left Levers, Exports had become a substantially larger business with turnover of Rs. 500 crore due to major investments in export oriented manufacturing businesses such as Personal Products, Foods, Marine Products, Textiles and Leather.

In January 1995, Mr. Mundra joined the then Rs. 6500 crore RPG Group, the fourth largest Indian Business House in the country, as Member of the Group Management Board in the dual capacity of the Chief Financial Officer of the Group as well as the President and Chief Executive of the Rs. 500 crore Carbon Black Business. He later also looked after the ailing Financial Services Company of the Group, while continuing to be the Group CFO.

During his 7 year tenure with the RPG Group, he handled almost Rs. 3000 crore worth of M&A

deals in India and overseas, closed Rs. 1200 crore worth of M&A transactions and raised Rs. 75 crore of long term funds for the Group companies. He had extensive experience of Project Finance, having directed the financial closure of a 700 MW Rs. 2500 crore Power Project. Equally strong in the areas of Strategic & Operational Management, he was responsible for launching a number of initiatives in the Group, notably in the areas of Asset Productivity Improvement, Total Cost Management and Market Capitalisation.

In January 2002, Mr. Mundra joined the Wockhardt Group as Executive Vice Chairman of Wockhardt Ltd., in charge of its domestic pharma business and as Vice Chairman of Wockhardt Hospitals Ltd. In his short tenure of almost 2 years at Wockhardt, he led the company through a number of domestic brand launches in various therapeutic areas, some of which are now mega brands in the Wockhardt repertoire.

In September 2003, Mr. Mundra joined the Essar Group as the Deputy Managing Director & Director, Finance of Essar Oil Ltd., an integrated Oil & Gas major and was responsible for resurrecting, refinancing and restarting its Rs.15000 crore Oil refinery project which had remained closed for 5 years and for operationalising it by arranging Rs. 4500 crore Working Capital facility. As a result, by November 2007 when Mr. Mundra retired from the Group on achieving super-annuation age, the Company had been clocking an annualized turnover of Rs.18000 crore / year and its market capitalization had moved up dramatically from Rs. 3000 crore to Rs. 30000 crore.

During his over 37 years of working career, Mr. Mundra has been associated with a number of professional bodies in Finance, Taxation & Export Fields and has been an active participant at the policy making level as member of CII, FICCI, ASSOCHAM and Bombay Chamber of Commerce & Industry. He has recently joined the Managing Committee of Indian Cancer Society, a non profit NGO, as its Joint Managing Trustee and Honorary Treasurer and is leading its turn around while

helping in its crusade against cancer for the under-privileged.

As from January 2009, he has become a visiting Professor at IIM, Ahmedabad in the Finance faculty for the M.B.A students. He is also the Group Financial Advisor to the Chairman in the Wockhardt Group since May, 2009 helping them to overcome their financial crisis and to realise their potential.

Other Directorships:

- Future Focus Info Tech Pvt Ltd
- Religare Aegon Trustee Pvt Ltd

Mr. Mundra is not related to any member of the Board of Directors or to any Management Personnel of the Company.

iv) Mr. Anant Vardhan Goenka

Mr. Anant Vardhan Goenka is an M.B.A from the Kellogg School of Management and a B.Sc in Economics from the Wharton School.

Mr. Goenka joined KEC International Limited as Vice President (Corporate) and was in charge of the telecom business, business development in North America and Integrated planning and monitoring of Transmission and Distribution Business. He was later on promoted as Executive Director – Supply Chain thereby manning manufacturing, procurement, planning, logistics and quality department in the company.

Prior to joining KEC International Limited, Mr. Goenka was associated with CEAT Limited as Head of Speciality Tyre Business. He has also worked with Hindustan Unilever, Accenture, Mumbai and Morgan Stanley, Hong Kong.

Other Directorships

- Raychem RPG Limited

Mr. Goenka is the grandson of Dr. R. P. Goenka, Chairman and son of Mr. H. V. Goenka, Vice Chairman of the Company.

III COMMITTEES OF THE BOARD

1. Audit Committee

The terms of reference of the Audit Committee include the matters specified under Clause 49 (II) (D) and (E) of the Listing Agreement as well as in Section 292A of the Companies Act, 1956. The terms of reference of the Audit Committee, inter alia, include the following:

1. Oversight of the Company's financial reporting process and the disclosure of its financial information to ensure that the financial statements are correct, sufficient and credible.
2. Reviewing with the management the financial statements at the end of the quarter, half year and the annual statements before submission to the Board for approval with particular reference to ;
 - a) Matters required to be included in the Director's Responsibility Statement which forms part of the Board's Report in terms of Clause (2AA) of Section 217 of the Companies Act, 1956.
 - b) Changes, if any, in accounting policies and practices and reasons for the same.
 - c) Major accounting policies and practices and reasons for the same.
 - d) Significant adjustments made in the financial statements arising out of audit findings.
 - e) Compliance with the listing and other legal requirements relating to financial statements.
 - f) Disclosure of any related party transactions.
 - g) Qualifications, in the draft audit report.
3. Considering and recommending the appointment, re-appointment, of the statutory auditors, fixation of the audit fee and fee for any other services rendered by the Statutory Auditors and if required, the replacement or removal of the Statutory Auditor.
4. Reviewing with the management, performance of the Statutory and Internal Auditors and adequacy of the internal control systems.

5. Reviewing the adequacy of the internal audit function, if any, including the structure of the internal audit department, staffing and seniority of the official heading the department reporting structure coverage and frequency of the internal audit.
6. Discussion with internal auditors any significant findings and follow up thereon.
7. Reviewing the findings of any internal investigations by the internal auditors into matters where there is suspected fraud or irregularity or a failure of internal control systems of a material nature and reporting the matter to the Board.
8. Looking into the reasons for substantial defaults in payment to the depositors, debenture holders, shareholders and creditors, if any.

The Company has complied with the requirements of Clause 49 (II) (A) as regards the composition of the Audit Committee. The Audit Committee has three (3) members; Mr. Mahesh S. Gupta, Mr. S. Doreswamy and Mr. Hari L. Mundra. Mr. Mundra is the Chairman of the Audit Committee.

The Company Secretary functions as the Secretary of the Committee.

During the financial year ended March 31, 2010, five (5) meetings of the Audit Committee were held on April 2, 2009, April 29, 2009, July 24, 2009, October 27, 2009 and January 22, 2010.

Attendance at the Audit Committee Meetings:

Name of the Member	No. of Meetings attended
Mr. M. A. Bakre*	2
Mr. Mahesh S. Gupta	5
Mr. S. Doreswamy	5
Mr. Hari L. Mundra	3

*Mr. M. A. Bakre left for his heavenly abode on May 24, 2009.

The necessary quorum was present at the meetings.

The Audit Committee Meetings are also generally attended by the representatives of Statutory Auditors, the Managing Director, the Chief Financial Officer, Head-Internal Audit and the General Manager – Accounts, MIS & Risk Management.

The Minutes of the Meetings of the Audit Committee were discussed and taken note by the Board of Directors.

2. Shareholders'/Investors' Grievance Committee

The Committee reviews and deals with complaints and queries received from the investors. It also reviews and deals with responses to letters received from the Ministry of Corporate Affairs, the Stock Exchanges and Securities and Exchange Board of India.

The Shareholders'/Investors' Grievance Committee comprises of three (3) members, Mr. Paras K. Chowdhary, Mr. S. Doreswamy and Mr. Mahesh S. Gupta. Mr. Gupta is the Chairman of the Committee.

The Company Secretary functions as the Secretary of the Committee.

During the financial year ended March 31, 2010, four (4) meetings of the Shareholders'/Investors' Grievance Committee were held on April 29, 2009, July 24, 2009, October 27, 2009 and January 22, 2010.

Attendance at Shareholders'/Investors' Grievance Committee Meetings:

Name of the member	No. of Meetings attended
Mr. M. A. Bakre*	1
Mr. Paras K. Chowdhary	4
Mr. Mahesh S. Gupta	4
Mr. S. Doreswamy**	3

* Mr. M. A. Bakre left for his heavenly abode on May 24, 2009

** Appointed on the Committee on July 24, 2009

The status of the complaints received from investors is as follows:

Shareholders'/Investors' Complaints

Particulars of Complaints	Complaint Nos.
Complaints pending as on April 1, 2009	0
Complaints received during 2009-2010	6
Complaints identified and reported under Clause 41 of the Listing Agreement	6
Complaints disposed off during the year ended March 31, 2010	6
Complaints remaining unresolved as on March 31, 2010	0

The Board has designated Mr. H. N. Singh Rajpoot, Company Secretary, as the "Compliance Officer".

3. Remuneration Committee

The Remuneration Committee reviews the remuneration package for the Managing Director/ Deputy Managing Director and recommends it to the Board.

The Remuneration Committee comprises of four (4) members, Mr. H. V. Goenka, Mr. S. Doreswamy, Mr. Hari L. Mundra and Mr. Mahesh S. Gupta. Mr. H. V. Goenka is the Chairman of the Remuneration Committee. This Committee meets the criteria laid down in Explanation IV of Section II of Part II of Schedule XIII of the Companies Act, 1956 and is not formed pursuant to Clause 49 of the Listing Agreement, in which the formation of the Committee is not mandatory.

During the financial year ended March 31, 2010, two (2) meetings of the Company were held on November 23, 2009 and January 21, 2010.

Name of the member	No. of Meetings attended
Mr. H. V. Goenka	1
Mr. S. Doreswamy	2
Mr. Hari L. Mundra	2
Mr. Mahesh S. Gupta*	-

* Appointed on the Committee on January 22, 2010

Remuneration Policy

Payment of remuneration to the Managing Director / Whole-Time Director / Manager is governed by the Agreements entered between them and the Company

as approved by the Board of Directors and the shareholders in terms of applicable provisions of the Companies Act, 1956.

The remuneration structure of Mr. Paras K. Chowdhary, Managing Director and Mr. Anant Vardhan Goenka, Deputy Managing Director, comprises of salary, perquisites and allowances, contributions to provident fund, superannuation and gratuity.

The Non-Executive Directors have not, during the year under review, received any remuneration from the Company except Sitting Fees.

Directors' Remuneration

Non-Executive Directors

Director	Relationship with other Directors (if any)	Sitting Fees paid during 2009-10 (All figures in Rs.)
Dr. R. P. Goenka - Chairman	Father of Mr. H. V. Goenka	-
Mr. H. V. Goenka - Vice-Chairman *	Son of Dr. R. P. Goenka	125,000/-
Mr. Mahesh S. Gupta *	-	170,000/-
Mr. M. A. Bakre *	-	40,000/-
Mr. A. C. Choksey	-	60,000/-
Mr. S. Doreswamy *	-	180,000/-
Mr. Haigreve Khaitan	-	60,000/-
Mr. Bansi S. Mehta	-	100,000/-
Mr. Hari L. Mundra *	-	120,000/-
Mr. K. R. Podar	-	100,000/-
Mr. Vinay Bansal	-	80,000/-

* Includes sitting fees for attending Audit Committee Meetings and Remuneration Committee Meetings. Sitting fees for attending meetings of Shareholders/ Investors' Grievance Committee have been waived by the Directors on the said Committee.

Pursuant to the Special Resolution passed in the Annual General Meeting of the Company held on July 25, 2008, the Board of Directors at their Meeting held on April 29, 2010 had approved payment of commission amounting to Rs. 2.00 crores to its non-executive directors subject to statutory approvals, if any.

● **Executive Director**

Name	Mr. Paras K. Chowdhary
Relationship with other Directors	None
Business Relationships with the Company, if any	Managing Director
All elements of Remuneration Package	
Description	Amount in Rs. (Lacs)
Salaries	173.60
Allowances and Perquisites	22.09
Contribution to Provident & Superannuation Funds	27.97
Total	223.66

The above remuneration was approved by a resolution passed by the Remuneration Committee constituted by the Board of Directors in terms of sub-paragraph (A) of Paragraph I of Section II of Part II of Schedule XIII (the "Schedule") to the Companies Act, 1956.

The Agreement with Managing director is for the period from January 18, 2006 to January 17, 2011. Either party to the Agreement is entitled to terminate the Agreement by giving not less than 6 months notice to either party, provided however that the Company shall be entitled to terminate the appointment at any time by payment to him 6 months' salary in lieu of such notice.

● **Executive Director**

Name	Mr. Anant Vardhan Goenka
Relationship with other Directors	Grandson of Dr. R. P. Goenka, Chairman and son of Mr. H. V. Goenka, Vice Chairman of the Company

Business Relationships with the Company, if any	Deputy Managing Director
All elements of Remuneration Package	
Description	Amount in Rs. (Lacs)
Salaries	21.68
Allowances and Perquisites	0.16
Contribution to Provident and Superannuation Funds	1.81
Total	23.65

The above remuneration was approved by a resolution passed by the Remuneration Committee constituted by the Board of Directors in terms of sub-paragraph (A) of Paragraph I of Section II of Part II of Schedule XIII (the "Schedule") to the Companies Act, 1956.

The Agreement with the Deputy Managing Director is for the period from January 4, 2010 to January 3, 2015. Either party to the Agreement is entitled to terminate the Agreement by giving not less than 4 months notice to either party, provided however that the Company shall be entitled to terminate the appointment at any time by payment to him 4 months' salary in lieu of such notice.

✎ **Shareholding of Directors**

Dr. R. P. Goenka, Chairman	3,799 Equity Shares
Mr. H. V. Goenka, Vice Chairman	10,133 Equity Shares
Mr. Paras K. Chowdhary, Managing Director	3,000 Equity Shares
Mr. Anant Vardhan Goenka, Deputy Managing Director	14,185 Equity Shares

Except for the above, no other Director of the Company holds any equity shares in the Company.

IV DETAILS ON GENERAL BODY MEETINGS

The details of the last three (3) Annual General Meetings are as below:

Meeting	Day, Date	Time	Venue
48 th AGM	Friday, July 27, 2007	4.00 p.m.	Patkar Hall, Mumbai.
49 th AGM	Friday, July 25, 2008	11.30 a.m.	Patkar Hall, Mumbai.
50 th AGM	Tuesday, August 25, 2009	3.00 p.m.	Ravindra Natya Mandir, Mumbai

Special Resolutions passed at the last three (3) Annual General Meetings:-

Date of AGM	Description of Special Resolution
48 th AGM , July 27, 2007	Relocation of Statutory Registers from the premises of TSR Darashaw Limited at Army Navy Building, 148, Mahatma Gandhi Road, Fort, Mumbai 400 001 to their new premises at 6-10 Haji Moosa Patrawala Industrial Estate, 20, Dr. E. Moses Road, Mahalaxmi, Mumbai 400 011 pursuant to Section 163 of the Companies Act, 1956.
49 th AGM , July 25, 2008	Payment of Commission to Non-Executive Directors as per Section 309 of the Companies Act, 1956.
50 th AGM , August 25, 2009	No Special Resolution was passed in the Annual General Meeting.

Postal Ballot

During the year, the Company has obtained the approval of its members by passing a Special Resolution on April 27, 2009 by postal ballot for increase in remuneration of Mr. Paras K. Chowdhary, Managing Director of the Company in accordance with the procedure prescribed in Section 192A of the Companies Act, 1956 read with the Companies (Passing of Resolution by Postal Ballot) Rules, 2001. Mr. P. N. Parikh , Practising Company Secretary was appointed as a Scrutinizer for the Postal Ballot exercise. The votes casted in favour of the resolution were 99.64 % as against 0.36% votes casted against the resolution. There is no other immediate proposal for passing any resolution by postal ballot this year.

V DISCLOSURES

1. Disclosures on materially significant related party transactions that may have potential conflict with the interests of Company at large

There were no material and/or significant transactions during the financial year 2009-10 that were prejudicial to the interest of the Company.

During the year under review, the Company made a payment of Rs. 20,57,630/- to Khaitan & Co., of which Mr. Haigreve Khaitan, a Director of the Company is a partner.

2. Disclosures of Related Party Transactions

The Company follows the following policy in disclosing the related party transactions to the Audit Committee:

- A statement in summary form of transactions with related parties in the ordinary course of business are placed periodically before the Audit Committee.
- Details of material individual transactions with related parties, which are not in the normal course of business, if any, are placed before the Audit Committee.
- Details of material individual transactions with related parties or others, which are not on arm's length basis, if any, are placed before the Audit Committee, together with Management's justification for the same.
- No material, financial and commercial transactions were reported by the management to the Board, in which the management had personal interest having a potential conflict with the interest of the Company at large.

Details of related party transactions are included in the Notes to the Accounts as per Accounting Standard (AS-18) issued by the Institute of Chartered Accountants of India.

3. Disclosure of Accounting Standards

The Company has followed the Accounting Standards issued by the Institute of Chartered Accountants of India, to the extent applicable, in the preparation of the financial statements.

4. Disclosure of Risk Management

The Company has laid down procedures to inform Board Members about the risk assessment and minimization procedures. These procedures are periodically reviewed to ensure that executive management controls risks through means of a properly defined framework.

5. Details of non-compliance by the Company, Penalties, Strictures imposed on the Company by Stock Exchange(s) or Securities Exchange Board of India (SEBI) or any other statutory authority or any matters related to Capital Markets.

The Company has complied with all the requirements of the Stock Exchanges, SEBI and Statutory Authorities on all matters related to the capital markets during the last three years. There are no penalties or strictures imposed on the Company by the Stock Exchanges or SEBI or any statutory authorities relating to the above.

There were no instances of non-compliance of any matter related to the capital market during the last three years.

6. Details of compliance with mandatory requirement

Clause 49 of the Listing Agreement mandates to obtain a certificate from either the Auditors or practicing Company Secretaries regarding compliance of conditions of corporate governance as stipulated in the Clause and annex the certificate with the Directors' Report, which is sent annually to all the shareholders. The Company has obtained a certificate from its Auditors to this effect and the same is given as an annexure to the Directors' Report.

7. Adoption of the non-mandatory requirements

The Clause states that the non-mandatory requirements may be implemented as per the discretion of the Company. The Company maintains an office for the Chairman, which is regularly used by the Chairman for interactions with the Management. The disclosures of compliance with other non-mandatory requirements and adoption (and compliance) / non-adoption of the non-mandatory requirements shall be need based.

VI MEANS OF COMMUNICATION

Quarterly results of the Company are published in major

English Dailies as well as in a Marathi Daily.

The quarterly results of the Company are normally published in the following newspapers:

- Business Standard
- The Economic Times
- The Free Press Journal
- Maharashtra Times
- Navshakti

The quarterly results of the Company are displayed on the Company's Website www.ceattyres.in.

The Company provides information to the Stock Exchanges where the shares of the Company are listed as per the Listing Agreement entered into with the Stock Exchanges.

The Company has provided an email address on its website investors@ceat.in whereby investors can directly contact the Company.

VII GENERAL SHAREHOLDER INFORMATION

✎ AGM: Date, Time and Venue

As indicated in the notice accompanying this Annual Report, the 51st Annual General Meeting of the Company will be held on July 27, 2010 at Ravindra Natya Mandir, P. L. Deshpande Maharashtra Kala Academy, Sayani Road, Prabhadevi, Mumbai – 400 025 at 11.00 a.m.

✎ Financial Year

The Company follows 1st April to 31st March as the financial year.

✎ Date of Book Closure

Tuesday, July 13, 2010 to Tuesday, July 27, 2010 (both days inclusive).

✎ Dividend Payment Date

On or before August 26, 2010.

✎ Listing on Stock Exchanges

The Equity shares of the Company are listed on the Bombay Stock Exchange Limited and the National Stock Exchange of India Limited.

The Listing fees have been paid to both the Stock Exchanges for the financial year 2010-11.

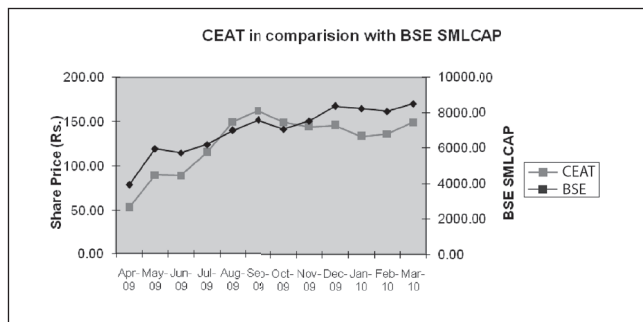
✎ Stock Code

Bombay Stock Exchange Limited - 500878
National Stock Exchange of India Limited - CEATLTD

✎ Market Price Data

For Equity Share of face value of Rs. 10/- each				
Month	BSE		NSE	
	High (Rs.)	Low (Rs.)	High (Rs.)	Low (Rs.)
April 2009	56.40	35.25	56.50	46.20
May 2009	94.85	53.15	91.00	87.00
June 2009	98.20	82.25	92.50	86.00
July 2009	135.65	86.10	120.00	115.10
August 2009	150.95	115.15	151.00	141.50
September 2009	172.60	143.00	167.45	161.20
October 2009	190.65	147.05	159.85	147.00
November 2009	162.85	131.00	145.00	139.30
December 2009	150.70	136.30	149.50	144.50
January 2010	161.00	126.50	134.50	127.20
February 2010	145.70	130.00	137.00	132.10
March 2010	171.60	136.80	151.70	146.10

✎ Share Performance of the Company in comparison to BSE SMLCAP



✎ Registrar and Transfer Agents:

Registered Office:

TSR DARASHAW LTD.

6-10, 1st Floor, Haji Moosa Patrawala Industrial Estate,
20, Dr. E. Moses Road, Mahalaxmi, Mumbai 400 011
E-mail : csg-unit@tsrdarashaw.com
Web : www.tsrdarashaw.com
Tel. : 022-66568484; Fax : 022-66568494

Branch Offices:

1. Bangalore

TSR DARASHAW LTD.

503, Barton Centre (5th Floor)
84, Mahatma Gandhi Road, Bangalore 560 001
E-mail : tsrdlbgang@tsrdarashaw.com
Tel. : 080 – 25320321
Fax : 080 – 25580019

2. Jamshedpur

TSR DARASHAW LTD.

Bungalow No.1, "E" Road, Northern Town,
Bistupur, Jamshedpur 831 001
E-mail : tsrdljsr@tsrdarashaw.com
Tel. : 0657-2426616
Fax : 0657-2426937

3. Kolkata

TSR DARASHAW LTD.

Tata Centre, 1st Floor,
43, J. L. Nehru Road, Kolkata 700 071
E-mail : tsrdlcal@tsrdarashaw.com
Tel. : 033-22883087
Fax : 033-22883062

4. New Delhi

TSR DARASHAW LTD.

2/42, Sant Vihar, Ansari Road, Daryaganj,
New Delhi 110 002
E-mail : tsrdldel@tsrdarashaw.com
Tel. : 011-23271805
Fax : 011-23271802

✎ Share Transfer System

All valid requests for transfer of Equity shares in physical mode received for transfer at the office of the Registrar and Transfer Agents or at the Registered Office of the Company are processed and returned within a period of 30 days from the date of receipt. The Board of Directors has delegated the power of approval of share transfers to the Company Secretary.

Every effort is made to clear share transfers/transmissions and split and consolidation requests within 21 days.

✎ Distribution of Shareholding as of March 31, 2010

No. of Equity shares held	No. of Shareholders		No. of Shares		% of Equity Capital	
	Physical	Demat	Physical	Demat	Physical	Demat
1 to 500	31827	34049	861011	3131128	2.51	9.14
501 to 1000	137	1419	92412	1038065	0.27	3.03
1001 to 2000	51	570	70490	814999	0.21	2.38
2001 to 3000	13	188	33015	462652	0.10	1.35
3001 to 4000	5	92	16585	325151	0.05	0.95
4001 to 5000	1	56	4530	258433	0.01	0.76
5001 to 10000	5	75	40150	544115	0.12	1.59
More than 10001	3	118	1815298	24735500	5.30	72.23
Total	32042	36567	2933491	31310043	8.57	91.43

✎ Dematerialisation of shares

The Company has arrangement with National Securities Depository Limited (NSDL) as well as Central Depository Services (India) Limited (CDSL) for dematerialization of shares with ISIN No. **INE 482A01020 for both NSDL and CDSL**.

Approximately 91.43 % of the Equity share capital corresponding to 31310043 equity shares is held in dematerialised form as of March 31, 2010.

✎ Categories of Shareholding as of March 31, 2010

Category	No. of Shares	Percentage
Promoters Holdings (Indian and Foreign)	16596578	48.47
Mutual Funds	3399278	9.93
Banks, Financial Institutions, Insurance Companies and others	2697606	7.88
Foreign Institutional Investors	1308964	3.82
Non Resident Indians	277906	0.81
Corporate Bodies, Indian Public and Others	9963202	29.10
Total	34243534	100.00

✎ Outstanding GDRs / ADRs / Warrants / Any Other Convertible Instruments

The Company has not issued any such instruments.

✎ Plant Locations

Mumbai Plant : Village Road, Bhandup,
Mumbai 400 078.

Nasik Plant : 82, MIDC Industrial Estate,
Satpur, Nasik 422 007.

Halol, Gujarat Plant* : Village Gate Muvala,
Halol, Panchmahal 389 350

* Under commissioning

✎ National Electronic Clearing Service (NECS) Facility

With respect to payment of dividend, the Company provides the facility of NECS to Shareholders residing in the cities where such facility is available.

In order to avoid the risk of loss/interception of Dividend Warrants in postal transit and/or fraudulent encashments of Dividend Warrants, shareholders are requested to avail of NECS facility whereby the dividends will be directly credited in electronic form to their respective bank accounts. This will ensure speedier credit of dividend and the Company will duly inform the concerned shareholders when the credits are passed to their respective bank accounts. The requisite application form can be obtained from the office of TSR Darashaw Limited, the Registrars and Transfer Agents, of the Company.

The Company proposes to credit dividend to the shareholders' bank account directly through NECS where such facility is available in case of shareholders holding shares in demat account and who have furnished their MICR Code to their Depository Participant (DP).

Shareholders located in places where NECS facility is not available, may kindly submit their bank details to enable the Registrars to incorporate the same on the Dividend Warrants, in order to avoid fraudulent encashment of the Dividend Warrants.

✎ Code of Conduct

The Board has laid down a Code of Conduct for all Board Members and Senior Management of the Company, which is posted on the website of the Company.

All Board Members and Senior Management Personnel have affirmed compliance with the Code for the financial year ended March 31, 2010. A declaration to this effect signed by the Managing Director forms part of this Report.

Declaration - Code of Conduct

All Board Members and the Senior Management Personnel have, for the year ended March 31, 2010, affirmed compliance with the Code of Conduct laid down by the Board of Directors in terms of the Listing Agreement entered into with the Stock Exchanges.

For **CEAT Limited**

Sd/-

Mumbai,
Date : April 29, 2010

Paras K. Chowdhary
Managing Director

✎ **Compliance Officer**

Mr. H. N. Singh Rajpoot

Company Secretary
CEAT Limited
CEAT Mahal
463, Dr. Annie Besant Road
Worli, Mumbai 400 030
Tel: 91-22-2493 0621
Fax: 91-22-6660 6039
Email: investors@ceat.in

Identified as having been approved by the Board of Directors of CEAT Limited

Mumbai,
Date : April 29, 2010

H. N. Singh Rajpoot
Company Secretary

To The Members of
CEAT LIMITED

We have examined the compliance of conditions of Corporate Governance by CEAT Limited (the Company) for the year ended March 31, 2010, as stipulated in Clause 49 of the Listing Agreement of the said Company with Stock Exchanges.

The compliance of conditions of Corporate Governance is the responsibility of the Management. Our examination has been limited to a review of the procedures and implementations thereof, adopted by the Company for ensuring compliance with the conditions of Corporate Governance as stipulated in the said Clause. It is neither an audit nor an expression of opinion on the financial statements of the Company.

In our opinion and to the best of our information and according to the explanations given to us and the representations made by the Directors and the Management, we certify that the Company has complied with the conditions of Corporate Governance as stipulated in Clause 49 of the above mentioned Listing Agreement.

As required by the Guidance Note issued by the Institute of Chartered Accountants of India, we have to state that based on the report issued by the Registrars of the Company to the Shareholders/Investors' Grievance Committee, as on March 31, 2010 there were no investor grievance matters against the Company remaining unattended / pending for more than 30 days.

We further state that such compliance is neither an assurance as to the future viability of the Company nor of the efficiency or effectiveness with which the Management has conducted the affairs of the Company.

For N.M. RAJI & CO.,
Chartered Accountants
Registration No. 108296W

CA.Y.N. THAKKAR
Partner
Membership No. 33329

Mumbai,
Date : April 29, 2010

PERSONS CONSTITUTING GROUP COMING WITHIN THE DEFINITION OF “GROUP” FOR THE PURPOSE OF REGULATION 3 (1) (e) (I) OF THE SECURITIES AND EXCHANGE BOARD OF INDIA (SUBSTANTIAL ACQUISITION OF SHARES AND TAKEOVERS) REGULATIONS, 1997 INCLUDE THE FOLLOWING:

Accurate Commodore Private Limited
 Adapt Investments Limited
 Adorn Investments Limited
 Alipore Towers Private limited
 Allwyn Apartments Private limited
 Amber Apartments Private Limited
 Atlantic Holdings Limited
 B N Elias & Company Private Limited
 Best Apartments Private Limited
 Blue Niles Holdings Limited
 Brabourne Investments Limited
 Carnival Investments Limited
 CESC Limited
 Chhatrapati Investments Limited
 Dakshin Bharat Petrochem Limited
 Eastern Aviation & Industries Private Limited
 FGP Limited
 Goodhope Sales Private Limited
 Goodluck Dealcom Private Limited
 Harrisons Malayalam Financial Services Limited
 Harrisons Malayalam Limited
 Highway Apartments Limited
 Idea Tracom Private Limited
 Indent Investments Limited
 Instant Holdings Limited
 Integrated Coal Mining Limited
 KEC International Limited
 Kestrel Investments Limited
 Kutub Properties Private Limited
 Malabar Coastal Holdings Limited
 Off Shore India Limited
 Organised Investments Limited
 Pedriano Investments Limited
 Peregrine Investments Limited
 Petrochem International Limited
 Phillips Carbon Black Limited
 Puffin Investments Limited
 Rainbow Investments Limited

RPG Cellular Investments & Holdings Private Limited
 RPG Enterprises Limited
 RPG Farms Limited
 RPG Industries Private Limited
 RPG Infrastructure Investments Limited
 RPG Landscapes Limited
 RPG Life Sciences Limited
 RPG Resorts Limited
 Sarala Pharmaceuticals Limited
 Saregama India Limited
 Shaft Investments Private Limited
 South Asia Electricity Holdings Limited
 Spencer & Co Limited
 Spencer International Hotels Limited
 Spencer Travel Services Limited
 Spencer's Retail Limited
 Sri Krishna Chaitanya Trading Co Private Limited
 Sri Parvathi Suthan Trading Co Private Limited
 Stylefile Events Limited
 Summit Securities Limited
 Swallow Investments Limited
 Tirumala Dealtrade Private Limited
 Trade Apartments Limited
 Ujala Agency Private Limited
 Universal Industrial Fund Limited
 Zensar Technologies Limited
 Rama Prasad Goenka & Sons (HUF)
 Harsh Anant Goenka (HUF)
 Sanjiv Goenka & Others (HUF)
 Sri. Rama Prasad Goenka
 Smt. Sushila Goenka
 Sri. Harsh Vardhan Goenka
 Smt. Mala Goenka
 Sri. Sanjiv Goenka
 Smt. Preeti Goenka
 Sri. Anant Vardhan Goenka
 Smt. Radha Goenka
 Sri. Shashwat Goenka

Auditors' Report

TO THE MEMBERS OF CEAT LIMITED

1. We have audited the attached Balance Sheet of CEAT LIMITED, as at 31st March 2010, the Profit and Loss Account and also the Cash Flow Statement for the year ended on that date annexed thereto. These financial statements are the responsibility of the Company's management. Our responsibility is to express an opinion on these financial statements based on our audit.
2. We conducted our audit in accordance with the auditing standards generally accepted in India. Those Standards require that we plan and perform the audit to obtain reasonable assurance about whether the financial statements are free of material misstatement. An audit includes examining, on a test basis, evidence supporting the amounts and disclosures in the financial statements. An audit also includes assessing the accounting principles used and significant estimates made by management, as well as evaluating the overall financial statement presentation. We believe that our audit provides a reasonable basis for our opinion.
3. As required by the Companies (Auditor's Report) Order, 2003 issued by the Central Government of India in terms of sub-section (4A) of Section 227 of the Companies Act, 1956 and on the basis of such checks of the books and records of the Company as we considered appropriate and according to the information and explanations given to us during the course of the audit, we enclose in the Annexure a statement on the matters specified in paragraphs 4 and 5 of the said Order.
4. Further to our comments in the Annexure referred to above and our comments in paragraph 3 above, we report that:
 - (i) We have obtained all the information and explanations, which to the best of our knowledge and belief were necessary for the purposes of our audit;
 - (ii) In our opinion, proper books of account as required by law have been kept by the Company so far as appears from our examination of those books;
 - (iii) The Balance Sheet, Profit and Loss Account and Cash Flow Statement dealt with by this report are in agreement with the books of account;
 - (iv) In our opinion, the Balance Sheet, Profit and Loss Account and Cash Flow Statement dealt with by this report comply with the Accounting Standards prescribed by the Companies (Accounting Standards) Rules, 2006 as sub-section (3C) of Section 211 of the Companies Act, 1956;
 - (v) On the basis of written representations received from the directors, as on 31st March 2010, and taken on record by the Board of Directors, we report that none of the directors of the Company is disqualified as on 31st March 2010 from being appointed as a director in terms of clause (g) of sub-section (1) of Section 274 of the Companies Act, 1956;
 - (vi) In our opinion and to the best of our information and according to the explanations given to us, the said accounts read together with the notes thereon give the information required by the Companies Act, 1956, in the manner so required and give a true and fair view in conformity with the accounting principles generally accepted in India:
 - (a) In the case of the Balance Sheet, of the state of affairs of the Company as at 31st March 2010;
 - (b) In the case of the Profit and Loss Account, of the Profit for the year ended on that date; and
 - (c) In the case of the Cash Flow Statement, of the Cash Flow for the year ended on that date.

For N. M. RAIJI & CO.,
Chartered Accountants
Registration No. 108296W

CA. Y.N. THAKKAR
Partner
Membership No. 33329

Place : Mumbai
Date : April 29, 2010

Annexure to the Auditors' Report

(Referred to in paragraph 3 of our report of even date)

- (i) (a) The Company has maintained proper records showing full particulars, including quantitative details and situation of fixed assets.
- (b) The Company has a programme of physical verification of fixed assets. As per the said programme, certain assets were physically verified during the year. In our opinion, the frequency of physical verification is reasonable having regard to the size and operations of the Company and nature of its assets. No material discrepancies were noticed on such verification.
- (c) The Company has not disposed off substantial part of fixed assets during the year.
- (ii) (a) The inventories have been physically verified by the management at reasonable intervals during the year.
- (b) In our opinion, the procedures of physical verification of inventories followed by the management are reasonable and adequate in relation to the size of the Company and the nature of its business.
- (c) In our opinion, the Company is maintaining proper records of inventory. The discrepancies noticed on physical verification were not material in relation to the operations of the Company and the same have been properly dealt with in the books of account.
- (iii) The Company has neither granted nor taken any loans, secured or unsecured to / from companies, firms or other parties covered in the register maintained under Section 301 of the Companies Act, 1956. Accordingly, sub-clause (b), (c), (d), (f) and (g) are not applicable.
- (iv) In our opinion, there are adequate internal control system commensurate with the size of the Company and the nature of its business for the purchase of inventory and fixed assets and for the sale of goods and services. During the course of our audit, we have not observed any major weaknesses in internal controls.
- (v) There are no particulars of contracts or arrangements referred to in Section 301 of the Companies Act, 1956 that need to be entered into the register maintained in pursuance of Section 301. Accordingly, sub-clause (b) is not applicable.
- (vi) In our opinion, the Company has complied with the provisions of Sections 58A, 58AA or any other relevant provisions of the Companies Act, 1956 and the Companies (Acceptance of Deposits) Rules, 1975, with regard to the deposits accepted from the public. As informed to us, no order has been passed by the Company Law Board or National Company Law Tribunal or Reserve Bank of India or any other court or any other Tribunal.
- (vii) In our opinion, the Company has an internal audit system commensurate with its size and nature of its business.
- (viii) We have broadly reviewed, without carrying out a detailed examination, the books of account maintained by the Company pursuant to the Rules made by the Central Government for the maintenance of cost records under Section 209(1)(d) of the Companies Act, 1956 and are of the opinion that prima facie, the prescribed accounts and records are being maintained.
- (ix) (a) According to the records of the Company, the Company is generally regular in depositing with the appropriate authorities undisputed statutory dues including Provident Fund, Investor Education and Protection Fund, Employees' State Insurance, Income-tax, Sales-tax, Wealth-tax, Service Tax, Custom Duty, Excise Duty, and Cess. Based on our audit procedures and according to the information and explanations given to us, there are no arrears of undisputed statutory dues which remained outstanding as at 31st March 2010 for a period of more than six months from the date they became payable.
- (b) According to the records made available to us and the information and explanations given by the management, the details of the dues of Income tax / Sales tax / Wealth tax / Service Tax / Custom duty / Excise duty / cess, which have not been deposited with the appropriate authorities on account of any dispute, are given in the Appendix to this report.
- (x) The Company does not have any accumulated losses at the end of the financial year and has not incurred cash losses during the financial year covered by our audit and in the immediately preceding financial year.
- (xi) According to the records made available to us and the information and explanations given by the management, the Company has not defaulted in the repayment of dues to financial institutions or banks.
- (xii) The Company has not granted loans and advances on the basis of security by way of pledge of shares, debentures and other securities.
- (xiii) The Company is not a chit / nidhi / mutual benefit fund / society.

Annexure to the Auditors' Report

- (xiv) The Company is not dealing in or trading in shares, securities debentures and other investments.
- (xv) During the year, the Company has not given any guarantee for loans taken by others from banks or financial institutions.
- (xvi) In our opinion, the term loans availed by the Company during the year have been applied for the purposes for which they were obtained.
- (xvii) According to the information and explanations given to us, we report that no short-term funds have been used for long-term purposes.
- (xviii) During the year, the Company has not made any preferential allotment of shares to parties and companies covered in the register maintained under Section 301 of the Companies Act, 1956.
- (xix) During the year, the Company has not issued any debentures.
- (xx) The Company has not raised any money by public issue during the year.
- (xxi) According to the information and explanations given to us, no fraud on or by the Company, has been noticed or reported during the course of our audit..

For N.M. RAIJI & CO.,
Chartered Accountants
Registration No. 108296W

CA.Y.N. THAKKAR
Partner
Membership No. 33329

Place : Mumbai
Date : April 29, 2010

Appendix to Auditors' Report

Name of the Statute	Nature of the Dues	Amount (Rs. in Crores)	Financial year to which the matter pertains	Forum where dispute is pending
The Central Excise Act, 1944	Excise Duty	5.19	1997 - 1998	Supreme Court
		36.69	1978-1979 to 2007-2008	CESTAT *
		0.50	1996-1997 to 2007-2008	Commissioner (Appeals)
Service Tax (Chapter V of the Finance Act, 1944)	Service Tax	0.02	2004-2005, 2005-2006	Commissioner (Appeals)
State and Central Sales Tax Act	Tax, Interest and Penalty	0.36	1987-1988 to 1989- 1990, 1994-1995, 1999-2000, 2000-01, 2002-03	Various High Courts
	Tax, Interest and Penalty	0.85	1988-1989, 1995-1996, 1996-1997, 1998-1999, to 2003-04	Various Tribunals
	Tax, Interest and Penalty	57.83	1993-94 to 2006-07	Commissioner (Appeals)
Income Tax Act, 1961	Tax	4.96	2006-07	Commissioner (Appeals)

* The Customs, Excise and Service Tax Appellate Tribunal

Balance Sheet as at March 31, 2010

(Rs.in Lacs)

	SCHEDULE	As at 31.03.2010	As at 31.03.2009
SOURCES OF FUNDS			
SHAREHOLDERS' FUNDS			
Share Capital	1	34,24.35	34,24.35
Reserves and Surplus	2	594,47.10	454,13.80
		628,71.45	488,38.15
LOAN FUNDS			
Secured Loans	3	312,05.11	398,12.43
Unsecured Loans	4	341,79.44	247,01.99
		653,84.55	645,14.42
DEFERRED TAX LIABILITY (Net)			
		20,16.83	16,30.38
		1,302,72.83	1,149,82.95
APPLICATION OF FUNDS			
FIXED ASSETS			
Gross Block	5	1,256,41.14	1,234,05.98
Less : Depreciation		487,48.36	458,67.39
Net Block		768,92.78	775,38.59
Capital Work-in-progress		233,83.80	19,56.10
		1,002,76.58	794,94.69
INVESTMENTS			
	6	58,50.77	42,66.71
CURRENT ASSETS, LOANS AND ADVANCES			
Inventories	7	406,07.57	219,41.63
Sundry Debtors	8	376,31.61	318,70.85
Cash and Bank Balances	9	139,98.91	201,51.84
Loans and Advances	10	110,10.26	79,42.64
		1,032,48.35	819,06.96
Less :			
CURRENT LIABILITIES AND PROVISIONS			
Current Liabilities	11	754,67.05	489,05.12
Provisions	12	36,35.82	17,80.29
		791,02.87	506,85.41
NET CURRENT ASSETS			
		241,45.48	312,21.55
		1,302,72.83	1,149,82.95
Notes forming part of the Accounts	20		

As per our report attached

For N.M. Raiji & Co.,
Chartered Accountants

CA Y.N. Thakkar
Partner

Mumbai, April 29,2010

Sunil Sapre
Chief Financial Officer

H.N. Singh Rajpoot
Company Secretary

On behalf of the Board of Directors

H.V. Goenka Vice Chairman

Hari L. Mundra Chairman - Audit Committee

Paras K. Chowdhary Managing Director

Mumbai, April 29, 2010

Profit and Loss Account for the year ended March 31, 2010

(Rs.in Lacs)

	SCHEDULE	2009-2010	2008-2009
INCOME			
Sales		2,989,97.20	2,611,22.80
Less : Excise duty on Sales		182,49.60	244,73.88
Net Sales		2,807,47.60	2,366,48.92
Other Income	13	42,14.87	49,13.00
		2,849,62.47	2,415,61.92
EXPENDITURE			
Materials	14	1,728,25.69	1,704,28.51
Cost of Traded Goods Sold	15	163,13.64	106,64.56
Personnel	16	192,68.04	160,69.27
Other Expenses	17	465,39.78	397,65.10
Interest	18	56,83.13	69,69.81
Depreciation		31,58.79	34,52.02
Less : Transferred from Revaluation Reserve		4,68.32	8,76.94
Less : Transferred to Pre-Operative Expenses		2.18	13.35
		26,88.29	25,61.73
		2,633,18.57	2,464,58.98
Add / (Less) : Decrease / (Increase) in stock	19	(22,55.75)	(11,79.83)
		2,610,62.82	2,452,79.15
PROFIT / (LOSS) BEFORE TAXATION		238,99.65	(37,17.23)
Less : Provision for Taxation			
Current Tax		74,09.05	9.94
Short /(Excess) Provision		—	(11,88.55)
Deferred Tax		3,86.45	(11,00.03)
Fringe Benefit Tax		—	1,72.58
		77,95.50	(21,06.06)
PROFIT / (LOSS) AFTER TAX		161,04.15	(16,11.17)
Add : Balance brought forward		108,44.40	124,55.57
AMOUNT AVAILABLE FOR APPROPRIATION		269,48.55	108,44.40
APPROPRIATIONS			
Proposed Dividend		13,69.74	—
Tax on Proposed Dividend		2,32.79	—
Transferred to General Reserve		16,15.00	—
		32,17.53	—
Balance carried to Balance Sheet		237,31.02	108,44.40
		269,48.55	108,44.40
Earnings Per Share - Basic & Diluted (Rs.) (Refer Note No.24 of Schedule 20)		47.03	(4.71)
Notes forming part of the Accounts	20		

As per our report attached

For N.M. Raiji & Co.,
Chartered Accountants

CA Y.N. Thakkar
Partner

Mumbai, April 29,2010

Sunil Sapre
Chief Financial Officer

H.N. Singh Rajpoot
Company Secretary

On behalf of the Board of Directors

H.V. Goenka Vice Chairman

Hari L. Mundra Chairman - Audit Committee

Paras K. Chowdhary Managing Director

Mumbai, April 29, 2010

Cash Flow Statement for the year ended March 31, 2010

(Rs. in Lacs)

	31.03.2010	31.03.2009
A CASH FLOW FROM OPERATING ACTIVITIES :		
Net Profit Before Tax	238,99.65	(37,17.23)
Adjustments for :		
Depreciation	26,88.29	25,61.73
Interest income	(17,09.39)	(11,41.22)
Unrealised exchange variation (net)	(9,46.13)	1,33.18
Dividend income	(1,91.10)	(1,03.54)
Provision for Doubtful debt	88.83	2,19.17
Provision for Doubtful debt - Written Back	—	(2.03)
Provisions no longer required Written back	(2,57.95)	(2,02.45)
Provision for Obsolescence of Stores	—	2,17.59
Advance/Bad debts written Off	8.88	15.99
(Profit) / Loss on sale of fixed assets - Net	50.79	31.40
Interest expense	56,83.13	69,69.81
	<u>54,15.35</u>	<u>86,99.63</u>
Operating Profit Before Working Capital Changes	293,15.00	49,82.40
Adjustments for :		
Trade and other receivables	(262,84.36)	106,11.61
Trade payable / provisions	<u>254,81.30</u>	<u>(22,99.97)</u>
	<u>(8,03.06)</u>	<u>83,11.64</u>
Cash Generated From Operations	285,11.94	132,94.04
Direct taxes paid	<u>(53,09.66)</u>	<u>(1,72.57)</u>
Net Cash Flow From Operating Activities (A)	232,02.28	131,21.47
B CASH FLOW FROM INVESTING ACTIVITIES :		
Purchase of fixed assets	(235,85.93)	(40,87.22)
Sale of fixed assets	88.85	14,18.38
Purchase of Investments	(56,90.72)	(33,00.00)
Sale of Investments	41,06.67	-
Interest received	8,88.46	6,03.49
Dividend received	<u>1,91.10</u>	<u>97.05</u>
Net Cash from Investing Activities (B)	(240,01.57)	(52,68.30)

Cash Flow Statement for the year ended March 31, 2010 (Contd.)

(Rs. in Lacs)

	31.03.2010	31.03.2009
C CASH FLOW FROM FINANCING ACTIVITIES		
Interest paid	(63,85.73)	(68,44.75)
(Decrease)/Increase in borrowings	10,26.57	165,98.12
Dividend paid (Inclusive of Dividend Distribution Tax)	5.52	(16,13.41)
Net Cash Received/(Used) in Financing Activities (C)	(53,53.64)	81,39.97
Net (Decrease) / Increase in Cash or Cash Equivalent (A+B+C)	(61,52.93)	159,93.14
Cash and cash equivalents - Opening balance	201,51.84	41,58.70
Cash and cash equivalents - Closing balance	139,98.91	201,51.84
Net (Decrease) / Increase as Disclosed Above	(61,52.93)	159,93.14

Notes :

- 1 Previous year's figures have been regrouped wherever necessary.
- 2 Closing cash & cash Equivalents represents "Cash and Bank Balances " except Rs. 34.46 lacs (Previous year Rs. 39.97 lacs) lying in separate bank accounts on account of unclaimed dividend which is not available for use by the company.
- 3 All Figures in brackets are outflows.

As per our report attached

For N.M. Raiji & Co.,
Chartered Accountants

CA Y.N. Thakkar
Partner

Mumbai, April 29,2010

Sunil Sapre
Chief Financial Officer

H.N. Singh Rajpoot
Company Secretary

On behalf of the Board of Directors

H.V. Goenka Vice Chairman

Hari L. Mundra Chairman - Audit Committee

Paras K. Chowdhary Managing Director

Mumbai, April 29, 2010

Schedules forming part of the Balance Sheet as at March 31, 2010

(Rs. in Lacs)

	As at 31.03.2010	As at 31.03.2009
SCHEDULE 1		
SHARE CAPITAL		
Authorised :		
4,61,00,000 (4,61,00,000) Equity Shares of Rs. 10 each	46,10.00	46,10.00
39,00,000 (39,00,000) Preference Shares of Rs. 10 each	3,90.00	3,90.00
1,00,00,000 (1,00,00,000) Unclassified Shares of Rs. 10 each	10,00.00	10,00.00
	60,00.00	60,00.00
Issued :		
3,42,44,222 (3,42,44,222) Equity Shares of Rs. 10 each (Includes 1,463 (2,337) Shares offered on Right basis and kept in abeyance)	34,24.42	34,24.42
	34,24.42	34,24.42
Subscribed and paid-up :		
3,42,43,534 (3,42,43,534) Equity Shares of Rs.10 each, fully paid-up	34,24.35	34,24.27
Add : Received during the year out of shares kept in abeyance	—	0.08
	34,24.35	34,24.35

Notes:

Of the above Equity Shares

- (a) 6,90,576 Shares of Rs. 10 each were allotted pursuant to Schemes of Amalgamation without payment being received in cash.
- (b) 40,40,223 Shares were allotted as fully paid Bonus Shares by capitalisation of Share Premium and General Reserve.

Schedules forming part of the Balance Sheet as at March 31, 2010

(Rs.in Lacs)

	As at 31.03.2010	As at 31.03.2009
SCHEDULE 2		
RESERVES AND SURPLUS		
Capital Reserve :	2,71.45	2,71.45
Share Premium :		
Balance - 1 April, 2009	165,23.65	165,23.23
Add : Received during the year	—	0.42
	165,23.65	165,23.65
Capital Redemption Reserve :	3,90.00	3,90.00
General Reserve :		
Balance - 1 April, 2009	169,15.98	169,15.98
Add : Transfer from Profit and Loss Account	16,15.00	—
	185,30.98	169,15.98
Revaluation Reserve :		
Balance - 1 April, 2009	4,68.32	13,45.23
(Add) /Less : Adjustments	—	(0.03)
Less : Depreciation	4,68.32	8,76.94
	—	4,68.32
Profit and Loss Account	237,31.02	108,44.40
	594,47.10	454,13.80
SCHEDULE 3		
SECURED LOANS		
Loans from Banks / Financial Institutions :		
IDBI Bank Limited - (Note 1)	6,00.00	9,00.00
ICICI Bank Limited - (Note 2)	27,57.00	36,76.00
ICICI Bank Limited - (Note 3)	57,65.50	60,70.19
Yes Bank Limited - (Note 4)	—	33,33.33
Exim Bank Ltd. - (Note 5)	37,50.00	50,00.00
Corporation Bank Ltd. - (Note 5)	43,75.00	50,00.00
Bank of Baroda - (Note 6)	20,00.00	—
Bank of India - (Note 6)	20,00.00	—
IDBI Bank Limited - Project Loan (Note 6)	2,49.03	—
Bank Borrowings : (Note 7)		
Working Capital Demand Loan	40,00.00	—
Cash Credit Facilities	23,56.85	15,81.32
Export Packing Credit	33,39.58	142,25.39
Vehicle loan (Note 8)	12.15	26.20
	312,05.11	398,12.43

In respect of the above loans, Rs.41,99.46 lacs (Previous year Rs.67,39.78 lacs) due and repayable within a year.

Schedules forming part of the Balance Sheet as at March 31, 2010

(Rs. in Lacs)

SCHEDULE 3 - SECURED LOANS (Continued)

1. Term loan availed from IDBI Bank Limited of Rs. 6,00.00 lacs (Previous year Rs 9,00.00 lacs) is secured by first pari passu charge on Fixed Assets of the Company situated at Bhandup and Nasik plants, both present and future.
2. ECB loan availed from ICICI Bank Limited of USD 6.00 million (Previous year USD 8.00 million) equivalent to Rs. 27,57.00 lacs (Previous year Rs. 36,76.00 lacs) is secured by first pari passu charge on all movable and immovable properties of the Company situated at Bhandup and Nasik plants, both present and future.
3. ECB loan availed from ICICI Bank Limited of USD 12.50 million (Previous year USD 12.50 million) equivalent to Rs. 57,65.50 lacs (Previous year Rs. 60,70.19 lacs) is secured by a first pari passu charge on the Fixed Assets of the Company situated at Bhandup, Nasik and Halol, Gujarat both present and future. The company is in the process of creating the charge on its immovable properties located at Bhandup, Nasik and Halol, Gujarat.
4. Term Loan availed from Yes Bank of Rs.33,33.33 lacs has been fully paid off during the year. Pursuant to the repayment, the charge created for the term loan has been satisfied.
5. Term Loan availed from Exim Bank of Rs. 37,50.00 lacs (Previous year Rs.50,00.00 lacs) and Corporation Bank of Rs.43,75.00 lacs (Previous year Rs. 50,00.00 lacs) has been secured by a first pari passu charge on the immovable property of the Company situated at CEAT Mahal, Worli, Mumbai.
6. Project Term loan availed from Bank of India of Rs. 20,00.00 lacs (Previous year Rs.Nil), Bank of Baroda of Rs. 20,00.00 lacs (Previous year Rs.Nil) and IDBI of Rs. 2,49.03 lacs (Previous year Rs.Nil) is secured by a first pari passu charge on the immovable and movable properties of the Company situated at Bhandup, Nasik and Halol, Gujarat both present and future. The Company has created charge on the movable Fixed Assets of the Company in favour of Bank of India and IDBI Bank Ltd. The Company is in the process of creating the charge on its immovable properties located at Bhandup, Nasik and Halol, Gujarat.
7. Working Capital facilities availed from Consortium of Banks led by Bank of India are secured by hypothecation of first pari passu charge on Inventories and Book debts and by second pari passu charge on immovable properties of the Company situated at Bhandup, Nasik plants and CEAT Mahal property at Worli. The Company is in process of creating the second pari – passu charge on immovable properties situated at Halol, Gujarat.
8. The vehicle loans availed from Banks and Financial Companies are secured by way of hypothecation of the vehicles financed by them.

	As at 31.03.2010	As at 31.03.2009
SCHEDULE 4		
UNSECURED LOANS		
Term Loan from Bank	—	5,00.00
Public Deposits	76,52.53	33,95.59
Interest Free Sales Tax Loan	—	22.21
Deferred Sales Tax Incentive - (SICOM LTD)	40,79.90	23,83.59
Deposits from dealers	224,47.01	184,00.60
	341,79.44	247,01.99

In respect of the above loans, Rs. 21,08.22 lacs (Previous year Rs.20,56.73 lacs) due and repayable within a year.

Schedules forming part of the Balance Sheet as at March 31, 2010

(Rs.in Lacs)

SCHEDULE 5

FIXED ASSETS

	COST				DEPRECIATION				NET VALUE
	As at 01.04.2009	Additions / Adjustments	Deductions / Adjustments	As at 31.03.2010	As at 01.04.2009	For the year 2009-2010	On deductions/ Adjustments	As at 31.03.2010	As at 31.03.2010
Owned Assets									
Land									
Freehold	407,98.45	33.79	—	408,32.24	—	—	—	—	408,32.24
	(393,33.86)	(14,64.59)	(—)	(407,98.45)	(—)	(—)	(—)	(—)	(407,98.45)
Leasehold	26,36.36	—	—	26,36.36	1,94.18	43.18	—	2,37.36	23,99.00
	(26,36.36)	(—)	(—)	(26,36.36)	(1,51.00)	(43.18)	(—)	(1,94.18)	(24,42.18)
Buildings	128,59.59	18.90	—	128,78.49	33,63.51	2,60.16	—	36,23.67	92,54.82
	(127,90.18)	(69.41)	(—)	(128,59.59)	(30,91.53)	(2,71.98)	(—)	(33,63.51)	(94,96.08)
Plant and Machinery	641,32.04	25,23.34	2,09.51	664,45.87	402,63.51	25,83.85	1,62.74	426,84.62	237,61.25
	(632,16.31)	(11,60.52)	(2,44.79)	(641,32.04)	(376,72.89)	(28,29.93)	(2,39.31)	(402,63.51)	(238,68.53)
Furniture and Fixtures	7,11.48	22.82	51.21	6,83.09	5,46.92	31.40	37.27	5,41.05	1,42.04
	(7,21.16)	(16.52)	(26.20)	(7,11.48)	(5,31.92)	(30.95)	(15.95)	(5,46.92)	(1,64.56)
Vehicles	7,42.45	11.67	1,56.56	5,97.56	4,02.01	42.50	77.52	3,66.99	2,30.57
	(12,09.59)	(67.28)	(5,34.42)	(7,42.45)	(4,27.14)	(75.24)	(1,00.37)	(4,02.01)	(3,40.44)
Software	5,21.51	42.20	0.28	5,63.43	2,86.50	1,66.04	0.28	4,52.26	1,11.17
	(5,21.66)	(—)	(0.15)	(5,21.51)	(1,17.55)	(1,69.09)	(0.14)	(2,86.50)	(2,35.01)
	1,224,01.88	26,52.72	4,17.56	1,246,37.04	450,56.63	31,27.13	2,77.81	479,05.95	767,31.09
	(1,204,29.12)	(27,78.32)	(8,05.56)	(1,224,01.88)	(419,92.03)	(34,20.37)	(3,55.77)	(450,56.63)	(773,45.25)
Leased Assets									
Plant and Machinery	10,04.10	—	—	10,04.10	8,10.76	31.65	—	8,42.41	1,61.69
	(10,04.10)	(—)	(—)	(10,04.10)	(7,79.11)	(31.65)	(—)	(8,10.76)	(1,93.34)
	10,04.10	—	—	10,04.10	8,10.76	31.65	—	8,42.41	1,61.69
	(10,04.10)	(—)	(—)	(10,04.10)	(7,79.11)	(31.65)	(—)	(8,10.76)	(1,93.34)
	1,234,05.98	26,52.72	4,17.56	1,256,41.14	458,67.39	31,58.78	2,77.81	487,48.36	768,92.78
	(1,214,33.22)	(27,78.32)	(8,05.56)	(1,234,05.98)	(427,71.14)	(34,52.02)	(3,55.77)	(458,67.39)	(775,38.59)
Capital Work-in-Progress -Includes Advances against Capital Account									233,83.80
									(19,56.10)
Grand Total									1,002,76.58
									(794,94.69)

Notes:

- Building includes Rs 0.11 lacs (Previous year Rs 0.11 lacs) being value of shares held in co-operative housing societies.
- Freehold Land includes land under development amounting to Rs 14,98.38 lacs (Previous year : Rs 14,64.59 lacs) for new Project.
- Fixed assets cost includes assets revalued during last five years on the basis of valuation report submitted by approved valuers about their market value as summarised below :

	Gross amount written up on revaluation (Net of deletions /adjustments)	Depreciation provided upto 31.03.2010 (Net of deletions /adjustments)	Amount written up (Net of depreciation adjustments)
Land	280,62.13	1,36.39	279,25.74
Buildings	7,42.90	2,00.25	5,42.65
Plant & Machinery	90.59	8.90	81.69
	288,95.62	3,45.54	285,50.08

- Capital Work-in-progress includes pre-operative expenses incurred for Radial Project amounting to Rs 31,37.58 lacs. (Previous year Rs.9,78.56 lacs) (Refer note 16 of Schedule 20 for details)

Schedules forming part of the Balance Sheet as at March 31, 2010

SCHEDULE 6

INVESTMENTS (At cost)

(Rs. in Lacs)					
	Face Value (Rs.)	Holdings (Nos.)	As at 31.03.2010	Holdings (Nos.)	As at 31.03.2009
A LONG TERM - Fully Paid					
Equity Shares					
Unquoted (Trade)					
Associated CEAT Holdings Co. Pvt. Limited (Subsidiary) *	LKR 10	5,484,211.00	15,08.60	1,800,000.00	1,18.28
Rado Tyres Limited	10	1,606,350.00	41.77	1,606,350.00	41.77
			15,50.37		1,60.05
* 36,84,211 Shares acquired during the year					
B CURRENT					
Unquoted (Non-Trade)					
Dividend Daily Reinvest Plan	Face Value	Units		Units	
Liquid	(Rs.)	(Nos.)		(Nos.)	
Reliance Liquid Fund - Treasury Plan - Institutional	10	3,271,038.86	5,00.05	—	
IDFC Cash Fund - Super Institutional Plan	10	4,999,270.22	5,00.05	—	
Birla Cash Plus Institutional Premium Plan	10	—	—	2,994,614.40	3,00.05
Fidelity Cash Fund Institutional	10	—	—	6,016,396.04	6,01.65
Fidelity Cash Fund Super Institutional	10	—	—	3,998,501.33	4,00.06
Templeton India Treasury Management Account Super Institutional Plan	10	—	—	70,051.89	7,00.99
DWS Insta Cash Plus Fund - Super Institutional Plan	10	—	—	3,993,228.53	4,00.12
Liquid Plus					
Birla Sun Life Savings Fund - Institutional	10	—	—	10,011,069.39	10,01.78
ICICI Prudential Flexible Income Plan Premium	10	—	—	6,639,403.96	7,02.01
Birla Sun Life Short Term Fund - Institutional	10	4,997,935.80	5,00.07	—	—
ICICI Prudential Flexible Income Plan Premium	100	283,728.19	3,00.00	—	—
UTI Treasury Advantage Fund - Institutional Plan	1,000	99,989.63	10,00.12	—	—
LICMF Savings Plus Fund	10	10,000,780.69	10,00.07	—	—
SBI-SHF- Ultra Short Term Fund - Institutional Plan	10	4,997,541.76	5,00.04	—	—
			43,00.40		41,06.66
Aggregate cost of Unquoted Investment (A + B)			58,50.77		42,66.71

Notes :

Following investments were acquired and sold during the year

Non trade Current unquoted	Face Value Rs.	Units
Liquid Daily Dividend Reinvest Plan		
Birla Sun Life Cash Manager - Institutional Plan	10	147,536,550.98
Birla Sun Life Cash Plus - Institutional Plan	10	67,145,049.31
TATA Liquid Super High Investment Fund	10	493,531.62

Schedules forming part of the Balance Sheet as at March 31, 2010

SCHEDULE 6

INVESTMENTS (At cost) (Continued)

Non trade Current unquoted	Face Value Rs.	Units
DWS Insta Cash Plus Fund Super - Institutional Plan	10	53,390,112.75
Reliance Liquidity Fund	10	65,527,329.90
Reliance Liquid Fund Treasury Plan Institutional	10	40,896,616.60
ICICI Prudential Institutional Liquid Plan Super Institutional	10	98,761,820.21
ICICI Prudential Liquid Super Institutional Plan	10	6,675,948.19
Fidelity Cash Fund (Institutional)	10	4,004,324.74
Fidelity Cash Fund (Super Institutional)	10	31,515,479.56
Templeton India TREASURY MANAGEMENT ACCOUNT Super Institutional Plan	10	615,015.22
Fortis Overnight Fund Institutional	10	14,996,650.37
Fortis Overnight Fund Institutional Plus	10	57,510,559.68
Taurus Liquid Fund Institutional	10	5,000,110.86
Taurus Liquid Fund Super Institutional	10	6,000,413.22
Taurus Liquid Fund Super Institutional	10	50,003.75
UTI Liquid Cash Plan Institutional	10	132,531.26
UTI Money Market Mutual Fund Institutional	10	2,996,877.02
UTI Money Market Mutual Fund Institutional	10	249,188.93
HDFC Liquid Fund Premium Plan	10	38,140,614.41
HDFC Cash Management Fund Savings Plan	10	18,338,990.66
Kotak Liquid (Institutional Premium)	10	40,895,178.39
LICMF Liquid Fund Dividend Plan	10	141,666,201.44
DSP BlackRock Liquidity Fund Institutional Plan	10	99,989.44
DSP BlackRock Liquidity Fund Regular Plan	10	3,996,372.46
SBI Magnum Insta Cash Fund	10	2,985,343.72
Liquid Plus - Daily Dividend Reinvest Plan		
Birla Sun Life Savings Fund Institutional	10	16,075,844.21
TATA Floater Fund	10	16,982,955.15
TATA Treasury Manager SHIP	10	277,422.51
DWS Cash Opportunities Fund Regular Plan	10	8,042,438.24
DWS Cash Opportunities Fund Institutional	10	8,008,068.81
Reliance Money Manager Fund Institutional	10	234,835.04
ICICI Prudential Flexible Income Plan Premium	10	21,849,947.44
Fidelity Ultra Short Term Debt Fund Institutional	10	15,530,118.61
Templeton Floating Rate INCOME FUND Long Term Plan Super Institutional	10	20,174,175.31
Templeton India Ultra Short Bond Fund Institutional Plan	10	13,010,671.71
Fortis Money Plus Institutional Plan	10	39,097,293.22
Taurus Ultra Short Term Bond Institutional	10	2,498,709.50
Taurus Ultra Short Term Bond Super Institutional	10	8,502,042.74
Taurus Ultra Short Term Bond Super Institutional	10	49,942.08
UTI Treasury Advantage Fund Institutional Plan	10	60,003.29
Kotak Floater Long Term	10	10,917,076.76
Kotak Flexi Debt Scheme Institutional	10	10,956,063.59
LICMF Savings Plus Fund	10	7,003,770.15
LICMF Income Plus Fund	10	7,006,290.76
DSP BlackRock Floating Rate Fund Institutional Plan	10	50,003.47
DSP BlackRock Money Manager Fund Institutional Plan	10	89,988.24

Schedules forming part of the Balance Sheet as at March 31, 2010

(Rs. in Lacs)

	As at 31.03.2010	As at 31.03.2009
SCHEDULE 7		
INVENTORIES		
Stores and Spares (Net)	27,72.29	17,78.38
Stock - in - Trade :		
Raw Materials [including in transit Rs. 36,65.80 Lacs (Previous year Rs.9,95.48 Lacs)]	208,98.56	65,53.97
Semi-Finished Goods	36,60.25	17,20.79
Finished Goods [including in transit Rs.1,95.43 Lacs (Previous year Rs. 93.43 Lacs)]	132,76.47	118,88.49
	406,07.57	219,41.63
SCHEDULE 8		
SUNDRY DEBTORS		
Debts outstanding for a period exceeding six months		
Considered Good	1,14.63	1,56.19
Considered Doubtful	1,56.86	2,82.81
Less : Provided for	1,56.86	2,82.81
	1,14.63	1,56.19
Other Debts		
Considered Good	375,16.98	317,14.66
	376,31.61	318,70.85
	As at	As at
	31.03.2010	31.03.2009
Sundry Debtors		
Secured	182,87.22	147,20.28
Unsecured	193,44.39	171,50.57
Total	376,31.61	318,70.85
SCHEDULE 9		
CASH AND BANK BALANCES		
Cash on Hand	19.70	88.75
[Including cheques on hand Rs. Nil (Previous year Rs.57.95 lacs)]		
Remittance in Transit	29,64.66	26,83.72
With Scheduled Banks :		
In Current Accounts	5,75.91	15,35.13
In Deposit Accounts	103,99.17	157,99.26
In Margin Deposit Accounts *	5.01	5.01
In Unclaimed Dividend Accounts	34.46	39.97
	139,98.91	201,51.84
* Lien with Bank		

Schedules forming part of the Balance Sheet as at March 31, 2010

(Rs.in Lacs)

	As at 31.03.2010	As at 31.03.2009
SCHEDULE 10		
LOANS AND ADVANCES		
Advances receivable in Cash or in Kind or for Value to be received	50,35.08	23,81.65
Balances with Customs, Port Trust , Excise , etc.	37,90.79	28,72.19
Advance payment of Tax (net of provision)	5,30.45	18,98.15
Interest Receivables	15,64.52	7,01.23
Other Receivables	89.42	89.42
Loan, Advances and Deposits (considered doubtful)	33.33	31.54
Less : Provided for	33.33	(31.54)
	110,10.26	79,42.64
SCHEDULE 11		
CURRENT LIABILITIES		
Acceptances	155,67.00	142,61.22
Sundry Creditors :		
Due to Micro, Small and Medium Enterprise (Refer note no.19 of Schedule 20)	—	—
Due to Others	491,59.76	261,35.13
	491,59.76	
Interest Accrued but not due	4,06.95	5,28.88
Deposit from Others	55.52	54.12
Other Liabilities	102,43.04	78,85.62
Liability towards Investors Education and Protection Fund under Section 205C of the Companies Act, 1956.		
Due as at end of the year	—	—
Not due as on 31.03.2010		
Unclaimed Dividends	34.46	39.97
Unclaimed interest and matured Deposits	0.32	0.18
	34.78	
	754,67.05	489,05.12
SCHEDULE 12		
PROVISIONS		
Proposed Dividend	13,69.74	—
Corporate Tax on Proposed Dividend	2,32.79	—
Retirement and other Employee Benefits	20,33.29	17,80.29
	36,35.82	17,80.29

Schedules forming part of the Profit and Loss Account for the year ended March 31, 2010

(Rs.in Lacs)

	2009-2010	2008-2009
SCHEDULE 13		
OTHER INCOME		
Foreign Exchange Fluctuation (Net)	—	4,67.91
Sale of Scrap	10,04.07	9,34.15
Profit on Sale of Assets	0.38	9.55
Profit on Sale of Investment	0.07	—
Interest (Tax deducted at Source Rs.2,71.56 Lacs (Previous year Rs.1,42.69 Lacs)	17,09.39	11,41.22
Royalty	1,81.75	1,65.89
Provisions for Doubtful Debts / Advances Written Back	—	2.03
Provisions no longer required written back	2,57.95	2,02.45
Dividend on Investments		
Subsidiary Company	77.37	—
Others	1,13.73	1,03.54
Miscellaneous	8,70.16	18,86.26
	42,14.87	49,13.00
SCHEDULE 14		
MATERIALS		
Raw Materials		
Stock - 1st April, 2009	55,58.49	145,61.34
Add : Purchases	1,844,99.96	1,614,25.66
	1,900,58.45	1,759,87.00
Less : Stock - 31st March, 2010	172,32.76	55,58.49
	1,728,25.69	1,704,28.51
SCHEDULE 15		
COST OF TRADED GOODS SOLD		
Stock - 1st April, 2009	9,17.17	7,67.47
Add : Purchases	170,00.05	108,14.26
	179,17.22	115,81.73
Less : Stock - 31st March, 2010	16,03.58	9,17.17
	163,13.64	106,64.56
SCHEDULE 16		
PERSONNEL		
Salaries, Wages and Bonus	158,13.33	130,66.07
Provident Fund, Gratuity Fund and Superannuation Scheme etc.	17,04.57	15,35.43
Welfare Expenses	17,50.14	14,67.77
	192,68.04	160,69.27

Schedules forming part of the Profit and Loss Account for the year ended March 31, 2010

(Rs.in Lacs)

	2009-2010	2008-2009
SCHEDULE 17		
OTHER EXPENSES		
Conversion Charges	74,80.88	75,00.26
Stores and Spares Consumed	20,19.79	16,08.92
Provision for Obsolescence of Stores	—	2,17.59
Power and Fuel	108,90.74	90,53.99
Freight and Delivery Charges	63,75.59	62,41.50
Rent	5,28.30	5,68.25
Lease Rent	2,56.91	1,14.30
Rates and Taxes	3,87.08	5,03.03
Insurance	2,18.31	1,71.05
Repairs :		
Machinery	20,81.11	10,97.37
Buildings	1,50.72	3,22.79
Others	90.34	1,03.03
	23,22.17	
Travelling and Conveyance	11,77.92	11,99.59
Printing and Stationery	1,07.97	1,22.92
Directors' Fees	10.35	8.10
Auditors' Remuneration :		
Audit Fees	22.00	22.00
Taxation Matters	5.55	0.44
Other Services (Certification, Tax Audit, etc.)	18.43	19.29
Reimbursement of Expenses	4.40	3.17
	50.38	
Advertisement and Sales Promotion Expenses	21,93.27	22,19.00
Rebates and Discounts	31,55.63	11,31.04
Commission	36,55.34	34,97.69
Communication Expenses	5,58.28	3,98.29
Advances Written off	—	79.74
Less : Provision for doubtful advances written back to the extent provided	—	(79.74)
Bad Debts Written off	2,10.17	44.14
Less : Provision for doubtful debts written back to the extent provided	2,01.29	(28.15)
Provision for Doubtful Debts / Advances	88.83	2,19.17
Loss on Assets Sold / Discarded	51.17	40.95
Factory Expenses	2,13.57	2,35.22
Legal Charges	1,15.22	95.94
Finance Charges	15,43.69	14,41.41
Foreign Exchange Fluctuations (Net)	6,35.28	—
Professional and Consultancy Charges	7,16.18	6,43.94
Commission to Directors	2,00.00	—
General Expenses	15,78.05	9,48.87
	465,39.78	397,65.10

Schedules forming part of the Profit and Loss Account for the year ended March 31, 2010

(Rs.in Lacs)

	2009-2010	2008-2009
SCHEDULE 18		
INTEREST		
On Term Loans	21,42.06	24,13.24
Others	35,41.07	45,56.57
	56,83.13	69,69.81
SCHEDULE 19		
DECREASE / (INCREASE) IN STOCK		
Stock - 1st April, 2009		
Semi-Finished	17,20.79	22,52.06
Finished	108,77.89	96,44.07
	125,98.68	118,96.13
Stock - 31st March, 2010		
Semi-Finished	36,60.26	17,20.79
Finished	114,77.46	108,77.89
	151,37.72	125,98.68
	(25,39.04)	(7,02.55)
Differential Excise Duty on Opening and Closing Stock of Finished Goods	2,83.29	(4,77.28)
	(22,55.75)	(11,79.83)

Schedules forming part of the Accounts for the year ended March 31, 2010

SCHEDULE 20

NOTES FORMING PART OF THE ACCOUNTS

1) Significant Accounting Policies

A) Fixed Assets

Fixed Assets are stated at cost / revalued cost wherever applicable. Cost comprises cost of acquisition, cost of improvements, borrowing cost and any attributable cost of bringing the asset to the condition for its intended use. Cost also includes direct expenses incurred upto the date of capitalisation / commissioning.

Leased Assets comprise of assets acquired under Finance Leases which have been stated at cost of acquisition plus entire cost component amortisable over the useful life of these assets.

B) Borrowing Costs

Borrowing costs include interest, fees and other charges incurred in connection with the borrowing of funds and is considered as revenue expenditure for the year in which it is incurred except for borrowing costs attributed to the acquisition / improvement of qualifying capital assets and incurred till the commencement of commercial use of the asset and which is capitalised as cost of that asset.

C) Depreciation

Depreciation is provided on the Straight Line Method, at the rates prescribed in Schedule XIV to the Companies Act, 1956. Certain Plants have been treated as Continuous Process Plants based on technical and other evaluations.

Leasehold land is amortised over the period of the lease.

Software expenditure have been amortised over a period of three years.

D) Investments

Investments being long term are stated at cost. Provision against diminution in the value of investments is made in case diminution is considered as other than temporary, as per criteria laid down by the Board of Directors after considering that such investments are strategic in nature.

Current Investment is stated at lower of cost or fair value.

E) Inventories

Raw materials, Stores and spares and Stock-in-process are valued at weighted average Cost. Finished Goods are valued at lower of cost or net realisable value. Material-in-transit is valued at cost.

F) Revenue Recognition

Gross Sales include excise duty and are net of trade discounts / sales returns / sales tax.

Interest is accounted on an accrual basis.

Dividend is accounted when right to receive payment is established.

G) Export Incentive

Export Incentives are recognised in the year of entitlement and credited to the Raw Material Consumption Account.

H) Foreign Currency Transactions

Foreign currency transactions other than those covered by forward contracts are recorded at current rates.

Forward premia in respect of forward exchange contracts are recognised over the life of the contract.

Monetary Assets and Liabilities denominated in foreign currency are restated at year-end rates.

All exchange gains and losses arising out of transaction/restatement, are accounted for in the Profit and Loss Account.

I) Lease Rentals

The cost components in respect of Finance Leases is being amortised over the primary lease period or effective life of the Assets as depreciation on Leased Assets and the interest component is charged as a period cost.

Secondary Lease rentals are being charged to Profit and Loss Account.

Leases that do not transfer substantially all the risks and rewards of ownership are classified as operating leases and recognised as expenses as and when payments are made over the lease term.

Schedules forming part of the Accounts for the year ended March 31, 2010

SCHEDULE 20 - (Continued)

J) Research and Development

Revenue expenditure on research and development is recognised as an expense in the year in which it is incurred.

Capital expenditure is shown as an addition to the fixed assets and are depreciated at applicable rates.

K) Employee Benefits

a) Defined Contribution plan

Contribution to Defined Contribution Schemes such as Provident Fund, Superannuation, Employees State Insurance Contribution and Labour Welfare Fund are charged to the Profit and Loss Account as and when incurred.

b) Defined Benefit plan

The Company also provides for retirement / post-retirement benefits in the form of gratuity and leave encashment. Company's liability towards these benefits is determined using Project Unit Credit Method. These benefits are provided based on the Actuarial Valuation as on Balance Sheet date by an independent Actuary.

c) Short term benefits are recognised as an expense in the Profit and Loss account of the year in which the related service is rendered.

d) Long term leave benefits are provided as per Actuarial Valuation as on Balance Sheet date by an independent Actuary using Project Unit Credit Method.

e) Termination benefits are recognised as an expense as and when incurred.

L) Taxes on Income

a) **Current Tax:** Current Tax is determined in accordance with the provisions of Income Tax Act, 1961.

b) **Deferred Tax Provision:** Deferred tax is recognised on timing differences between the accounting income and the taxable income for the year and quantified using the tax rates and laws enacted or substantively enacted on the Balance Sheet date.

Deferred tax assets are recognised and carried forward to the extent that there is a reasonable certainty that sufficient future taxable income will be available against which such deferred tax assets can be realised.

(Rs. in Lacs)

	2009-10	2008-09
2) Contracts remaining to be executed:		
Estimated amount of contracts remaining to be executed on Capital Account and not provided for - net of advance payments	268,13.38	40,92.21
Investment commitment	10.96.52	—
3) Contingent Liabilities:		
a) Direct and Indirect Taxation Matters on which there are decisions of the appellate authorities in the Company's favour, but appeals made by tax authorities		
Income Tax	2,04.60	2,04.60
Wealth Tax	6.73	7.26
Excise Duty / Service Tax	40,75.05	40,88.52
Sales Tax	1.56	1.56

Schedules forming part of the Accounts for the year ended March 31, 2010

SCHEDULE 20 - (Continued)

(Rs. in Lacs)

	2009-10	2008-09
b) Direct and Indirect Taxation matters in respect of which the Company is in appeal		
Income Tax	10,33.41	2,24.70
Wealth Tax	—	3.56
Excise Duty / Service Tax	1,64.96	2,15.58
Sales Tax	60,14.86	40,69.85
c) Disputed demands of Octroi Duty	1,56.86	1,43.79
d) Bills discounted with Banks and Finance Companies	20,35.86	20,53.19
e) Corporate Guarantees given on behalf of others		
- Covered by indemnity undertakings from		
RPG Enterprises Ltd.	25,50.00	25,50.00
f) The Company has given Indemnity in respect of Lease transactions entered into with ICICI Bank Ltd., liability for which is indeterminable		
4) Claims against the Company not acknowledged as Debts (Estimated):		
i) in respect of labour matters	6,27.24	9,33.62
ii) other claims	11,07.78	10,36.24
5) Managerial Remuneration		
Salaries	1,95.29	1,68.60
Allowances and Perquisites	22.26	19.15
Contribution to Provident and Superannuation Funds	29.77	27.39
	2,47.32	2,15.14

6) Computation of Net Profits in accordance with Section 349 of the Companies Act, 1956.

Particulars	2009-10	2008-09
Net Profit / (Loss) as per Profit & Loss Account	161,04.15	(16,11.17)
Add / (Less):		
Provision for Tax	77,95.50	(21,06.06)
Remuneration to Executive Directors	2,47.32	2,15.14
Commission to Non-Executive Directors	2,00.00	—
Sitting Fee to Directors	10.35	8.10
Provision for Doubtful Debts / Advances (Net)	(1,12.46)	1,09.25
Loss on Assets sold / discarded	51.17	40.95
Profit on sale of Assets	(0.38)	(9.55)
Profit on sale of Investments	(0.07)	—
Excess of Expenditure over Income of the preceding year.	(33,53.34)	—
Net Profit as per Section 349 of the Companies Act, 1956	209,42.24	(33,53.34)
1% Commission to Non-Executive Directors restricted to	2,00.00	Nil

Schedules forming part of the Accounts for the year ended March 31, 2010

SCHEDULE 20 - (Continued)

(Rs. in Lacs)

7) Production, Sales and Stocks of each class of manufactured goods / traded goods:

Class of goods	Licensed Capacity	Installed Capacity (1)	Opening Stock	Production (2)	Purchase	Closing Stock	Gross Sales
Automotive Tyres							
Nos. in Lacs	49.47	47.26	4.82	84.50	2.73	3.36	88.70
	(49.47)	(45.42)	(4.84)	(72.29)	(2.07)	(4.82)	(74.38)
Value	—	—	82,57.97	—	86,93.57	98,61.38	2,646,54.58
	(—)	(—)	(83,67.36)	(—)	(99,23.26)	(82,57.97)	(2,341,92.15)
Automotive Tube							
Nos. in Lacs	49.47	—	10.66	70.56	23.72	10.09	94.84
	(49.47)	(—)	(7.38)	(76.13)	(1.00)	(10.66)	(73.94)
Value	—	—	30,58.82	—	77,78.31	25,55.45	294,70.64
	(—)	(—)	(15,97.24)	(—)	(8,54.00)	(30,58.82)	(229,35.09)
Automotive Flaps							
Nos. in Lacs	—	—	2.89	25.20	2.40	3.91	26.58
	(—)	(—)	(2.94)	(23.24)	(—)	(2.89)	(23.48)
Value	—	—	4,77.47	—	5,28.17	6,63.41	48,71.82
	(—)	(—)	(4,46.94)	(—)	(37.00)	(4,77.47)	(39,92.94)
Others – Value	—	—	0.80	—	—	0.80	0.16
	(—)	(—)	(—)	(—)	(—)	(0.80)	(2.62)
Total Value	—	—	117,95.06	—	170,00.05	130,81.04	2,989,97.20
	—	—	(104,11.54)	(—)	(108,14.26)	(117,95.06)	(2,611,22.80)

(1) Installed Capacity is as certified by the Management.

(2) Production quantity includes the following procured under conversion basis.

(Nos. in Lacs)

	Current year	Previous year
Automotive Tyres	46.29	38.18
Automotive Tubes	70.56	76.13
Automotive Flaps	25.20	23.24
Total	1,42.05	1,37.55

8) Raw Materials Consumed:

	2009-10		2008-09	
	Quantity (M.T)	Value	Quantity(M.T)	Value
Rubber	88,538	973,04.56	77,855	992,37.99
Fabrics	16,064	333,73.48	14,026	297,36.34
Carbon Black	41,161	202,12.19	36,481	198,50.37
Chemicals	21,056	145,82.85	20,171	144,11.27
Others		73,52.61		71,92.54
Total		1,728,25.69		1,704,28.51

Schedules forming part of the Accounts for the year ended March 31, 2010

SCHEDULE 20 - (Continued)

(Rs. in Lacs)

9) Value of Imports calculated on CIF basis:

	2009-10	2008-09
Raw Materials	594,92.11	601,89.11
Traded Goods	58,43.47	71,82.32
Components and Spares	1,97.34	1,00.73
Capital Goods	6,02.64	8,85.63

10) Expenditure in Foreign Currency:

	2009-10	2008-09
Interest	10,24.30	12,17.19
Travelling	1,17.04	1,15.71
Technical Knowhow	64.99	—
Others	16,57.42	2,64.80

11) Value of Imported/Indigenous Raw Materials/Stores and Spares consumed:

	2009-10		2008-09	
	%	Value	%	Value
Raw Materials				
Imported	32.20	556,58.02	41.05	699,53.76
Indigenous	67.80	1,171,67.67	58.95	1,004,74.75
	<u>100.00</u>	<u>1,728,25.69</u>	<u>100.00</u>	<u>1,704,28.51</u>
Stores and Spares				
Imported	13.31	2,68.92	10.22	1,64.51
Indigenous	86.69	17,50.87	89.78	14,44.41
	<u>100.00</u>	<u>20,19.79</u>	<u>100.00</u>	<u>16,08.92</u>

12) Dividend Remittance in Foreign currency :

Amount remitted (Net)	—	71.29
Number of Non-resident Shareholders	—	2
Number of Shares on which remittance was made	—	17,82,385
Year for which the Dividend was paid	—	2007-08

13) Earnings in Foreign Currency:

Export Sales calculated on FOB basis	481,88.14	483,02.60
Royalty	1,81.75	1,65.13
Dividend	77.37	25.67
Others	46.01	1,00.47

14) Research & Development Expenses

Capital	40.77	1,23.72
Revenue	2,81.85	2,90.41

Schedules forming part of the Accounts for the year ended March 31, 2010

SCHEDULE 20 - (Continued)

(Rs. in Lacs)

15) Operating Lease

The Company has entered into a sale and lease back agreement with the leasing company for vehicles, resulting in a non-cancellable operating lease as defined in "AS 19" (Leases).

Lease rental on the said lease of Rs.2,56.91 Lacs (Previous year Rs.1,14.30 Lacs) has been charged to Profit and Loss Account.

Future Minimum Lease Payment	As on 31.03.2010	As on 31.03.2009
For a period not later than one year	81.91	2,25.04
For a period later than one year but not later than five years	2,28.86	3,45.22

16) Pre-Operative Expenses pending capitalisation

Particulars	As on 31.03.2010	As on 31.03.2009
Rent	43.39	10.33
Depreciation	15.53	13.35
Travelling and Conveyance	1,62.25	28.61
General Expenses	1,47.75	39.30
Technical Know-how	1,31.24	62.99
Consultancy and Professional Fees	2,93.95	63.76
Finance Charges	6,56.22	82.90
Personnel Cost	4,67.40	1,15.90
Interest on Loan	9,03.56	2,80.52
Project Appraisal Charges	3,45.00	3,45.00
Insurance	50.28	—
Transportation	16.13	—
Communication	11.34	—
	32,44.04	10,42.66
Less : Interest received	1,06.46	64.10
Total	31,37.58	9,78.56

17) Exchange Differences recognised in Profit and Loss Account

Net foreign exchange loss recognised in Profit and Loss Account is Rs.1,75.36 Lacs (previous year Rs.34,28.58 Lacs) out of which Rs.6,35.28 Lacs loss (previous year Rs.4,67.90 Lacs gain) has been shown separately whereas net gain of Rs.4,59.92 Lacs (previous year Rs.38,96.48 Lacs loss) are included under appropriate heads of items in Profit and Loss accounts.

18) Retirement Benefits

The required disclosure under the Revised Accounting Standard 15 is given below

Brief description: The type of Defined benefit plans is as follows.

Gratuity

The Employees Gratuity Fund Scheme managed by Life Insurance Corporation of India is a defined benefit plan. The present value obligation is determined based on actuarial valuation using Projected Unit Credit Method.

Leave Encashment

The present value obligation of Leave Encashment is determined based on actuarial valuation using Projected Unit Credit Method.

Schedules forming part of the Accounts for the year ended March 31, 2010

SCHEDULE 20 - (Continued)

(Rs. in Lacs)

i) Change in Defined Benefit obligation during the year ended March 31, 2010

Sr. No.	Particulars	2009-10	2009-10	2008-09	2008-09
		Gratuity (Funded)	Leave Encashment (Unfunded)	Gratuity (Funded)	Leave Encashment (Unfunded)
1.	Present value of Defined Benefit obligation as at April 1, 2009	42,33.88	7,29.66	36,60.48	6,48.95
2.	Current Service Cost	1,96.30	3,41.87	1,84.54	3,34.09
3.	Interest Cost / Actuarial (gain) / Loss on obligation	8,48.99	(59.71)	7,59.82	(1,04.95)
4.	Benefits paid	(5,10.42)	(2,47.70)	(3,70.96)	(1,48.43)
5.	Present value of obligation as at March 31, 2010	47,68.75	7,64.12	42,33.88	7,29.66

ii) Changes in Fair value of Plan Assets during the year ended March 31, 2010

Sr. No.	Particulars	Gratuity (Funded)	Leave Encashment (Unfunded)	Gratuity (Funded)	Leave Encashment (Unfunded)
1.	Fair value of plan assets as at April 1, 2009	36,62.03	—	36,91.58	—
2.	Expected return on plan assets	3,57.04	—	3,32.64	—
3.	Contributions made	5,86.65	2,47.70	8.77	1,48.33
4.	Benefits paid	(5,10.42)	2,47.70	(3,70.96)	1,48.43
5.	Actuarial gain / (Loss) on plan assets	—	—	—	—
6.	Fair value of plan assets as at March 31, 2010	40,95.30	—	36,62.03	—

iii) Expenses recognised in the statement of Profit & Loss Account for the year ended March 31, 2010

Sr. No.	Particulars	Gratuity (Funded)	Leave Encashment (Unfunded)	Gratuity (Funded)	Leave Encashment (Unfunded)
1.	Current Service Cost	1,96.30	3,41.87	1,84.54	3,34.09
2.	Interest Cost / Actuarial (gains) and losses (Net)	8,48.99	(59.71)	7,59.82	(1,04.95)
3.	Expected return on plan assets	(3,57.04)	—	(3,32.64)	—
4.	Total included in employee benefit expense	6,88.25	2,82.16	6,11.72	2,29.14

Amount recognised as an expense / (income) and included in Schedule 16 "Salaries, Wages and Bonus" includes Rs.5,23.36 Lacs (previous year Rs.6,85.37 Lacs) towards Leave Encashment, "Provident Fund, Gratuity Fund and Superannuation Scheme, etc" includes Rs.6,93.15 Lacs (previous year Rs.5,98.30 Lacs) towards Gratuity.

Schedules forming part of the Accounts for the year ended March 31, 2010

SCHEDULE 20 - (Continued)

(Rs. in Lacs)

iv) Net Assets / (Liability) recognised in the Balance Sheet as at March 31, 2010

Sr. No.	Particulars	2009-10	2009-10	2008-09	2008-09
		Gratuity (Funded)	Leave Encashment (Unfunded)	Gratuity (Funded)	Leave Encashment (Unfunded)
1.	Present value of the defined benefit obligation as at March 31, 2010	47,68.75	7,64.12	42,33.88	7,29.66
2.	Fair value of plan Assets as at March 31, 2010	40,95.30	—	36,62.03	—
3.	Net Assets / (Liability) recognised in the Balance Sheet	(6,73.45)	(7,64.12)	(5,71.85)	(7,29.66)

v) Actual return on plan assets for the year ended March 31, 2010

Sr. No.	Particulars	Gratuity (Funded)	Leave Encashment (Unfunded)	Gratuity (Funded)	Leave Encashment (Unfunded)
1.	Expected return on plan assets	3,57.04	—	3,32.64	—
2.	Actuarial gain / (loss) on plan assets	—	—	—	—
3.	Actual return on plan assets	3,57.04	—	3,32.64	—

vi) Percentage of each category of Plan Assets to Total Fair Value of plan Assets

Sr. No.	Particulars	Gratuity (Funded)	Leave Encashment (Unfunded)	Gratuity (Funded)	Leave Encashment (Unfunded)
1.	Insurer Managed Fund	100%	—	100%	—

vii) Principal Actuarial assumption at the Balance Sheet date

Sr. No.	Particulars	Gratuity (Funded)	Leave Encashment (Unfunded)	Gratuity (Funded)	Leave Encashment (Unfunded)
1.	Discount Rates	8.00%	8.00%	8.00%	8.00%
2.	Annual increase in salary	4.00%	4.00%	4.00%	4.00%
		LIC (1994-96)	LIC (1994-96)	LIC (1994-96)	LIC (1994-96)
3.	Mortality Rate	Ultimate	Ultimate	Ultimate	Ultimate

The estimate of future salary increase, takes into account inflation, seniority and the other relevant factors.

Schedules forming part of the Accounts for the year ended March 31, 2010

SCHEDULE 20 - (Continued)

(Rs. in Lacs)

viii) Details of Previous Years

Gratuity Funded	2009-10	2008-09	2007-08	2006-07	2005-06
Present value of Defined Benefit obligation as at the year end	47,68.75	42,33.88	36,60.48	34,94.48	31,94.11
Fund value as at the year end	40,95.30	36,62.03	36,91.58	33,01.05	27,10.03
Surplus / (Deficit)	(6,73.45)	(5,71.85)	31.10	(1,93.44)	(4,84.08)
Net Assets / (Liability) recognised in the Balance Sheet	(6,73.45)	(5,71.85)	—	(1,95.00)	(4,84.08)
Leave Encashment (Unfunded)					
Present value of Defined Benefit obligation as at the year end.	7,64.12	7,29.66	6,48.95	7,52.53	7,04.18
Fund value as at the year end	—	—	—	—	—
Surplus / (Deficit)	(7,64.12)	(7,29.66)	(6,48.95)	(7,52.53)	(7,04.18)
Net Assets / (Liability) recognised in the Balance Sheet	(7,64.12)	(7,29.66)	(6,48.95)	(7,52.53)	(7,00.00)

- ix) The contribution expected to be paid to the Gratuity fund during the annual period beginning after the Balance Sheet date is Rs.8,84.76 Lacs (previous year Rs.7,92.58 Lacs).
- x) Long term liability includes Rs.70.56 Lacs (previous year Rs.1,04.96 Lacs) on account of Compensated Sick Leave absences.

19) Micro and Small Scale Business Entities:

There are no Micro and Small Enterprise, to whom the Company owes dues, which are outstanding for more than 45 days as at March 31, 2010. This information as required to be disclosed under the Micro, Small and Medium Enterprise Development Act, 2006 has been determined to the extent such parties have been identified on the basis of information available with the Company. This has been relied upon by the Auditors.

20) Major components of Deferred Tax Assets and Deferred Tax Liabilities:

Particulars	2009-10	2008-09
Assets		
Carried forward tax losses	—	9,78.15
Disallowance under section 43B of the Income Tax Act	6,88.20	2,63.17
Voluntary Retirement Scheme	35.07	—
	7,23.27	12,41.32
Liability		
Difference between book and tax depreciation	27,40.10	28,71.70
	27,40.10	28,71.70
Deferred Tax Liability (Net)	(20,16.83)	(16,30.38)

Schedules forming part of the Accounts for the year ended March 31, 2010

SCHEDULE 20 - (Continued)

(Rs. in Lacs)

21) Disclosure of related parties/related party transactions:

a) Related parties: (As certified by the Management)

(i) Related parties:

- Associated CEAT Holdings Company (Pvt.) Limited
- CEAT-Kelani Associated Holdings Company (Pvt.) Limited (*),
- Associated CEAT (Pvt.) Limited,
- CEAT-Kelani International Tyres (Pvt.) Limited,
- Associated CEAT Kelani Radials Limited
- Rado Tyres Limited.

(ii) Key Management Personnel :

- Mr. Paras K. Chowdhary, Managing Director
- Mr. Anant Vardhan Goenka, Deputy Managing Director

(*) Indicates no transactions during the year with these related parties.

b) The following transactions were carried out during the year with the related parties in the ordinary course of business :

	2009-10	2008-09
Transactions		
1. Reimbursement of Expenses	43.16	62.87
2. Dividend received	77.37	25.67
3. Royalty Received/Receivable	1,81.75	1,65.89
4. Imports of traded goods	38,41.82	30,20.10
5. Conversion charges paid/payable	6,83.95	2,61.32
Amount due to / from related parties		
1. Debtors for Expenses	10.07	1,50.71
2. Loans, Advances and Deposits given	1,86.68	74.81
3. Royalty receivable	1,03.37	1,43.48
4. Creditors	11,53.24	15,26.94

Transactions with Mr. Paras K. Chowdhary, Managing Director and Mr. Anant Vardhan Goenka, Deputy Managing Director, being the remuneration paid to them have been given in Note No. 5 of Schedule 20.

22) Disclosures as required under clause 32 of listing agreement.

- i) Loans and Advances in the nature of Loans to Associates Rs. Nil (Previous year Rs. Nil)
- ii) Loans and Advances in the nature of Loans where there is no repayment schedule, or no interest or interest below Section 372A of Companies Act, 1956: Rs. Nil (Previous year Rs.Nil)
- iii) Loans and Advances in the nature of Loans to firms / Companies in which Directors are interested: Rs. Nil (Previous year Rs.Nil)
- iv) Investment by the Loanee in shares of the Company as at March 31, 2010 is Nil (previous year Rs.Nil).

Schedules forming part of the Accounts for the year ended March 31, 2010

SCHEDULE 20 - (Continued)

(Rs. in Lacs)

23) Segment Reporting:

Considering the organisation structure, nature of products and risk and return profile based on geographical distribution, the tyre business is considered as a single segment.

24) Earnings Per Share (EPS):

	2009-10	2008-09
a) Weighted Average Number of shares at the beginning and end of the year	342,43,534	342,43,534
b) Net Profit / (Loss) after Tax available for Equity Shareholders (Rupees in Lacs)	161,04.15	(16,11.17)
c) Face value per share (Rupees)	10	10
d) Basic and Diluted Earnings Per Share (Rupees)	47.03	(4.71)

25) Auditor's Remuneration:

Other Services shown in Schedule 17 includes an Amount of Rs.0.80 lacs (Previous year Rs.0.80 lacs) Audit Fees paid to Cost Auditor.

26) Provision for Taxation includes provision for Wealth Tax Rs. 9.05 lacs (Previous year Rs.9.94 lacs)

27) Previous year's figures have been regrouped wherever necessary to conform to current year's classification.

I. Registration Details

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3	1	-	0	3	-	2	0	1	0
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Public Issue

N	I	L
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N	I	L
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N	I	L
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N	I	L
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1	3	0	2	7	2	.	8	3
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1	3	0	2	7	2	.	8	3
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3	4	2	4	.	3	5
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5	9	4	4	7	.	1	0
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3	1	2	0	5	.	1	1
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3	4	1	7	9	.	4	4
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2	0	1	6	.	8	3
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1	0	0	2	7	6	.	5	8
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5	8	5	0	.	7	7
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2	4	1	4	5	.	4	8
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N	I	L
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N	I	L
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2	8	4	9	6	2	.	4	7
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2	6	1	0	6	2	.	8	2
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2	3	8	9	9	.	6	5
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1	6	1	0	4	.	1	5
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4	7	.	0	3
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4	0
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4011	4012	4013
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Automotive Tyres

Tubes

Mumbai, April 29, 2010

**Statement pursuant to Section 212(3) of the Companies Act, 1956
relating to Subsidiary Company**

Rs. In Lacs

Name of the Subsidiary	Associated CEAT Holdings Company (Private) Limited
1 Number of Shares held in the Subsidiary Company	54,84,211 ordinary shares of LKR 10/- each fully paid
2 Percentage of holding in the Subsidiary Company	54.84%
3 Financial year ended	March 31, 2010
4 Profits/(Losses) of the Subsidiary Company for its financial year so far as it concerns the members of CEAT Ltd. which have not been dealt with in the accounts of CEAT Ltd. for the year ended March 31, 2010	
For the year	1.04
For the previous financial year	—
Total accumulated upto the year	1.04
5 The net aggregate of profits/(losses) of the Subsidiary Co. which have been dealt within the accounts of CEAT Ltd. for the year ended March 31, 2010	
For the year	69.93
For the previous financial year	—
Total accumulated upto the year	69.93

Notes :

- The profit for the period has been converted at the average rate during the period i.e. 1LKR = Rs. 0.404
- Associated CEAT Holdings (Pvt.) Ltd. has become Subsidiary of CEAT Ltd. on 26.10.2009.

Sunil Sapre
Chief Financial Officer

H.N. Singh Rajpoot
Company Secretary

On behalf of the Board of Directors

H.V. Goenka Vice Chairman

Hari L. Mundra Chairman - Audit Committee

Paras K. Chowdhary Managing Director

Mumbai, April 29, 2010

**Statement pursuant to exemption received under Section 212 (8)
of the Companies Act, 1956 relating to subsidiary company**

Details of Subsidiary

Name : Associated CEAT Holdings Company (Pvt.) Ltd.
Country : Sri Lanka
Reporting Currency : LKR
Exchange Rate : 1 LKR = Rs. 0.3932
(as on 31.03.2010)

Financial Information

Rs. in lacs

	Amt. in LKR	Amt. in INR
Capital	10,00.00	3,93.20
Reserves	6,22.61	2,44.81
Total Assets	16,22.61	6,38.01
Total Liabilities	16,22.61	6,38.01
Investment Other than Investment in Subsidiary	—	—
Turnover	3,20.40	1,25.98
Profit Before Taxation	3,18.04	1,25.05
Provision for Taxation	—	—
Profit After Taxation	3,18.40	1,25.05
Dividend	3,15.00	1,23.86

Auditors' Report to the Board of Directors of CEAT Limited on the Consolidated Financial Statements of CEAT Limited and its Subsidiary.

We have audited the attached Consolidated Balance Sheet of CEAT Limited and its Subsidiary (herein after referred as CEAT Group) as at 31st March 2010 and also the Consolidated Profit and Loss Account for the period from 1st April 2009 to 31st March 2010 annexed thereto and the Consolidated Cash Flow Statement for the period ended on that date. These financial statements are the responsibility of CEAT Limited's management. Our responsibility is to express an opinion on these financial statements based on our audit.

We conducted our audit in accordance with the auditing standards generally accepted in India. Those Standards require that we plan and perform the audit to obtain reasonable assurance about whether the financial statements are free of material misstatements. An audit includes, examining on a test basis, evidence supporting the amounts and disclosures in the financial statements. An audit also includes assessing the accounting principles used and significant estimates made by management, as well as evaluating the overall financial statement presentation. We believe that our audit provides a reasonable basis for our opinion.

We did not audit the consolidated financial statements of its Subsidiary. These financial statements have been certified by the Management and have been furnished to us. These unaudited consolidated financial statements reflect total assets of Rs. 43,61.56 lacs as at 31st March 2010 and total revenues of Rs. 53,15.80 lacs for the year then ended.

We report that the consolidated financial statements have been prepared by the Company in accordance with the requirements of Accounting Standards (AS 21) Consolidated Financial Statements prescribed by the Companies (Accounting Standards) Rules, 2006.

Based on our audit and to the best of our information and explanation given to us, we are of the opinion, that the attached consolidated financial statements read together with notes thereon, give a true and fair view in conformity with the accounting principles generally accepted in India:

- a. in the case of the Consolidated Balance Sheet, of the state of affairs of CEAT Group as at 31st March 2010;
- b. in the case of Consolidated Profit and Loss Account, of the Profit for the year ended on that date; and
- c. in the case of the Consolidated Cash Flow Statement, of the cash flows for the year ended on that date.

For N M Raiji & Co.
Chartered Accountants
Registration No.108296W

CA. Y.N. Thakkar
Partner
Membership No.33329

Place : Mumbai
Date : April 29, 2010

Consolidated Balance Sheet as at March 31, 2010

(Rs. in Lacs)

	SCHEDULE	As at 31.03.2010
SOURCES OF FUNDS		
SHAREHOLDERS' FUNDS		
Share Capital	1	34,24.35
Reserves and Surplus	2	594,96.42
		629,20.77
PREFERENCE SHARES ISSUED BY SUBSIDIARIES		
		88.78
MINORITY INTEREST		
		10,40.99
LOAN FUNDS		
Secured Loans	3	325,65.55
Unsecured Loans	4	347,97.02
		673,62.57
DEFERRED TAX LIABILITY (Net)		
		20,40.42
		1,334,53.53
APPLICATION OF FUNDS		
FIXED ASSETS		
	5	
Gross Block		1,292,84.72
Less : Depreciation		495,25.70
Net Block		797,59.02
Capital Work-in-progress		234,00.83
		1,031,59.85
GOODWILL ON CONSOLIDATION		
		3,27.73
INVESTMENTS		
	6	43,42.17
CURRENT ASSETS, LOANS AND ADVANCES		
Inventories	7	417,19.90
Sundry Debtors	8	390,32.95
Cash and Bank Balances	9	140,97.79
Loans and Advances	10	109,83.29
		1,058,33.93
Less :		
CURRENT LIABILITIES AND PROVISIONS		
Current Liabilities	11	762,91.02
Provisions	12	39,19.13
		802,10.15
NET CURRENT ASSETS		
		256,23.78
		1,334,53.53
Notes forming part of the Accounts	20	

As per our report attached

For N.M. Raiji & Co.,
Chartered Accountants

CA Y.N. Thakkar
Partner

Mumbai, April 29,2010

Sunil Sapre
Chief Financial Officer

H.N. Singh Rajpoot
Company Secretary

On behalf of the Board of Directors

H.V. Goenka

Vice Chairman

Hari L. Mundra

Chairman - Audit Committee

Paras K. Chowdhary

Managing Director

Mumbai, April 29, 2010

Consolidated Profit and Loss Account for the year ended March 31, 2010

(Rs.in Lacs)

	SCHEDULE	2009-2010
INCOME		
Sales		3,032,92.28
Less : Excise duty on Sales		182,49.60
Net Sales		2,850,42.68
Other Income	13	41,06.50
		2,891,49.18
EXPENDITURE		
Materials	14	1,759,34.34
Cost of Traded Goods Sold	15	154,46.63
Personnel	16	196,33.07
Other Expenses	17	473,81.31
Interest	18	57,27.59
Depreciation		32,19.83
Less : Transferred from Revaluation Reserve		4,68.32
Less : Transferred to Pre-Operative Expenses		2.18
		27,49.33
Add / (Less) : Decrease / (Increase) in stock	19	2,668,72.27
		(22,03.49)
		2,646,68.78
PROFIT BEFORE TAXATION		244,80.40
Less : Provision for Taxation		
Current Tax		74,89.34
Short Provision		30.28
Deferred Tax		4,43.12
		79,62.74
PROFIT AFTER TAX		165,17.66
Less : Dividend on Subsidiary's Preference Shares		1,37.52
		163,80.14
Less : Minority Interest		1,32.40
PROFIT AFTER MINORITY INTEREST		162,47.74
Add : Balance brought forward		108,44.40
AMOUNT AVAILABLE FOR APPROPRIATION		270,92.14
APPROPRIATIONS		
Proposed Dividend		13,69.74
Tax on Proposed Dividend		2,32.79
Transferred to General Reserve		16,15.00
		32,17.53
Balance carried to Balance Sheet		238,74.61
		270,92.14
Earnings Per Share - Basic & Diluted (Rs.)		47.45
(Refer Note No.14 of Schedule 20)		
Notes forming part of the Accounts	20	

As per our report attached

For N.M. Raiji & Co.,
Chartered Accountants

CA Y.N. Thakkar
Partner

Mumbai, April 29,2010

Sunil Sapre
Chief Financial Officer

H.N. Singh Rajpoot
Company Secretary

On behalf of the Board of Directors

H.V. Goenka

Vice Chairman

Hari L. Mundra

Chairman - Audit Committee

Paras K. Chowdhary

Managing Director

Mumbai, April 29, 2010

Consolidated Cash Flow Statement for the year ended March 31, 2010

(Rs. In Lacs)

	31.03.2010
A CASH FLOW FROM OPERATING ACTIVITIES :	
Net Profit Before Tax	244,80.40
Adjustments for :	
Depreciation	27,49.33
Interest income	(17,09.39)
Unrealised exchange variation (net)	(9,46.23)
Foreign Currency Translation Reserve on Consolidation	(94.27)
Dividend income	(1,15.92)
Provision for Doubtful debt	86.97
Provision for Doubtful debt - Written Back	(2,01.29)
Provisions no longer required Written back	(2,57.95)
Provision for Obsolescence of Stores	2.83
Advance/Bad debts written Off	2,10.60
Loss on sale of fixed assets - Net	50.78
Interest expense	57,27.59
	<u>55,03.05</u>
Operating Profit Before Working Capital Changes	299,83.45
Adjustments for :	
Trade and other receivables	(285,86.40)
Trade payable / provisions	<u>268,31.58</u>
	<u>(17,54.82)</u>
Cash Generated From Operations	282,28.63
Direct taxes paid	<u>(54,63.54)</u>
Net Cash Flow From Operating Activities (A)	<u>227,65.09</u>
B CASH FLOW FROM INVESTING ACTIVITIES :	
Purchase of fixed assets	(236,41.38)
Fixed Assets adjustment due to Consolidation	(34,45.45)
Sale of fixed assets	88.95
Purchase of Investments	(56,90.72)
Sale of Investments	56,15.30
Interest received	8,88.47
Dividend received	1,15.82
Goodwill	(3,27.73)
Net Cash From Investing Activities (B)	<u>(263,96.74)</u>

Consolidated Cash Flow Statement for the year ended March 31, 2010 (Contd.)

(Rs. In Lacs)

	31.03.2010
C CASH FLOW FROM FINANCING ACTIVITIES	
Interest paid	(64,30.18)
(Decrease)/Increase in borrowings	30,04.59
Dividend paid (Inclusive of Dividend Distribution Tax)	(1,26.58)
Preference Shares issued by Subsidiaries	88.78
Minority Interest	10,40.99
Net Cash Used In Financing Activities (C)	(24,22.40)
Net (Decrease) / Increase in Cash or Cash Equivalent (A+B+C)	(60,54.05)
Cash and cash equivalents - Opening balance	201,51.84
Cash and cash equivalents - Closing balance	140,97.79
Net (Decrease) / Increase As Disclosed Above	(60,54.05)

1 Closing cash & cash Equivalents represents " Cash and Bank Balances " except Rs. 34.46 lacs lying in separate bank accounts on account of unclaimed dividend which is not available for use by the Company.

2 All Figures in brackets are Outflows.

As per our report attached		On behalf of the Board of Directors	
For N.M. Raiji & Co., Chartered Accountants	Sunil Sapre Chief Financial Officer	H.V. Goenka	Vice Chairman
CA Y.N. Thakkar Partner	H.N. Singh Rajpoot Company Secretary	Hari L. Mundra	Chairman - Audit Committee
		Paras K. Chowdhary	Managing Director
Mumbai, April 29, 2010		Mumbai, April 29, 2010	

Schedules forming part of the Consolidated Balance Sheet as at March 31, 2010

(Rs. in Lacs)

	As at 31.03.2010
SCHEDULE 1	
SHARE CAPITAL	
Authorised :	
4,61,00,000 Equity Shares of Rs. 10 each	46,10.00
39,00,000 Preference Shares of Rs. 10 each	3,90.00
1,00,00,000 Unclassified Shares of Rs. 10 each	10,00.00
	<u>60,00.00</u>
Issued :	
3,42,44,222 Equity Shares of Rs. 10 each	34,24.42
(Includes 1,463 Shares offered on Right basis and kept in abeyance)	
	<u>34,24.42</u>
Subscribed and paid-up :	
3,42,43,534 Equity Shares of Rs.10 each, fully paid-up	34,24.35
	<u>34,24.35</u>
SCHEDULE 2	
RESERVES AND SURPLUS	
Capital Reserve :	2,71.45
Share Premium :	165,23.65
Capital Redemption Reserve :	3,90.00
General Reserve :	
Balance - 1 April, 2009	169,15.98
Add : Transfer from Profit and Loss Account	<u>16,15.00</u>
	185,30.98
Revaluation Reserve :	
Balance - 1 April, 2009	4,68.32
Less : Depreciation	<u>4,68.32</u>
	—
Foreign Currency Translation Reserve (Arising on account of consolidation)	(94.27)
Profit and Loss Account	238,74.61
	<u>594,96.42</u>

Schedules forming part of the Consolidated Balance Sheet as at March 31, 2010

(Rs. in Lacs)

	As at 31.03.2010
SCHEDULE 3	
SECURED LOANS	
Loans from Banks / Financial Institutions :	
IDBI Bank Limited - (Note 1)	6,00.00
ICICI Bank Limited - (Note 2)	27,57.00
ICICI Bank Limited - (Note 3)	57,65.50
Exim Bank Ltd. - (Note 4)	37,50.00
Corporation Bank Ltd. - (Note 4)	43,75.00
Bank of Baroda - (Note 5)	20,00.00
Bank of India - (Note 5)	20,00.00
IDBI Bank Limited -Project Loan (Note 5)	2,49.03
State Bank of India, Sri Lanka (Note 6)	2,70.23
State Bank of India, Sri Lanka (Note 7)	55.25
Indian Bank, Sri Lanka (Note 8)	14.94
Commercial Bank, Sri Lanka (Note 6)	2,84.75
National Development Bank, (NDB) Sri Lanka (Note 6)	25.09
DFCC Bank, Sri Lanka (Note 6)	3,54.54
Sampath Bank, Sri Lanka (Note 6)	1,80.96
Hatton National Bank, (HNB) Sri Lanka (Note 9)	4.47
Bank Borrowings : (Note 10)	
Working Capital Demand Loan	40,00.00
Cash Credit Facilities	25,27.06
Export Packing Credit	33,39.58
Vehicle loan (Note 11)	12.15
	325,65.55

(In respect of the above loans, Rs.53,87.85 Lacs due and repayable within a year)

Notes

1. Term loan availed from IDBI Bank Limited of Rs. 6,00.00 lacs is secured by first pari passu charge on Fixed Assets of the Company situated at Bhandup and Nasik plants, both present and future.
2. ECB loan availed from ICICI Bank Limited of USD 6.00 million equivalent to Rs. 27,57.00 lacs is secured by first pari passu charge on all movable and immovable properties of the Company situated at Bhandup and Nasik plants , both present and future.
3. ECB loan availed from ICICI Bank Limited of USD 12.50 million equivalent to Rs. 57,65.50 lacs is secured by a first pari passu charge on the Fixed Assets of the Company situated at Bhandup, Nasik and Halol, Gujarat, both present and future. The company is in the process of creating the charge on its immovable properties located at Bhandup, Nasik and Halol, Gujarat.

Schedules forming part of the Consolidated Balance Sheet as at March 31, 2010

SCHEDULE 3 - SECURED LOANS (Continued)

(Rs. in Lacs)

4. Term Loan availed from Exim Bank of Rs. 37,50.00 lacs and Corporation Bank of Rs.43,75.00 lacs has been secured by a first pari passu charge on the immovable property of the Company situated at CEAT Mahal, Worli, Mumbai.
5. Project Term loan availed from Bank of India of Rs. 20,00.00 lacs, Bank of Baroda of Rs. 20,00.00 lacs and IDBI of Rs. 2,49.03 lacs is secured by a first pari passu charge on the Immovable and movable properties of the Company situated at Bhandup, Nasik and Halol, Gujarat, both present and future. The Company has created charge on the movable Fixed Assets of the Company in favour of Bank of India and IDBI Bank Ltd. The Company is in the process of creating the charge on its immovable properties located at Bhandup, Nasik and Halol, Gujarat.
6. Term loan availed from SBI, Sri Lanka of Rs. 2,70.23 lacs, Commercial Bank, Sri Lanka of Rs 2,84.75 lacs, NDB, Sri Lanka of Rs. 25.09 lacs, DFCC Bank, Sri Lanka of Rs 3,54.54 lacs and Sampath Bank, Sri Lanka of Rs 1,80.96 lacs has been secured by first pari passu charge on the Land, Building and Plant & Machinery of the Company located in Sri Lanka.
7. Working Capital loan of Rs 55.25 lacs availed from SBI, Sri Lanka has been secured by Stocks & debtors of Sri Lankan Companies along with secondary mortgage over Plant & Machinery of the Company located in Sri Lanka.
8. Working Capital loan of Rs 14.94 lacs availed from Indian Bank, Sri Lanka has been secured by Stocks & Debtors of Sri Lankan Companies.
9. Loan from HNB of Rs 4.47 lacs has been secured by charge on Plant & Machinery of Sri Lankan Company.
10. Working Capital facilities availed from Consortium of Banks led by Bank of India are secured by hypothecation of first pari passu charge on Inventories and Book debts and by second pari passu charge on immovable properties of the Company situated at Bhandup, Nasik plants and CEAT Mahal property at Worli. The Company is in process of creating the second pari – passu charge on immovable properties situated at Halol, Gujarat.
11. The vehicle loans availed from Banks and Financial Companies are secured by way of hypothecation of the vehicles financed by them.

	As at 31.03.2010
SCHEDULE 4	
UNSECURED LOANS	
Term Loan from Bank	1,54.40
Public Deposits	76,52.53
Deferred Sales Tax Incentive - (SICOM LTD)	40,79.90
Deposits from dealers	229,10.19
	347,97.02

(In respect of the above loans, Rs. 22,38.52 lacs due and repayable within a year)

Schedules forming part of the Consolidated Balance Sheet as at March 31, 2010

Rs. in Lacs

SCHEDULE 5

FIXED ASSETS

	COST					DEPRECIATION					NET VALUE
	As at 01.04.2009	Additions / Adjustments	Deductions / Adjustments	Adjustment due to Consolidation	As at 31.03.2010	As at 01.04.2009	For the year 2009-2010	On deductions/ Adjustments	Adjustment due to Consolidation	As at 31.03.2010	As at 31.03.2010
Owned Assets											
Land											
Freehold	407,98.45	33.79	—	6,38.95	414,71.19	—	—	—	—	—	414,71.19
Leasehold	26,36.36	—	—	—	26,36.36	1,94.18	43.18	—	—	2,37.36	23,99.00
Building	128,59.59	31.93	—	3,03.13	131,94.65	33,63.51	2,66.32	—	1,16.36	37,46.19	94,48.46
Plant and Machinery	641,32.04	27,06.02	2,09.51	24,71.38	690,99.93	402,63.51	26,38.74	1,62.74	5,91.61	433,31.12	257,68.81
Furniture and Fixtures	7,11.47	22.83	51.20	—	6,83.10	5,46.91	31.40	37.27	—	5,41.04	1,42.06
Vehicles	7,42.45	14.08	1,56.56	31.99	6,31.96	4,02.01	42.50	77.52	8.33	3,75.32	2,56.64
Software	5,21.51	42.20	0.28	—	5,63.43	2,86.50	1,66.04	0.28	—	4,52.26	1,11.17
	<u>1,224,01.87</u>	<u>28,50.85</u>	<u>4,17.55</u>	<u>34,45.45</u>	<u>1,282,80.62</u>	<u>450,56.62</u>	<u>31,88.18</u>	<u>2,77.81</u>	<u>7,16.30</u>	<u>486,83.29</u>	<u>795,97.33</u>
Leased Assets											
Plant and Machinery	10,04.10	—	—	—	10,04.10	8,10.76	31.65	—	—	8,42.41	1,61.69
	<u>10,04.10</u>	<u>—</u>	<u>—</u>	<u>—</u>	<u>10,04.10</u>	<u>8,10.76</u>	<u>31.65</u>	<u>—</u>	<u>—</u>	<u>8,42.41</u>	<u>1,61.69</u>
	<u>1,234,05.97</u>	<u>28,50.85</u>	<u>4,17.55</u>	<u>34,45.45</u>	<u>1,292,84.72</u>	<u>458,67.38</u>	<u>32,19.83</u>	<u>2,77.81</u>	<u>7,16.30</u>	<u>495,25.70</u>	<u>797,59.02</u>
Capital Work-in-Progress -Includes Advances against Capital Account											234,00.83
Grand Total											<u>1,031,59.85</u>

Notes:

- Building includes Rs 0.11 lacs being value of shares held in co-operative housing societies.
- Freehold Land includes land under development amounting to Rs 14,98.38 lacs for new Project.
- Fixed assets cost includes assets revalued during last five years on the basis of valuation report submitted by approved valuers about their market value as summarised below :

	Gross amount written up on revaluation (Net of deletions /adjustments)	Depreciation provided upto 31.03.2010 (Net of deletions /adjustments)	Amount written up (Net of depreciation adjustments)
Land	285,56.50	1,36.39	284,20.11
Buildings	7,42.90	2,00.25	5,42.65
Plant & Machinery	1,95.10	14.29	1,80.81
	<u>294,94.50</u>	<u>3,50.93</u>	<u>291,43.57</u>

- Capital Work-in-progress includes pre-operative expenses incurred for Radial Project amounting to Rs 31,37.58 lacs. (Refer note 8 of Schedule 20 for details)

Schedules forming part of the Consolidated Balance Sheet as at March 31, 2010

SCHEDULE 6

INVESTMENTS (At cost)

	Face Value (Rs.)	Holdings (Nos.)	(Rs. in Lacs) As at 31.03.2010
A LONG TERM - Fully Paid			
Equity Shares			
Unquoted (Trade)			
Rado Tyres Limited.	10	1,606,350	41.77
			41.77
B CURRENT			
Unquoted (Non-Trade)			
Dividend Daily Reinvest Plan	Face Value	Units	
Liquid	(Rs.)	(Nos)	
Reliance Liquid Fund - Treasury Plan - Institutional	10	3,271,038.86	5,00.05
IDFC Cash Fund - Super Institutional Plan	10	4,999,270.22	5,00.05
Liquid Plus			
Birla Sun Life Short Term Fund - Institutional	10	4,997,935.80	5,00.07
ICICI Prudential Flexible Income Plan Premium	100	283,728.19	3,00.00
UTI Treasury Advantage Fund - Institutional Plan	1,000	99,989.63	10,00.12
LICMF Savings Plus Fund	10	10,000,780.69	10,00.07
SBI-SHF- Ultra Short Term Fund - Institutional Plan	10	4,997,541.76	5,00.04
			43,00.40
Aggregate cost of Unquoted Investment (A + B)			43,42.17

Notes :

Following investments were acquired and sold during the year

Non trade Current unquoted	Face Value Rs.	Units
Liquid Daily Dividend Reinvest Plan		
Birla Sun Life Cash Manager - Institutional Plan	10	147,536,550.98
Birla Sun Life Cash Plus - Institutional Plan	10	67,145,049.31
TATA Liquid Super High Investment Fund	10	493,531.62
DWS Insta Cash Plus Fund Super - Institutional Plan	10	53,390,112.75
Reliance Liquidity Fund	10	65,527,329.90
Reliance Liquid Fund Treasury Plan Institutional	10	40,896,616.60
ICICI Prudential Institutional Liquid Plan Super Institutional	10	98,761,820.21
ICICI Prudential Liquid Super Institutional Plan	10	6,675,948.19
Fidelity Cash Fund (Institutional)	10	4,004,324.74
Fidelity Cash Fund (Super Institutional)	10	31,515,479.56
Templeton India TREASURY MANAGEMENT ACCOUNT Super Institutional Plan	10	615,015.22

Schedules forming part of the Consolidated Balance Sheet as at March 31, 2010

SCHEDULE 6

INVESTMENTS (At cost) (Continued)

Non trade Current unquoted	Face Value Rs.	Units
Fortis Overnight Fund Institutional	10	14,996,650.37
Fortis Overnight Fund Institutional Plus	10	57,510,559.68
Taurus Liquid Fund Institutional	10	5,000,110.86
Taurus Liquid Fund Super Institutional	10	6,000,413.22
Taurus Liquid Fund Super Institutional	10	50,003.75
UTI Liquid Cash Plan Institutional	10	132,531.26
UTI Money Market Mutual Fund Institutional	10	2,996,877.02
UTI Money Market Mutual Fund Institutional	10	249,188.93
HDFC Liquid Fund Premium Plan	10	38,140,614.41
HDFC Cash Management Fund Savings Plan	10	18,338,990.66
Kotak Liquid (Institutional Premium)	10	40,895,178.39
LICMF Liquid Fund Dividend Plan	10	141,666,201.44
DSP BlackRock Liquidity Fund Institutional Plan	10	99,989.44
DSP BlackRock Liquidity Fund Regular Plan	10	3,996,372.46
SBI Magnum Insta Cash Fund	10	2,985,343.72
Liquid Plus - Daily Dividend Reinvest Plan		
Birla Sun Life Savings Fund Institutional	10	16,075,844.21
TATA Floater Fund	10	16,982,955.15
TATA Treasury Manager SHIP	10	277,422.51
DWS Cash Opportunities Fund Regular Plan	10	8,042,438.24
DWS Cash Opportunities Fund Institutional	10	8,008,068.81
Reliance Money Manager Fund Institutional	10	234,835.04
ICICI Prudential Flexible Income Plan Premium	10	21,849,947.44
Fidelity Ultra Short Term Debt Fund Institutional	10	15,530,118.61
Templeton Floating Rate INCOME FUND Long Term Plan Super Institutional	10	20,174,175.31
Templeton India Ultra Short Bond Fund Institutional Plan	10	13,010,671.71
Fortis Money Plus Institutional Plan	10	39,097,293.22
Taurus Ultra Short Term Bond Institutional	10	2,498,709.50
Taurus Ultra Short Term Bond Super Institutional	10	8,502,042.74
Taurus Ultra Short Term Bond Super Institutional	10	49,942.08
UTI Treasury Advantage Fund Institutional Plan	10	60,003.29
Kotak Floater Long Term	10	10,917,076.76
Kotak Flexi Debt Scheme Institutional	10	10,956,063.59
LICMF Savings Plus Fund	10	7,003,770.15
LICMF Income Plus Fund	10	7,006,290.76
DSP BlackRock Floating Rate Fund Institutional Plan	10	50,003.47
DSP BlackRock Money Manager Fund Institutional Plan	10	89,988.24

Schedules forming part of the Consolidated Balance Sheet as at March 31, 2010

(Rs.in Lacs)

	As at 31.03.2010
SCHEDULE 7	
INVENTORIES	
Stores and Spares (Net)	29,18.72
Stock - in - Trade :	
Raw Materials (including in transit Rs. 36,83.59 Lacs)	211,87.92
Semi-Finished Goods	38,81.13
Finished Goods (including in transit Rs.1,95.43 Lacs)	137,32.13
	<u>417,19.90</u>
SCHEDULE 8	
SUNDRY DEBTORS	
Debts outstanding for a period exceeding six months	
Considered Good	1,14.63
Considered Doubtful	2,13.77
Less : Provided for	<u>2,13.77</u> —
	1,14.63
Other Debts	
Considered Good	389,18.32
	<u>390,32.95</u>
SCHEDULE 9	
CASH AND BANK BALANCES	
Cash on Hand	19.70
Remittance in Transit	29,64.66
With Scheduled Banks :	
In Current Accounts	6,74.79
In Deposit Accounts	103,99.17
In Margin Deposit Accounts *	5.01
In Unclaimed Dividend Accounts	34.46
	<u>140,97.79</u>
* Lien with Bank	

Schedules forming part of the Consolidated Balance Sheet as at March 31, 2010

(Rs.in Lacs)

	As at 31.03.2010
SCHEDULE 10	
LOANS AND ADVANCES	
Advances receivable in Cash or in Kind or for Value to be received	50,08.11
Balances with Customs, Port Trust , Excise , etc.	37,90.79
Advance payment of Tax (Net)	5,30.45
Interest Receivables	15,64.52
Other Receivables	89.42
Loan, Advances and Deposits (considered doubtful)	33.33
Less : Provided for	33.33
	<u>109,83.29</u>
SCHEDULE 11	
CURRENT LIABILITIES	
Acceptances	
Sundry Creditors :	155,67.00
Due to Micro, Small and Medium Enterprise	—
(Refer note no.10 of Schedule 20)	
Due to Others	498,98.59
	<u>498,98.59</u>
Interest Accrued but not due	4,06.96
Deposit from Others	55.52
Other Liabilities	103,11.71
Dividend Payable	16.46
Not due as on 31.03.2010	
Unclaimed Dividends	34.46
Unclaimed interest and matured Deposits	0.32
	<u>34.78</u>
	<u>762,91.02</u>
SCHEDULE 12	
PROVISIONS	
Proposed Dividend	13,69.74
Corporate Tax on Proposed Dividend	2,32.79
Retirement and other Employee Benefits	21,29.30
Provision for Tax (Net)	1,87.30
	<u>39,19.13</u>

Schedules forming part of the Consolidated Profit and Loss for the year ended March 31, 2010

(Rs. in Lacs)

	2009-2010
SCHEDULE 13	
OTHER INCOME	
Foreign Exchange Fluctuation (Net)	0.62
Sale of Scrap	10,04.07
Profit on Sale of Assets	0.38
Profit on Sale of Investment	0.07
Interest (Tax deducted at Source Rs.2,71.56 lacs)	17,09.39
Royalty	1,34.90
Provisions no longer required written back	2,57.95
Dividend on Investments	1,15.92
Miscellaneous	8,83.20
	41,06.50
SCHEDULE 14	
MATERIALS	
Raw Materials	
Stock - 1st April, 2009	60,97.61
Add : Purchases	1,873,41.06
	1,934,38.67
Less : Stock - 31st March, 2010	175,04.33
	1,759,34.34
SCHEDULE 15	
COST OF TRADED GOODS SOLD	
Stock - 1st April, 2009	9,43.63
Add : Purchases	161,71.40
	171,15.03
Less : Stock - 31st March, 2010	16,68.40
	154,46.63
SCHEDULE 16	
PERSONNEL	
Salaries, Wages and Bonus	161,22.74
Provident Fund, Gratuity Fund and Superannuation Scheme etc.	17,35.21
Welfare Expenses	17,75.12
	196,33.07

Schedules forming part of the Consolidated Profit and Loss for the year ended March 31, 2010

(Rs. in Lacs)

	2009-2010	
SCHEDULE 17		
OTHER EXPENSES		
Conversion Charges		74,99.48
Stores and Spares Consumed		21,06.39
Provision for Obsolescence of Stores		2.83
Power and Fuel		111,26.71
Freight and Delivery Charges		64,31.48
Rent		5,33.88
Lease Rent		2,63.93
Rates and Taxes		3,87.08
Insurance		2,23.29
Repairs :		
Machinery	20,98.32	
Buildings	1,67.82	
Others	91.35	23,57.49
Travelling and Conveyance		12,30.26
Printing and Stationery		1,12.34
Directors' Fees		10.35
Auditors' Remuneration :		
Audit Fees	22.87	
Taxation Matters	5.50	
Other Services (Certification, Tax Audit, etc.)	19.09	
Reimbursement of Expenses	4.39	51.85
Advertisement and Sales Promotion Expenses		22,43.79
Rebates and Discounts		33,88.47
Commission		36,55.34
Communication Expenses		5,67.02
Bad Debts Written off	2,10.60	
Less : Provision for doubtful debts written back to the extent provided	2,01.29	9.31
Provision for Doubtful Debts / Advances		86.97
Loss on Assets Sold / Discarded		51.17
Factory Expenses		2,27.07
Legal Charges		1,16.44
Finance Charges		15,52.48
Foreign Exchange Fluctuations (Net)		6,27.18
Professional and Consultancy Charges		7,17.29
Commission to Directors		2,00.00
General Expenses		16,01.42
		473,81.31

Schedules forming part of the Consolidated Profit and Loss for the year ended March 31, 2010

(Rs. in Lacs)

	2009-2010
SCHEDULE 18	
INTEREST	
On Term Loans	21,86.51
Others	35,41.08
	<u>57,27.59</u>
SCHEDULE 19	
DECREASE / (INCREASE) IN STOCK	
Stock - 1st April, 2009	
Semi-Finished	18,77.68
Finished	<u>113,84.97</u>
	132,62.65
Stock - 31st March, 2010	
Semi-Finished	38,81.13
Finished	<u>118,68.30</u>
	157,49.43
	(24,86.78)
Differential Excise Duty on Opening and Closing Stock of Finished Goods	2,83.29
	<u>(22,03.49)</u>

Schedules forming part of the Consolidated Accounts for the year ended March 31, 2010

SCHEDULE 20

Significant Accounting Policies and Notes:

1) Principles of Consolidation

Consolidated Financial Statements of CEAT Limited and its subsidiary company incorporated outside India are prepared based on line by line consolidation by adding together the book values of like items of assets, liabilities, income and expenditure as per unaudited consolidated financial statement of the subsidiary.

The consolidated financial statements are drawn up by using accounting policies as disclosed in the notes below and are prepared to the extent possible in the same manner as the Company's individual financial statements. Inter-company receivables and payables, income and expenses are eliminated. Separate disclosure is made of minority interest. Minority interest represents the minority shareholders' proportionate share of net assets and income of Company's subsidiary. The financial statements of the following subsidiary have been considered for consolidation along with its interest in other Subsidiaries/Associates.

Name of the subsidiary	Country of incorporation	Shareholding	
		2009-10	2008-09
Associated CEAT Holdings Co. (Pvt.) Ltd.	Sri Lanka	54.84%	18.00%

The difference between the costs of investments in subsidiary over the book value of the subsidiary's net assets on the date of acquisition is recognised in the consolidated financial statements as goodwill where the difference is positive and as capital reserve where the difference is negative.

The financial statements of the foreign subsidiary for the year ended March 31, 2010 were converted into Indian currency as per Accounting Standard (AS11) "The effect of changes in Foreign Exchange Rates".

2) Significant Accounting Policies

A) Fixed Assets

Fixed Assets are stated at cost / revalued cost wherever applicable. Cost comprises cost of acquisition, cost of improvements, borrowing cost and any

attributable cost of bringing the asset to the condition for its intended use. Cost also includes direct expenses incurred upto the date of capitalisation / commissioning.

Leased Assets comprise of assets acquired under Finance Leases which have been stated at cost of acquisition plus entire cost component amortisable over the useful life of these assets.

B) Borrowing Costs

Borrowing costs include interest, fees and other charges incurred in connection with the borrowing of funds and is considered as revenue expenditure for the year in which it is incurred except for borrowing costs attributed to the acquisition / improvement of qualifying capital assets and incurred till the commencement of commercial use of the asset which is capitalised as cost of that asset.

C) Depreciation

Depreciation is provided on the Straight Line Method, at the rates prescribed in Schedule XIV to the Companies Act, 1956. Certain Plants have been treated as Continuous Process Plants based on technical and other evaluations.

Leasehold land is amortised over the period of the lease.

Software expenditure have been amortised over a period of three years.

In case of a subsidiary company, depreciation is provided for on a straight line basis at such rates as will write off cost of various assets over the period of their expected useful lives. The principle annual rates of depreciation used are as follows:

Buildings - 5%

Plant & Equipment - 5 to 20%

Motor vehicles - 20%

The depreciation charge in respect of the subsidiary company is not significant in the context of the Consolidated Financial Statements.

Schedules forming part of the Consolidated Accounts for the year ended March 31, 2010

SCHEDULE 20 - (Continued)

D) **Investments**

Investments being long term are stated at cost. Provision against diminution in the value of investments is made in case diminution is considered as other than temporary, as per criteria laid down by the Board of Directors after considering that such investments are strategic in nature.

Current Investments are stated at lower of cost or fair value.

In respect of subsidiary company, provision for diminution in value is made when there has been a decline other than temporary in the value of the investment.

E) **Inventories**

Raw materials, Stores and spares and Stock-in-process are valued at weighted average cost. Finished Goods are valued at lower of cost or net realisable value. Material-in-transit is valued at cost.

F) **Revenue Recognition**

Gross Sales include excise duty and are net of trade discounts / sales returns / sales tax.

Interest is accounted on an accrual basis.

Dividend is accounted when right to receive payment is established.

G) **Export Incentive**

Export Incentives are recognised in the year of entitlement and credited to the Raw Material Consumption Account.

H) **Foreign Currency Transactions**

Foreign currency transactions other than those covered by forward contracts are recorded at current rates.

Forward premia in respect of forward exchange contracts are recognised over the life of the contract.

Monetary Assets and Liabilities denominated in foreign currency are restated at year-end rates.

All exchange gains and losses arising out of transaction/restatement, are accounted for in the Profit and Loss Account.

The financial statements of the consolidated foreign subsidiary are translated in Indian Rupees, which is the functional currency of the company, as follows:

- Assets and liabilities at rates of exchange ruling at year end.
- Income statement items at the average rate for the year.

Exchange rate differences arising on the translation of consolidated foreign subsidiary is transferred to the Foreign Currency Translation Reserve.

I) **Lease Rentals**

The cost components in respect of Finance Leases is being amortised over the primary lease period or effective life of the Assets as depreciation on Leased Assets and the interest component is charged as a period cost.

Secondary Lease rentals are being charged to Profit and Loss Account.

Leases that do not transfer substantially all the risks and rewards of ownership are classified as operating leases and recognised as expenses as and when payments are made over the lease term.

J) **Research and Development**

Revenue expenditure on research and development is recognised as an expense in the year in which it is incurred.

Capital expenditure is shown as an addition to the fixed assets and is depreciated at applicable rates.

K) **Employee Benefits**

a) **Defined Contribution plan**

Contribution to Defined Contribution Schemes such as Provident Fund, Superannuation, Employees State Insurance Contribution and Labour Welfare Fund are charged to the Profit

Schedules forming part of the Consolidated Accounts for the year ended March 31, 2010

SCHEDULE 20 - (Continued)

and Loss Account as and when incurred.

b) Defined Benefit plan

The Company also provides for retirement / post-retirement benefits in the form of gratuity and Leave encashment. Company's liability towards these benefits is determined using Project Unit Credit Method. These benefits are provided based on the Actuarial Valuation as on Balance Sheet date by an independent Actuary.

c) Short term benefits are recognized as an expense in the Profit and Loss Account of the year in which the related service is rendered.

d) Long term leave benefits are provided as per Actuarial Valuation as on Balance Sheet date by an independent Actuary using Project Unit Credit Method.

e) Termination benefits are recognised as an expense as and when incurred.

L) Taxes on Income

a) Current Tax:

Indian Company : Tax on income for the current period is determined in accordance with the provisions of Income Tax Act , 1961.

Foreign Company : Tax on income recognised in accordance with the applicable local laws.

b) Deferred Tax Provision: Deferred tax is recognised on timing differences between the accounting income and the taxable income for the year and quantified using the tax rates and laws enacted or substantively enacted on the Balance Sheet date.

Deferred tax assets are recognised and carried forward to the extent that there is a reasonable certainty that sufficient future taxable income will be available against which such deferred tax assets can be realised.

(Rs. in Lacs)

	2009-10
3) Contracts remaining to be executed:	
Estimated amount of contracts remaining to be executed on Capital Account and not provided for - net of advance payments	268,13.38
Investment commitment	10,96.52
4) Contingent Liabilities:	
a) Direct and Indirect Taxation Matters on which there are decisions of the appellate authorities in the Company's favour, but appeals made by tax authorities	
Income Tax	2,06.61
Wealth Tax	6.73
Excise Duty/ Service Tax	40,75.05
Sales Tax	1.56
b) Direct and Indirect Taxation matters in respect of which the Company is in appeal	
Income Tax	10,33.41
Excise Duty	1,64.96
Sales Tax	60,14.86
c) Disputed demands of Octroi Duty	1,56.86
d) Bills discounted with Banks and Finance Companies	20,35.86
e) Corporate Guarantees given on behalf of others - Covered by indemnity undertakings from RPG Enterprises Ltd.	25,50.00
f) The Company has given Indemnity in respect of Lease transactions entered into with ICICI Bank Ltd., liability for which is indeterminable	

Schedules forming part of the Consolidated Accounts for the year ended March 31, 2010

SCHEDULE 20 - (Continued)

(Rs. in Lacs)

	2009-10
5) Claims against the Company not acknowledged as Debts (Estimated):	
i) in respect of labour matters	9,27.24
ii) other claims	11,07.78
6) Research & Development Expenses	
Capital	40.77
Revenue	2,81.85

7) Operating Lease

The Company has entered into a sale and lease back agreement with the leasing company for vehicles, resulting in a non-cancellable operating lease as defined in "AS 19" (Leases).

Lease rental on the said lease of Rs.2,56.91 Lacs has been charged to Profit and Loss Account.

Future Minimum Lease Payment	As on
	31.03.2010
For a period not later than one year	81.91
For a period later than one year but not later than five years	2,28.86

8) Pre-Operative Expenses pending capitalisation

Particulars	As on
	31.03.2010
Rent	43.39
Depreciation	15.53
Travelling and Conveyance	1,62.25
General Expenses	1,47.75
Technical Know-how	1,31.24
Consultancy and Professional Fees	2,93.95
Finance Charges	6,56.22
Personnel Cost	4,67.40
Interest on Loan	9,03.56
Project Appraisal Charges	3,45.00
Insurance	50.28
Transportation	16.13
Communication	11.34
	32,44.04
Less : Interest received	1,06.46
Total	31,37.58

Schedules forming part of the Consolidated Accounts for the year ended March 31, 2010

SCHEDULE 20 - (Continued)

(Rs. in Lacs)

9) Retirement Benefits

The required disclosure under the Revised Accounting Standard 15 is given below

Brief description: The type of Defined benefit plans is as follows.

Gratuity

The employees Gratuity Fund Scheme managed by Life Insurance Corporation of India is a defined benefit plan. The present value obligation is determined based on actuarial valuation using Projected Unit Credit Method.

Leave Encashment

The present value obligation of Leave Encashment is determined based on actuarial valuation using Projected Unit Credit Method.

i) Change in Defined Benefit obligation during the year ended March 31, 2010

Sr. No.	Particulars	2009-10 Gratuity (Funded)	2009-10 Leave Encashment (Unfunded)
1.	Present value of Defined Benefit obligation as at April 1, 2009	42,33.88	7,29.66
2.	Current Service Cost	1,96.30	3,41.87
3.	Interest Cost / Actuarial (gain) / Loss on obligation	8,48.99	(59.71)
4.	Benefits paid	(5,10.42)	(2,47.70)
5.	Present value of obligation as at March 31, 2010.	47,68.75	7,64.12

ii) Changes in Fair value of Plan Assets during the year ended March 31, 2010

Sr. No.	Particulars	Gratuity (Funded)	Leave Encashment (Unfunded)
1.	Fair value of plan assets as at April 1, 2009	36,62.03	—
2.	Expected return on plan assets	3,57.04	—
3.	Contributions made	5,86.65	2,47.70
4.	Benefits paid	(5,10.42)	2,47.70
5.	Actuarial gain / (Loss) on plan assets	—	—
6.	Fair value of plan assets as at March 31, 2010	40,95.30	—

iii) Expenses recognised in the statement of Profit & Loss Account for the year ended March 31, 2010

Sr. No.	Particulars	Gratuity (Funded)	Leave Encashment (Unfunded)
1.	Current Service Cost	1,96.30	3,41.87
2.	Interest Cost / Actuarial (gains) and losses (Net)	8,48.99	(59.71)
3.	Expected return on plan assets	(3,57.04)	—
4.	Total included in employee benefit expense	6,88.25	2,82.16

Schedules forming part of the Consolidated Accounts for the year ended March 31, 2010

SCHEDULE 20 - (Continued)

(Rs. in Lacs)

Amount recognized as an expense / (income) and included in Schedule 16 "Salaries, Wages and Bonus" includes Rs.5,23.36 lacs towards Leave Encashment, "Provident Fund, Gratuity Fund and Superannuation Scheme, etc" includes Rs.6,93.15 lacs towards Gratuity.

iv) Net Assets / (Liability) recognised in the Balance Sheet as at March 31, 2010

Sr. No.	Particulars	2009-10 Gratuity (Funded)	2009-10 Leave Encashment (Unfunded)
1.	Present value of the defined benefit obligation as at March 31, 2010	47,68.75	7,64.12
2.	Fair value of plan Assets as at March 31, 2010	40,95.30	—
3.	Net Assets / (Liability) recognised in the Balance Sheet	(6,73.45)	(7,64.12)

v) Actual return on plan assets for the year ended March 31, 2010

Sr. No.	Particulars	Gratuity (Funded)	Leave Encashment (Unfunded)
1.	Expected return on plan assets	3,57.04	—
2.	Actuarial gain / (loss) on plan assets	—	—
3.	Actual return on plan assets	3,57.04	—

vi) Percentage of each category of Plan Assets to Total Fair Value of plan Assets

Sr. No.	Particulars	Gratuity (Funded)	Leave Encashment (Unfunded)
1.	Insurer Managed Fund	100%	—

vii) Principal Actuarial assumption at the Balance Sheet date

Sr. No.	Particulars	Gratuity (Funded)	Leave Encashment (Unfunded)
1.	Discount Rates	8.00%	8.00%
2.	Annual increase in salary	4.00%	4.00%
		LIC (1994-96)	LIC (1994-96)
3.	Mortality Rate	Ultimate	Ultimate

The estimate of future salary increase, takes into account inflation, seniority and the other relevant factors.

viii) The contribution expected to be paid to the Gratuity fund during the annual period beginning after the Balance Sheet date is Rs. 8,84.76 lacs.

Schedules forming part of the Consolidated Accounts for the year ended March 31, 2010

SCHEDULE 20 - (Continued)

(Rs. in Lacs)

- ix) Long term liability includes Rs.70.56 Lacs on account of Compensated Sick Leave absences.
- x) In respect of foreign subsidiary, the provision for gratuity has been made as per Sri Lankan Accounting Standard 16 – Employee Benefit. Expenditure in respect of Subsidiary is not significant in the context of the consolidation of financial statements.

10) Micro and Small Scale Business Entities:

There are no Micro and Small Enterprise, to whom the Company owes dues, which are outstanding for more than 45 days as at March 31, 2010. This information as required to be disclosed under the Micro, Small and Medium Enterprise Development Act, 2006, has been determined to the extent such parties have been identified on the basis of information available with the Company. This has been relied upon by the Auditors.

11) Major components of Deferred Tax Assets and Deferred Tax Liabilities:

Particulars	2009-10
Assets	
Carried forward tax losses	70.99
Disallowances	6,98.31
Voluntary Retirement Scheme	35.07
	8,04.37
Liability	
Difference between book and tax depreciation	28,44.79
	28,44.79
Deferred Tax Liability (Net)	(20,40.42)

12) Disclosure of related parties/related party transactions:

- a) Related parties: (As certified by the Management)
 - (i) Related parties:
 - Rado Tyres Limited
 - (ii) Key Management Personnel :
 - Mr. Paras K. Chowdhary, Managing Director
 - Mr. Anant Vardhan Goenka, Deputy Managing Director
- b) The following transactions were carried out during the year with the related parties in the ordinary course of business:

Related Parties	2009-10
1. Conversion charges paid/payable	6,83.95
Amount due to / from related parties	
1. Creditors	36.14
2. Loans, Advances and Deposits given	1,86.68
Key Management Personnel	
Managerial Remuneration	2,47.32

Schedules forming part of the Consolidated Accounts for the year ended March 31, 2010

SCHEDULE 20 - (Continued)

(Rs. in Lacs)

13) Segment Reporting:

Considering the organisation structure, nature of products and risk and return profile based on geographical distribution, the tyre business is considered as a single segment.

14) Earnings Per Share (EPS):

		2009-10
a)	Weighted Average Number of shares at the beginning and end of the year	342,43,534
b)	Net Profit / (Loss) after Tax available for Equity Shareholders (Rupees in Lacs)	1,62,47.74
c)	Face value per share (Rupees)	10
d)	Basic and Diluted Earnings Per Share (Rupees)	47.45

15) This being the first year of consolidation of accounts of the Company previous year's figures are not applicable.

Signatories to Schedules '1' to '20'

As per our report attached

For N.M. Raiji & Co.,
Chartered Accountants

CA Y.N. Thakkar
Partner

Mumbai, April 29, 2010

Sunil Sapre
Chief Financial Officer

H.N. Singh Rajpoot
Company Secretary

On behalf of the Board of Directors

H.V. Goenka Vice Chairman

Hari L. Mundra Chairman - Audit Committee

Paras K. Chowdhary Managing Director

Mumbai, April 29, 2010



Registered Office: CEAT Mahal,
463, Dr. Annie Besant Road, Worli, Mumbai - 400 030.
Website: www.ceattyres.in